(RESTRICTED)

Labour Department

Subsidy Scheme for Abolition of MPF Offsetting Arrangement (SSA)

Operation Guidelines for Processing Agent to Process Employer Applications under SSA

Employment Benefits Support Division

Version: 1.0

xxx 2024

Revision History

Revision	Revision Date	Paragraph / Section Revised	Responsible Team	Remarks
		•		
		•		
		•		
		•		
		•		
		•		
		•		

(RESTRICTED)

Table of Contents

Chapter 1 Introduction 6

1.1 Abolition of the offsetting arrangement under the Mandatory Provident Fund ("MPF") system and implementation of the Subsidy Scheme for Abolition of MPF Offsetting Arrangement ("SSA") 6

1.2 Framework and workflow of case processing 8

1.3 Duties and roles of PA 13

Chapter 2 Criteria for application 16

2.1 An overview on the eligibility for application under SSA 16

2.2 Criteria in assessing the eligibility for SP/LSP under EO 17

2.3 Employees affected by the abolition of MPF offsetting arrangement 22

2.4 Relevant date of termination of employment on employer's eligibility for subsidy application 23

2.5 SP/LSP entitlements awarded by a court or the Labour Tribunal ("LT") to employee as remedies for Unreasonable Dismissal ("UD"), Unreasonable Variation of the Terms of the Employment Contract ("UV") or Unreasonable and Unlawful Dismissal ("UUD") 30

2.6 Post-transition portion of SP/LSP actually paid to the employees covered / subsidised by government funding 31

2.7 Employers defaulting ERMC or contributions to employer-funded exempt ORS 31

2.8 Application deadline 31

Chapter 3 Collection of Applications 33

3.1 Means of application submission 33

3.2 Submission of applications 33

3.3 Estimation of subsidy payable at the time of application submission 41

3.4 Acknowledgement receipt of application 42

3.5 Late applications 43

Chapter 5 Vetting and Approval 46

5.1 Purpose and workflow of vetting applications 46

5.2 Timeline for vetting and approving an application 46

5.3 Declaration of officers with conflict of interest 48

5.4 Checking information and documents submitted by the applicant 49

5.5 Verifying payment of the post-transition portion of SP/LSP 57

5.6 Ascertaining the applicant's eligibility 59

5.7 Reviewing the applicant's application history 61

5.8 Handling requests to receive subsidy payment by cheque 63

5.9 Clarifying Information 63

5.10 Points to note for handling difficult cases during vetting / examinations of applications 65

5.11 Handling withdrawal request from applicants 65

5.12 Making recommendation to the AO 65

5.13 Approval of recommendation 66

Chapter 6 Calculation of Subsidy Amount 71

6.1 Principle of deriving the subsidy amount 71
6.2 Calculation of SP/LSP entitlement 71
6.3 Calculation of net post-transition portion of SP/LSP eligible for subsidy .. 75
6.4 Calculation of Subsidy Payable 79
6.5 General processing rule of applications 81
6.6 Examples on determination of the subsidy amount through SSAS 84
Example 1 – Calculation of the period of employment: 85
Example 2 – The correct wages to be adopted 89
Example 3 – How to apply the cap of $390,000 in total SP/LSP entitlement 91
Example 4 – Part of the employment period not covered by the MPF System 93
Example 5 – The net post-transition portion of SP/LSP straddling across the $500,000 threshold 97
Example 6 – Batch application with 8 employees whose relevant dates of termination fall within the same subsidy year 100
Example 7 – Batch application with 8 employees whose relevant dates of termination fall in different subsidy years 102
Example 8 – Increase in vetted amount of the net post-transition portion of SP/LSP after review / appeal / IA check / IR 107
Example 9 – Decrease in vetted amount of the net post-transition portion of SP/LSP after review / appeal / IA check / IR 109

Chapter 7 Quality Assurance Checks 111

7.1 Overview 111
7.2 Coverage of QA checks 111
7.3 Points to note to conduct QA checks 112

Chapter 9 Notification of Application Result 113

9.1 Result notifications 113
9.2 Reminder on EO requirements relating to SP/LSP 121

Chapter 10 Review and Appeal 123

10.1 Overview 123
10.2 Submission of review / appeal application and supporting documents by applicants and timeline for processing 124
10.3 Acknowledgement receipt of review / appeal applications 126
10.4 Late application for review / appeal 127
10.5 Processing of review / appeal applications 128
10.6 Result of review / appeal 130
10.7 Appeal result not accepted by the applicant 132
10.8 Processing of IR 133
10.9 Timeline for processing IR cases 133

10.10 Non-submission of requested documents by the applicant 134
10.11 Results of IR and follow-up actions 135

Chapter 11 IA Checks 138
11.1 Overview 138
11.2 Coverage of IA checks 138
11.3 Selection of applications 139
11.4 Collection of documents and auditing the applications 139
11.5 Non-submission of requested documents 142
11.6 Result of IA check and follow-up actions 142
11.7 Reports on IA findings 146

Chapter 13 Counter Services and Handling of Enquiries and Complaints.... 147
13.1 Channels for the public to lodge enquiries / complaints 147
13.2 Handling of enquiries by PA 149
13.3 Handling of complaints by PA 153
13.4 Points to note on handling enquiries / complaints 158
13.5 Cooperation with 1823 159

Chapter 14 Handling of Suspected Abuse / Fraud Cases 161
14.1 Overview 161
14.2 Procedures 161
14.3 Other points to note 162

Chapter 15 Monitoring Performance of PA 164
15.1 Overview 164
15.2 Compliance Checks 165
15.3 On-site inspections 166
15.4 Management meetings 167
15.5 Performance standard assessment 168
15.6 Complaint investigation and handling of incidents 168
15.7 Reports / returns submitted by PA 169
15.8 Arrangement during the transitional period 172

Chapter 17 Other Issues 174
17.1 Usage of the name and logo of SSA (TBC) 174
17.2 Handling of personal data 174
17.3 Physical records management 175
17.4 Code on Access to Information 176
17.5 Managing and utilising information technology ("IT") system 176
17.6 Staff's compliance with legislation in Hong Kong when rendering services in implementation of SSA 178
17.7 Staff training matters 179
17.8 Handling of incidents 179
17.9 Continuation of services 180
17.10 Transition-out arrangement 180

Chapter 1 Introduction

1.1 Abolition of the offsetting arrangement under the Mandatory Provident Fund ("MPF") system and implementation of the Subsidy Scheme for Abolition of MPF Offsetting Arrangement ("SSA")

1.1.1 The Employment and Retirement Schemes Legislation (Offsetting Arrangement) (Amendment) Ordinance 2022 has commenced **on 1 May 2025** ("the transition date") to abolish the use of the accrued benefits of employers' mandatory contributions under the MPF System to offset employees' severance payment ("SP") / long service payment ("LSP") under the Employment Ordinance ("EO") (Cap. 57) arising from the employment period on or after the transition date (hereafter referred to as "abolition of MPF offsetting arrangement"). The abolition of MPF offsetting arrangement is also applicable to the following occupational retirement schemes ("ORS") (here below collectively referred to as employer-funded exempt ORS):

(i) ORS that are exempted under section 5 of the Mandatory Provident Fund Schemes Ordinance ("MPFSO") (Cap. 485);

(ii) provident funds under the Grant School Provident Fund Rules (Cap. 279C) and the Subsidised Schools Provident Fund Rules (Cap. 279D); and

(iii) non-Hong Kong ORS of employees from outside Hong Kong (such as imported workers) who are exempted from the MPF System.

1.1.2 While the eligibility for statutory SP/LSP remains unchanged, for an employment straddling across the transition date, the employee's employment period will be divided into pre-transition service (i.e. from the commencement date of employment to 30 April 2025) and post-transition service (i.e. from 1 May 2025 to the relevant date of termination of employment) for the sake of calculating the pre-transition portion and post-transition portion of SP/LSP respectively. For an employment commencing on or after the transition date, the entire employment period will be post-transition service in the calculation of SP/LSP. For details about the calculation of the pre- and post-transition portion of SP/LSP, please refer to Chapter 6.

1.1.3 Employers can no longer use the following items to offset the post-transition portion of SP/LSP:

(i) the employer-funded (mandatory) MPF scheme benefits ("ERMC"); and

(ii) the employer-funded (basic portion) exempt ORS benefits, i.e. the portion of employer-funded exempt ORS benefits akin to ERMC carved out from the vested benefits of employers' ORS contributions using the following formula specified under section 2(5) of EO –

Final average monthly relevant income* ×
Years of service with Employer-funded exempt ORS × 5% × 12**

* *"Final average monthly relevant income" means the employee's average monthly relevant income in the 12 months immediately preceding the termination of employment, subject to the prevailing maximum level of relevant income under MPFSO.*

** *Only years of service on or after 1 December 2000 will count.*

1.1.4 However, the following items can continue to be used to offset employees' post-transition portion of SP/LSP:

(i) the employer-funded (voluntary) MPF scheme benefits ("ERVC");

(ii) employer-funded (specified) ORS benefits, which include –

(a) employer-funded (prescribed portion) exempt ORS benefits, i.e. the remaining vested benefits of the employer-funded exempt ORS after deduction of the employer-funded (basic portion) exempt ORS benefits calculated by the formula set out at para. 1.1.3 above; and

(b) all the vested benefits of the employer-funded non-exempt ORS; and

(iii) contractual gratuities based on employees' years of service.

1.1.5 In tandem with the abolition of MPF offsetting arrangement, the Government undertakes to provide subsidy, according to specified subsidy ratios (please refer to the subsidy schedule at Table 6.3 of Chapter 6), to share out employers' expenses on post-transition portion of SP/LSP paid under EO to eligible employees by way of SSA, an administrative scheme.

1.1.6 SSA comes into operation on **1 May 2025** and will last for 25 years. After paying SP/LSP to employees in accordance with EO, eligible employers may submit applications, with all necessary supporting documents, for subsidy under the scheme within 3 months from the date of payment.

1.2 Framework and workflow of case processing

1.2.1 The Employment Benefits Support Division ("EBSD") of Labour Department ("LD") is responsible for overseeing the policy and overall operation of SSA. The appointed processing agent ("PA") is responsible for the daily administration of SSA in accordance with the requirements under the service contract and guidelines as prescribed by LD. For details about the roles and duties of PA, please refer to section 1.3 below.

Means of application submission

1.2.2 Applicants may submit subsidy applications via the TransitionEase Portal (hereafter referred to as "online applications") or in paper form (i.e. via other means such as by email, facsimile, post or in person). When a submission involves more than one employee (i.e. batch submission), the applicant's application for subsidy in respect of post-transition portion of SP/LSP paid to each employee is counted as an individual application. For instance, if there are five employees' SP/LSP expenses included in a submission, it will be counted as five applications submitted by the applicant for the purpose of case processing. The data of applications will be captured by the SSA System (hereafter referred to as "SSAS"), which is a case processing IT system developed and maintained by LD. For applications submitted in paper form, PA will be responsible for inputting the data into SSAS.

1.2.3 Applicants submitting first time online applications should set up an Employer Profile ("ER profile") at the TransitionEase Portal by providing the information and supporting documents mentioned at para. 3.2 of Chapter 3 before they proceed to submit subsidy applications in respect of their employees. For applicants who have submitted paper form applications but yet to set up an ER profile at the TransitionEase Portal, they can still set up the account online after providing the essential information and supporting documents described in Chapter 3.

Fresh application processing

1.2.4 A **two-tier system for vetting and approving applications** should be adopted. After checking all the information and supporting documents of the application and ascertaining the applicant's eligibility for subsidy, the Vetting Officer

("VO") of the Vetting Team will recommend whether to accept or refuse the application for consideration of the Approving Officer ("AO") of the Vetting Team.

1.2.5 An AO is responsible for endorsing the recommendation of the VO. If the recommendation is not accepted, the case will be returned to the respective VO for following up. The VO should re-submit his recommendation for consideration after completing the follow-up work as directed by the AO.

Quality assurance ("QA") checks

1.2.6 After the recommendation for payment of subsidy is endorsed by the AO, **at least 5%** (TBC) of the approved fresh applications will be randomly selected by SSAS for double checking the applicant's eligibility and the SP/LSP amount eligible for subsidy before arranging payment (i.e. QA check). The amount of subsidy to be granted will be calculated by SSAS according to the subsidy schedule at para. 6.4 of Chapter 6.

1.2.7 The QA checks are to be conducted by the Vetting Team Leaders ("Vetting TL"). For details, please refer to Chapter 7. EBSD may from time to time and in consultation with PA review and adjust the percentage of applications to be selected for QA checks.

Payment arrangement and result notification

1.2.8 For applications approved for payment of subsidy, on completion of the QA check (if any), SSAS will forward the relevant data to EBSD for arranging payment to the concerned applicants. For details, please refer to Chapter 8.

1.2.9 A result notification letter (please see Chapter 9 for details) will be issued to the applicant after the payment file is successfully uploaded to LD's designated bank.

Review and appeal

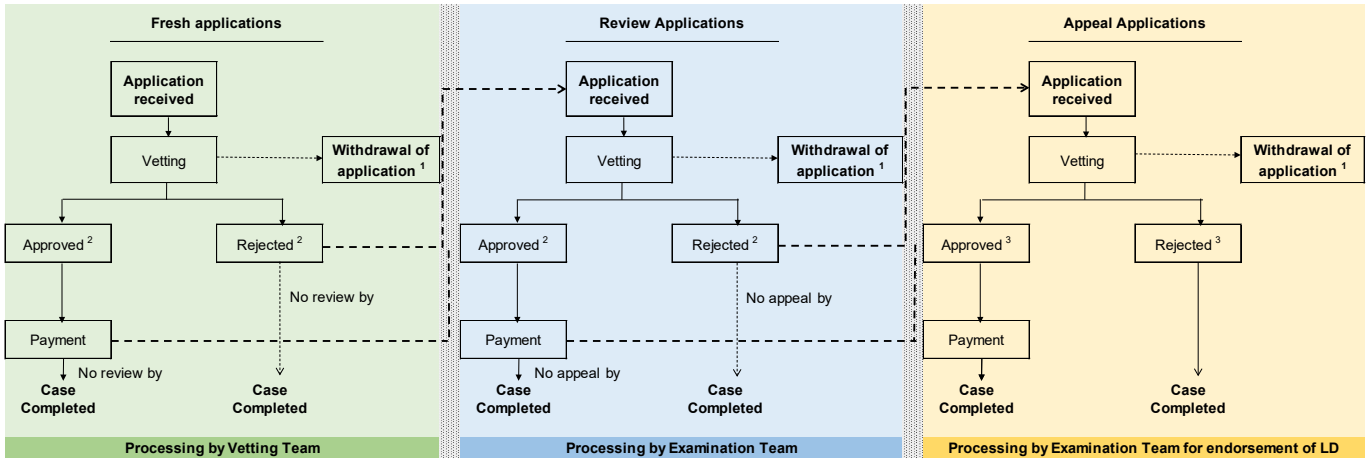
1.2.10 If an applicant is not satisfied with the application result, e.g. application refused or the applicant disagrees on the amount of subsidy granted, he may submit an application for review once with justifications. The application will be reviewed, under a similar two-tier system, by an Examiner and an

Examination Team Leader ("Examination TL") of the Examination Team. The decision of whether to accept or refuse the review application is made at the Examination TL's end.

1.2.11 If the applicant is not satisfied with the review result, he may appeal against the decision once with justifications. The application will first be examined by the officers of the Examination Team who handled the review application to decide whether to uphold the previous decision, who should then submit the approval or refusal recommendation, as appropriate, to EBSD for final endorsement. The result of the appeal is final.

1.2.12 A notification letter (please see Chapter 9 for details) will be issued to the applicant to inform the result of review / appeal.

Diagram 1: Application Processing Workflow



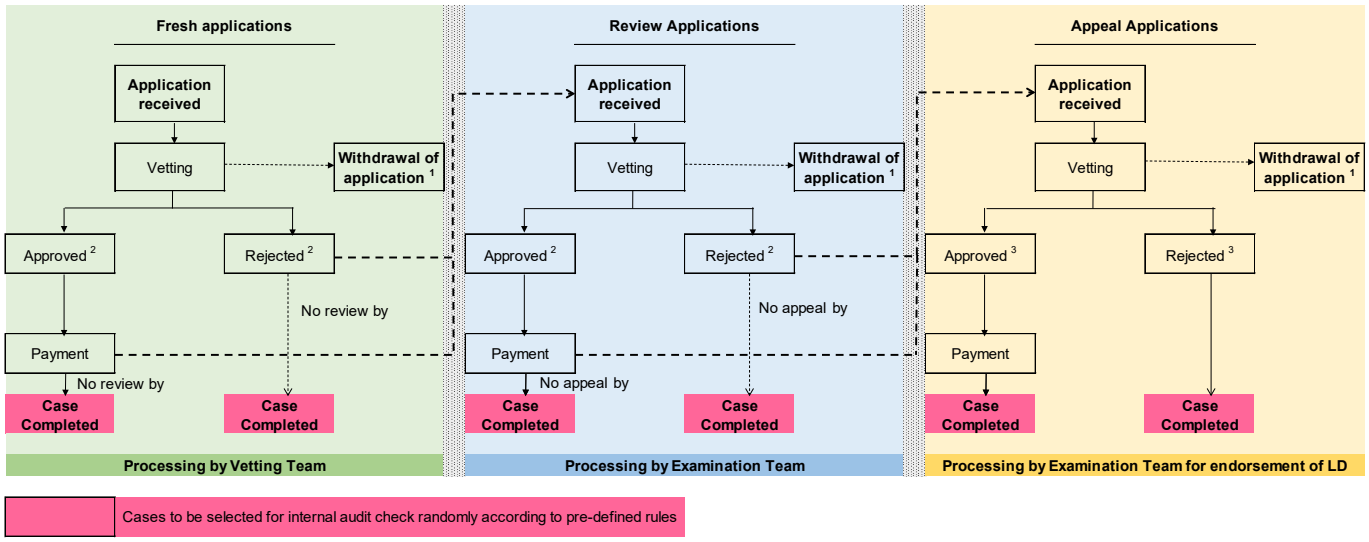
1. Including applications withdrawn by applicant employers and applications deemed withdrawn by PA due to applicant employers falling to respond to PA's clarification requests.
2. Applicant employers can request for review / appeal of the applications if they do not agree with the vetting result.
3. The decision is final.

Internal audit ("IA") checks

1.2.13 To safeguard against fraud and abuse of the public fund, in-depth checking on **completed** applications (i.e. IA check) should be conducted by officers of the Examination Team who are not involved in the processing of the same application, i.e. IA check should not be conducted by an Examiner and an

Examination TL who have handled the review and appeal of the application. **At least 1%** of the applications are selected by SSAS according to the pre-defined criteria for IA check after the case processing is completed, i.e.the reviews / appeals have been handled, or where there is no review or appeal lodged, the respective deadlines for review / appeal have lapsed (for details, please refer to Chapter 11). Depending on the case merits, the applicants may be required to submit further proof to substantiate their applications in IA checks. EBSD may from time to time and in consultation with PA review and adjust the percentage of applications to be selected for IA checks.

Diagram 2: Applications to be selected for IA Checks



1. Including applications withdrawn by applicant employers and applications deemed withdrawn by PA due to applicant employers falling to respond to PA's clarification requests.
2. Applicant employers can request for review / appeal of the applications if they do not agree with the vetting result.
3. The decision is final.

1.2.14 If abuse / fraud cases are detected during IA checks or at any stage of application processing, the Examination Team or Vetting Team, as appropriate, should alert EBSD immediately. PA should carry out investigation promptly and submit investigation reports and recommendations to EBSD. PA should also carry out follow-up actions as directed by EBSD. For overpayment of subsidy detected, the handling of such cases will be covered in the ensuing paragraphs.

Handling of overpayment of subsidy and appeal against repayment demand

1.2.15 **Overpayment of subsidy** may be detected in the course of conducting IA checks or processing review / appeal applications. Based on pre-defined logic, SSAS will check if there are any payments to be made to the applicant, e.g. approval of new applications of the same applicants, and offset the overpaid subsidy with the payment to be made. If the overpaid subsidy cannot be offset, PA should initiate recovery of overpaid subsidy according to the workflow depicted in Chapter 12 and follow up with the applicant(s) concerned as necessary or directed by LD.

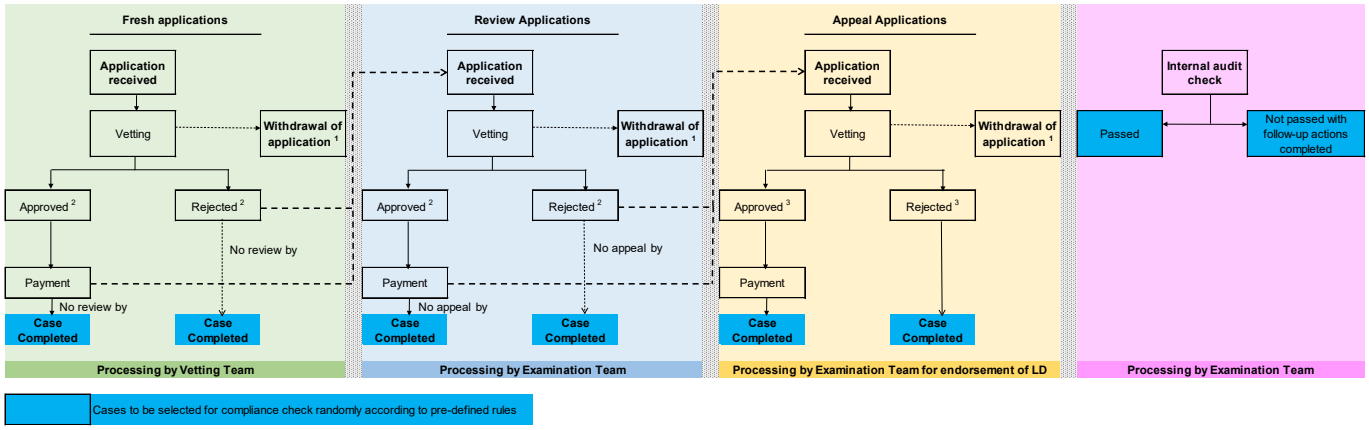
1.2.16 In case the applicant appeals against the repayment demand, the Examination Team of PA should examine the applicant's justifications and consider whether the recovery action should continue. For details about recovery procedures for overpaid subsidy, please refer to Chapter 12.

1.2.17 On the other hand, if **underpayment** is detected, payment will be arranged, according to the same workflow stated in para.1.2.8, to the applicants concerned to make up for the difference.

Compliance check

1.2.18 To monitor PA's performance and to ensure its compliance with the manuals, guidelines, intructions and directions issued by EBSD, EBSD will conduct compliance checks on **at least 1%** (TBC) of applications processed to be selected by SSAS according to pre-defined criteria. For details, please refer to Chapter 15.

Diagram 3: Applications to be selected for Compliance Check



1. Including applications withdrawn by applicant employers and applications deemed withdrawn by PA due to applicant employers falling to respond to PA's clarification requests.
2. Applicant employers can request for review / appeal of the applications if they do not agree with the vetting result.
3. The decision is final.

1.2.19 For cases where overpayment / underpayment of subsidy is detected in the course of compliance check, they would be reverted to the Examination Team of PA for conducting internal review ("IR"). For details of IR, please refer to Chapter 10.

1.3 Duties and roles of PA

1.3.1 PA shall collaborate with EBSD of LD and use its best endeavours to implement and administer SSA. PA shall carry out and complete the services in accordance with the terms and conditions of the service contract, the procedures and requirements as set out in this Operation Guidelines and such reasonable instructions and directions as staff of EBSD may give in relation to the delivery of services.

1.3.2 PA shall:

(i) complete all the tasks as required in the Preparatory Period in accordance with the timeline as pledged in the Implementation Plan of Schedule C;

(ii) input the data in application forms, review / appeal request forms, and supporting documents etc. submitted by applicants through means other than the TransitionEase Portal by a dual input mechanism;

(iii) process subsidy applications (fresh, review and appeal applications), assist EBSD to issue cheques for subsidy payment and carry out necessary follow-up actions, conduct QA checks, IA checks and IRs, assist to recover overpaid subsidy, handle review and appeal applications of IA check / IR result, handle enquiries and complaints relating to SSA, and perform other related work in

accordance with the requirements and specifications of the Service Specifications and as pledged in the Schedule C – Technical Schedule;

(iv) appoint key personnel (i.e. Project Director, Operations Manager and Accounting Manager) and deploy sufficient staff to carry out the services and ensure that the qualifications and/or work experience of all such staff comply with the qualifications and/or work experience as pledged in the Human Resources and Management Plan of Schedule C;

(v) provide telephone, facsimile, email and counter services for handling enquiries and complaints relating to SSA, and receiving subsidy applications;

(vi) organise public engagement activities as pledged in the Public and Engagement Plan of Schedule C;

(vii) maintain proper records management, assist EBSD in updating the Chatbot database regularly and provide support in reviewing and enhancing the application and payment processes of SSA;

(viii) cooperate with staff of EBSD to ensure smooth implementation of the monitoring mechanism, such as providing relevant data files, records and documents for inspections, compliance checks and complaint investigations, as well as attending regular and ad hoc management meetings as required by EBSD etc.;

(ix) attend meetings or press conferences with, and conduct briefings and presentations to public bodies, organisations, agencies, committees, media, members of the public or parties as may be directed by EBSD, and respond to questions or requests made by attendants at any of the aforesaid meetings / conferences; and

(x) submit weekly and monthly statistical returns, and yearly performance reports, as well as other ad hoc reports and statistics relating to the implementation of SSA as and when required by EBSD.

1.3.3 The key responsibilities of the key personnel and operation staff of PA are at Annex x.

1.3.4 Upon expiry of the service contract, if subsequent services are awarded to another contractor, PA shall hand over the services to the succeeding contractor in accordance with the requirements of the Service Specifications and as pledged in the Transition Planof Schedule C – Technical Schedule.

Chapter 2 Criteria for application

2.1 An overview on the eligibility for application under SSA

2.1.1 To be eligible for application under SSA, an employer must meet the following requirements:

(i) the employee pertinent to the application submitted by the employer is entitled to SP/LSP under EO;

(ii) the employee is affected by the abolition of the MPF offsetting arrangement (Details are at para. 1.1.1), i.e. the employee must be covered by the MPF System and the employer had enrolled the employee in an MPF scheme during employment and had made MPF contributions to the MPF scheme in accordance with the requirements of MPFSO, or the employee had been enrolled in an employer-funded exempt ORS during employment by operation of the employment contract and the employer had made contribution to the ORS in accordance with the terms agreed between the employer and the concerned employee;

(iii) the employer has paid the full amount of SP/LSP to the employee[1] before submitting the application;

(iv) relevant date of termination of employment of the employee falls within 25 years after the abolition (i.e. between 1 May 2025 and 30 April 2050 (both dates inclusive)); and

(v) the post-transition portion of SP/LSP paid to the employee has not been/ will not be **fully** covered/ subsidised by other government funding.

2.1.2 The scope of the SSA **ONLY covers the employer's post-transition portion of SP/LSP actually[2] paid under EO to the employee concerned subject to**

1 Application for subsidy should only be made after full settlement of SP/LSP. In case an employer insists to apply for subsidy before full settlement (e.g. financial difficulty), we may handle the application on a case by case basis but if approved, the amount of subsidy to be released will only be prorated to the amount of post-transition portion of SP/LSP effected by the employer. For details, please refer to para. 5.5.5.

2 "Post-transition portion of SP/LSP actually paid" refers to the amount of the net post-transition portion of SP/LSP paid under EO to an employee after offsetting (if applicable) with the allowable offsetting items, such as ERVC, employer-funded (specified) ORS benefits, and contractual gratuities based on length of service, if any.

the subsidy ratio specified in the scheme. While employers may provide benefits to their employees more favourable than the statutory requirements under EO, e.g. applying a wage rate higher than the wage cap (i.e. $22,500 per month) for calculation of SP/LSP, paying SP/LSP beyond the maximum amount payable under EO (i.e. $390,000), or paying SP/LSP to ineligible employees (e.g. SP for those with less than two years' service), any **payments beyond EO entitlements are not covered under SSA except for some exceptional circumstances specified in para. xx of Chapter 6** [Internal note: Such exceptional cases refer to ER using pre-reduced wage rate to calculate SP/LSP based on the written undertaking agreed with the concerned employee, or payment of SP/LSP by instalments]. For details about the calculation of SP/LSP under EO and the subsidy, please refer to Chapter 6.

2.2 Criteria in assessing the eligibility for SP/LSP under EO

2.2.1 To be entitled to SP/LSP under EO, the following criteria should be satisfied:

(a) The employee is **covered by EO**.

- EO applies to all employees[3] (including local and imported workers) save for some exceptions listed below:
  - ✧ Employees of HKSAR Government and the Offices of the Central People Government situated in Hong Kong[4]
  - ✧ EO does not apply to –
    - (i) an employee who is the employer's family member and lives in the same dwelling as the employer;
    - (ii) an employee as defined in the Contracts for Employment Outside Hong Kong Ordinance (Cap. 78);
    - (iii) a person serving under a crew agreement under the Merchant Shipping (Seafarers) Ordinance (Cap. 478), or on board a ship which is not registered in Hong Kong; and

3 EO is applicable to the contract of employment which is governed by Hong Kong's jurisdiction. Self-employed persons, contractors and service providers who do not have employment relationship with the applicant are not covered by EO.

4 By virtue of the Interpretation and General Clauses Ordinance (Cap. 1) that EO is not binding on the State.

(iv) an apprentice whose contract of apprenticeship has been registered under the Apprenticeship Ordinance (Cap. 47), other than certain provisions of EO.

(b) The employee does not fall into any one of the following categories of workers who are not entitled to SP/LSP by virtue of sections 31F and 31U of EO:

(i) where the employer is the husband or wife of the employee;

(ii) an outworker;

(iii) a person, employed by a government other than the Hong Kong SAR Government, who is a subject or citizen of the state under whose government he is employed; or

(iv) a person in respect of employment as a domestic servant[5] in, or in connection with, a private household, where the employer is the father, mother, grandfather, grandmother, stepfather, stepmother, son, daughter, grandson, granddaughter, stepson, stepdaughter, brother, sister, half-brother or half-sister of the employee.

(c) The employee is employed by the employer under a continuous contract.

- A continuous contract means a contract of employment under which an employee has been employed continuously by the **same employer** for **4 weeks or more**, with **at least 18 hours of** work each week [TBC].

(d) The employee is eligible for **SP/LSP under EO**.

- According to EO, an employee is eligible for SP/LSP according to the following conditions and will not be simultaneously entitled to both SP and LSP:

5 Domestic servants (both local or foreign domestic servants) other than those falling within category stated in para. 2.2.1(b)(iv) are also eligible for SP/LSP under EO if meeting the criteria set out under para. 2.2.1(d). Yet, their employers are not obliged under MPFSO to enrol the domestic servants in an MPF scheme and make mandatory contributions to an MPF scheme in respect of the domestic servants. These employers are thus not affected by the abolition of the MPF offsetting arrangement in so far as payment of SP/LSP to the domestic servants is concerned, and are not eligible for application for subsidy under SSA under para. 2.1.1.

Entitlement	SP	LSP
Qualifying period of employment *(Note 1)*	Not less than 24 months **ending with the relevant date** under a continuous contract	Not less than 5 years **ending with the relevant date** under a continuous contract
Reason for termination of employment	• The employee is dismissed by reason of redundancy *(Note 2)*.	• The employee is dismissed *(Note 4)* but: ✧ he is **NOT** summarily dismissed due to his serious misconduct; and ✧ his dismissal is not by reason of redundancy
	• Employment contract of a fixed term expires without being renewed by reason of redundancy *(Notes 2 & 5)*.	• Employment contract of a fixed term expires without being renewed by reason other than redundancy *(Note 5)*.
	• The employee is laid off *(Note 3)*.	• The employee dies during employment.
		• The employee resigns on ground of being certified as permanently unfit for the particular type of work for which he was employed by a registered medical practitioner or a registered Chinese medicine practitioner.

Entitlement	SP	LSP
		• The employee, aged 65 or above, resigns on ground of old age. • The employee retired at the age of retirement specified in the employment contract.
Time of payment by employer	• An employee who wishes to claim for SP should serve a written notice to his employer within three months after the dismissal / lay-off takes effect. • The deadline for serving such notice may be extended if approved by the Commissioner for Labour. • The employer shall make SP to the employee not later than two months from the receipt of such a notice.	• The employer shall pay LSP to an employee within seven days after the date of termination of employment contract.

Note 1*: *Length of service for cases where there is change of ownership of business / employer(s) among associated companies

If, by agreement with the employee, the person who immediately after the change of ownership of business occurs is the owner of the business or of the part of the business in question, as the case may be (i.e. the new owner) renews the employee's contract of employment (with the substitution of the new owner for the previous owner) or re-engages him under a new contract of

employment, such change of ownership of business shall not break the continuity of the period of employment. In other words, the employee's length of service should be reckonable from his commencement date of employment with the previous owner.

Where an employee of a company is taken into the employment of another company which, at the time when the employee is taken into its employment, is an associated company (e.g. the company's holding company, subsidiary or another subsidiary of the holding company, as defined under section 32E(3) of EO[6]) of the first-mentioned company, the employee's length of service should be reckonable from his commencement date of employment with the first-mentioned company.

For details about how to determine the relevant date of termination under different scenarios, please refer to para. 2.4 below.

Note 2: Meaning of redundancy

An employee is taken to be dismissed by reason of redundancy if the dismissal is due to the fact that:

- the employer closes or intends to close his business;
- the employer has ceased, or intends to cease, the business in the place where the employee was employed; or
- the requirement of the business for employees to carry out work of a particular kind, or for the employee to carry out work of a particular kind in the place where the employee was employed, ceases or diminishes or is expected to cease or diminish.

Note 3: Meaning of Lay-off

If an employee is employed on such terms and conditions that his remuneration depends on his being provided by the employer with work of the kind he is employed to do, he shall be taken to be laid off if the total number of days on which no work is provided or no wages is paid exceeds:

- half of the total number of normal working days in any four consecutive weeks; or

6 As stipulated under sections 31K and 31ZA of EO, two companies shall be taken to be associated companies if one is a subsidiary of the other, or both are subsidiaries of a third company, and ***associated company*** shall be construed accordingly.

- one-third of the total number of normal working days in any 26 consecutive weeks.

The days of lock-out, rest days, annual leave and statutory holidays should not be counted as normal working days during the above periods.

Note 4: Special conditions under section 10(a), (b) & (c) of EO [Internal note: Note 5 is drafted with reference to the ICC KB of LRD]

Apart from being certified to be permanently unfit for the present job, an employee may terminate his employment contract without notice or payment in lieu of notice ("PILON") if:

(a) he reasonably fears physical danger by violence or disease;

(b) he is subjected to ill-treatment by the employer; or

(c) on any other ground on which he would be entitled to terminate the contract without notice at common law.

Reasons of termination of employment	Length of service under continuous contract	
	Less than 5 years	5 years or more
Scenarios (a), (b) & (c) above	Not entitled to SP/LSP	Entitled to LSP

Note 5: Refusal on renewal of fixed-term contract by the employee

If not less than 7 days before the date of dismissal / expiry of the fixed term contract, the employer has offered in writing to renew the contract of employment or re-engage the employee under a new contract but the employee has unreasonably refused the offer, the employee is not eligible for SP/LSP.

2.2.2 For details of EO requirements on para. 2.2.1, please refer to Chapters 1, 2 and 6 (TBC as EO Guide is subject to further review) of "A Concise Guide to the Employment Ordinance" published by LD (https://www.labour.gov.hk/eng/public/ConciseGuide.htm). Please note that EO itself remains the sole authority for the provisions of the law explained.

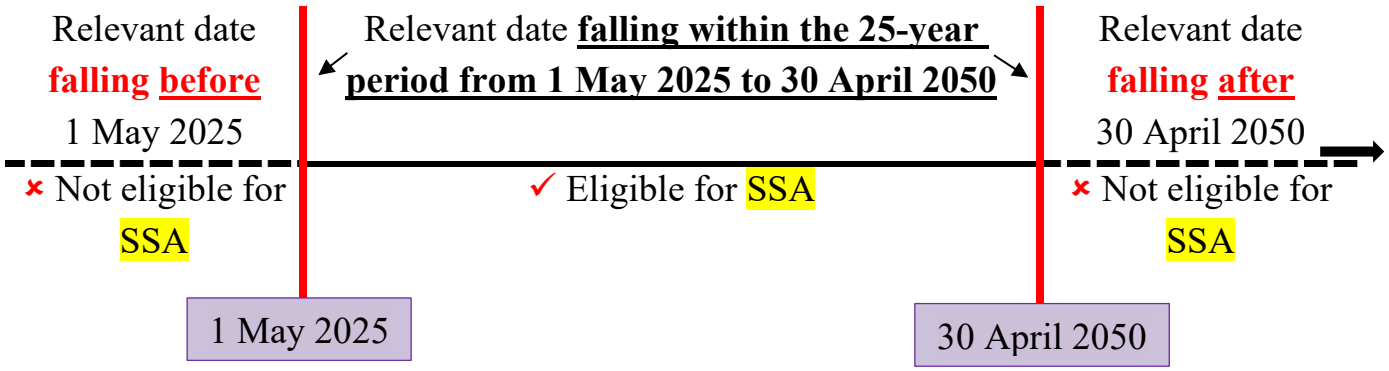
2.3 Employees affected by the abolition of MPF offsetting arrangement

2.3.1 The abolition of MPF offsetting arrangement is applicable to employees who are covered by the MPF System and/or employer-funded exempt ORS for whole or any part of their employment period. For example, an employee commenced employment on 1 May 2015. His employer is no longer obliged to make ERMC for the employee after the latter reached the age of 65[7] on 1 June 2025. If the employee is dismissed later (say 31 May 2028) due to redundancy, while the employer is required to pay SP to the employee in respect of the whole employment (i.e. from 1 May 2015 to 31 May 2028) in accordance with EO, his employer is only eligible for making subsidy application under SSA in respect of the post-transition portion of SP paid for the employment period ***from 1 May 2025 to 31 May 2025*** during which the employer has made ERMC for the employee.

2.3.2 Employees who are **not covered** by the MPF System or employer-funded exempt ORS, such as domestic helpers, are not affected by the abolition of MPF offsetting arrangement. As such, their employers are **not** eligible for making application under SSA in respect of the post-transition portion of SP/LSP paid to these employees.

2.4 Relevant date of termination of employment on employer's eligibility for subsidy application

2.4.1 For an application to be eligible for SSA, the employee's relevant date of termination of employment as defined under section 2 of EO must **fall on or after the transition date (i.e. 1 May 2025)**.



7 Under MPFSO, employers are not required to make ERMC to employee(s) aged below 18 or above 64.

2.4.2 The relevant date of the termination of employment of an employee under EO means —

(a) where the employee's contract of employment is terminated by notice, the date on which that notice expires;

(b) where the employee's contract of employment is terminated by PILON, the date up to which such wages are calculated;

(c) where the employee's contract of employment is terminated partly by notice and by PILON for the remaining notice period, the date up to which the wages are calculated or the date on which the notice expires, whichever is later;

(d) where the employee terminates his contract of employment without notice or PILON under circumstances specified under section 10 (including section 10(a), (b) & (c)) of EO, the date on which termination takes effect;

(e) where the employee terminates his contract of employment on ground of being certified as permanently unfit for the particular type of work for which he was employed by a registered medical practitioner or a registered Chinese medicine practitioner (i.e. section 10(aa) of EO), the date on which the termination takes effect or the date up to which the wages are calculated, whichever is later;

(f) where the employee terminates his contract of employment without notice or PILON due to not being paid wages within one month from the due date (i.e. section 10A of EO), the employer shall be deemed to have agreed to pay PILON to the employee and the relevant date is the date up to which wages are calculated;

(g) where the employee is employed under a contract for a fixed term and that term expires, the date on which that term expires;

(h) where a continuous contract of employment specifies an age of retirement and the employee retires at that age, the date of retirement; where the employee dies during employment, the date of his death;

(i) where the employee's contract of employment is terminated other than in accordance with the provisions of EO, the date of termination; and

(j) where the employee is taken to be laid off by virtue of section 31E of EO, the expiry date of any four consecutive weeks during which half of the total number of normal working days or any 26 consecutive weeks

during which one-third of the total number of normal working days the employee is not provided with work and is not paid wages for such days.

Illustrative examples for determining relevant date of termination

2.4.3 Based on the above definition, the following examples illustrate how relevant dates under different scenarios are determined and the impact on the employer's eligibility for applications under SSA:

Scenario	Relevant date of termination	Example	Eligibility for subsidy application[8]
(a) Termination by notice *(Note 1)*	The date on which that notice expires	1. 1-month notice given on 1 April 2025 ➔the notice period ended on 30 April 2025 ➔Relevant date: 30 April 2025	✗ the relevant date is earlier than 1 May 2025
		2. 1-month notice given on 1 August 2025 ➔the notice period ended on 31 August 2025 ➔Relevant date: 31 August 2025	✓ the relevant date falls between 1 May 2025 and 30 April 2050
		3. 1-month notice given on 25 April 2050 ➔the notice period ended on 24 May 2050 ➔Relevant date: 24 May 2050	✗ the relevant date falls after 30 April 2050
(b) Termination by PILON given by	The date up to which such	1. If PILON equivalent to 1-month wages given on 30	✓ the relevant

8 Provided that other criteria of SP/LSP (e.g. the required length of service) are met.

Scenario	Relevant date of termination	Example	Eligibility for subsidy application[8]
employer	wages (i.e. the PILON) are calculated	April 2025 to terminate the employment contract with immediate effect ➔Relevant date: 31 May 2025	date falls between 1 May 2025 and 30 April 2050
		2. If PILON equivalent to 1-month wages given on 5 September 2025 to terminate the employment contract with immediate effect ➔Relevant date: 4 October 2025	✓ the relevant date falls between 1 May 2025 and 30 April 2050
		3. If PILON equivalent to 1-month wages given on 30 April 2050 to terminate the employment contract with immediate effect ➔Relevant date: 31 May 2050	✗ the relevant date falls after 30 April 2050
(c) Termination partly by notice and by PILON for the remaining notice period	The date up to which the wages are calculated or the date on which the notice expires, whichever is later	1-month notice given on 1 August 2025 and the notice period should end on 31 August 2025. The employer changed his mind on 16 August 2025 and gave 15-day wages as payment in lieu of the remaining notice period to terminate the employment	✓ the relevant date falls between 1 May 2025 and 30 April 2050

		contract with immediate effect. ➔Relevant date: 31 August 2025	
(d) Termination by employee without notice or PILON under section 10(a), (b) & (c) of EO	The date on which termination takes effect	An employee terminates the employment contract on 1 July 2025 under section 10 of EO ➔Effective date of termination: 1 July 2025 ➔Relevant date: 1 July 2025	✓ the relevant date falls between 1 May 2025 and 30 April 2050
(e) Employee resigns under section 10(aa) of EO after being certified as permanently unfit for the particular type of work for which he was employed by a registered medical practitioner / Chinese medicine practitioner	The date on which the termination takes effect	The employee resigns on 1 July 2025 with immediate effect on ground of being certified as permanently unfit for the particular type of work for which he was employed ➔Relevant date: 1 July 2025	✓ the relevant date falls between 1 May 2025 and 30 April 2050
(f) Termination by employee without notice under section 10A[9] of EO	The date up to which PILON is calculated	An employee deems the employment contract terminated on 1 July 2025 with immediate effect under section 10A of EO and 1-month	✓ the relevant date falls between 1 May 2025 and

9 Under section 10A of EO, if wages are not paid within one month after they become due, an employee may deem his contract of employment to be terminated by his employer without notice and is entitled to PILON in addition to other statutory and contractual termination payment.

		PILON is required to be paid by the employer ➔Relevant date: 31 July 2025	30 April 2050
(g) Termination of contract due to non-renewal of fixed-term contract by the employer	The date on which the fixed-term contract expires	The fixed term contract expires on 1 July 2025 ➔Relevant date: 1 July 2025	✓ the relevant date falls between 1 May 2025 and 30 April 2050
(h) Retirement at the age specified in the employment contract	The date on which the retirement age is reached	An employee retires at the retirement age of 60, which is specified in the employment contract, on 1 July 2025 ➔Relevant date: 1 July 2025	✓ the relevant date falls between 1 May 2025 and 30 April 2050
(i) Employee dies during employment	The date of the death	An employee died during employment on 1 July 2025 ➔Relevant date: 1 July 2025	✓ the relevant date falls between 1 May 2025 and 30 April 2050

Note 1*: *Determination of the expiry date of notice period [Internal note: suggest adding explanatory notes on how to count the expiry day of the notice period as PA may come across letter of termination in the course of vetting. Therefore, they may need to know how to count the expiry date of notice period (i.e. the relevant date) for determination of ER's eligibility for SSA. The following is drafted with reference to the KB of ICC. We may need to align with LRD's lines-to-take on interpretation of EO when preparing these guidelines.]

- If the notice period is calculated in terms of days, the day on which notice of termination of employment is given may be excluded from the notice period.

- If the notice is calculated in terms of months, EO has stipulated that –

"month" means a period of time commencing on the day on which the notice of termination of a contract of employment is given, and ending at the end of the day before the corresponding date in the following month or, where there is no corresponding date in the following month or where the commencing day is the last day of a month, at the end of the last day of the following month.

Examples for illustrating how to determine expiry date of notice period

Assuming the agreed notice period is seven days, the following example illustrates how the expiry date of the notice period is determined:

Issue date of notice of termination	Expiry date of notice period
11 Feb	18 Feb (i.e. the day on which the notice of termination is served is excluded in the calculation of 7-day notice period)

Assuming the agreed notice period is one month, the following examples illustrate how the expiry date of the notice period is determined:

(i) A period of time commencing on the day on which the notice of termination (which is not the last day of the month) is given and ending at the end of the day before the corresponding date in the following month

Issue date of notice of termination	Expiry date of notice period
13 Feb	12 Mar (i.e. the day before 13 Mar, the corresponding date in the month following Feb)
1 Apr	30 Apr (i.e. the day before 1 May, the corresponding date in the month following Apr)

(ii) For cases where there is no corresponding date in the following month, the notice period expires at end of the last day of the following month

Issue dates of notice of termination	Expiry date of notice period
30 Jan	28 or 29 Feb (i.e. last day of the month following Jan, depending on whether it is a leap year)
31 Jan	

(iii) For cases where the day on which the notice of termination is given falls on the last day of the month, the notice period expires at the end of the last day of the following month

Issue date of notice of termination	Expiry date of notice period
30 Apr	31 May (i.e. last day of the month following Apr)
31 May	30 Jun (i.e. last day of the month following May)
31 Jul	31 Aug (i.e. last day of the month following Jul)

2.5 SP/LSP entitlements awarded by a court or the Labour Tribunal ("LT") to employee as remedies for Unreasonable Dismissal ("UD"), Unreasonable Variation of the Terms of the Employment Contract ("UV") or Unreasonable and Unlawful Dismissal ("UUD")

Employees affected by UD, UV or UUD may file claims against their employers to a court or LT for remedies which may cover, amongst others, the entitlements employees might reasonably expect to be entitled to under EO had they been allowed to continue with the employment. For example, an employee unreasonably dismissed after 4.5 years' service may be awarded LSP calculated according to the actual length of service. SSA **does not cover** employer's payout in relation to these SP/LSP entitlements awarded by a court or LT to an employee as remedies for UD, UV or UUD as the employer has contravened

the employment protection provision of EO.

2.6 Post-transition portion of SP/LSP actually paid to the employees covered / subsidised by government funding

To prevent granting double benefits, SSA **does not cover** employer's expenses on post-transition portion of SP/LSP under EO, which has been / will be **fully** covered / subsidised by other government funding. A monitoring list of organisations whose employees' SP/LSP is likely covered / subsidised by government funding is attached at **Annex xx**. *[Note: The Monitoring List will be provided once ready.]*

For the procedures of vetting applications of organisations on the monitoring list and vetting applications with LT award, please refer to Chapter 5.

2.7 Employers defaulting ERMC or contributions to employer-funded exempt ORS

Employers should have cleared all ERMC (or contributions to employer-funded exempt ORS) for the employees in respect of whom subsidy on SP/LSP expenses is applied before making the subsidy applications. Subsidy applications submitted by employers defaulting ERMC (or contributions to employer-funded exempt ORS) would not be entertained. [TBC]

[Internal Note: It is to be confirmed whether subsidy applications in respect of the non-skilled EEs engaged under the Standard Employment Contract for EEs of Contractors of Government Service Contracts should be entertained or not. If no, para 2.8 on these EEs should be added.]

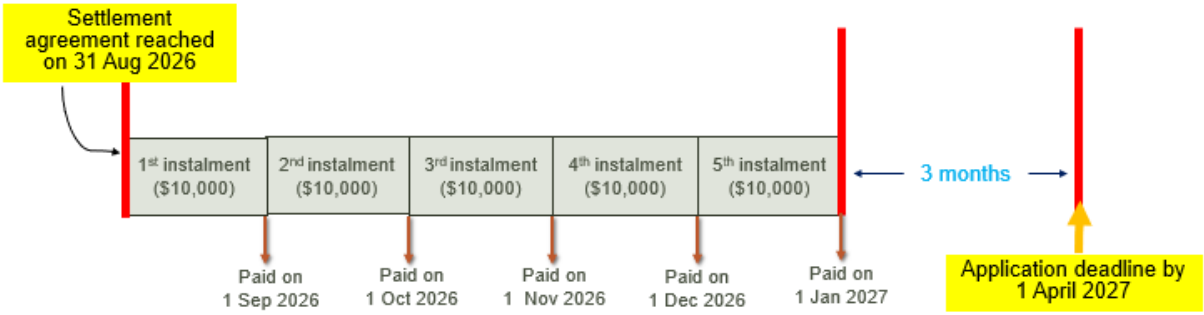
2.8 Application deadline

2.8.1 Employers should submit application **<u>not</u> later than 3 months** after effecting payment of SP/LSP to employees.

2.8.2 For cases where settlement of SP/LSP is by instalments, the employer should submit application **not later than 3 months** after **the payment date of the last instalment of SP/LSP**. Please refer the following example on the counting of the deadline of application:

Example for illustrating how to count the deadline of application

The employer settles SP/LSP by 5 instalments and the last instalment is paid on 1 Jan 2027. The deadline of application is 1 April 2027, i.e. 3 months after the payment date of last instalment.



2.8.3 The relevant date of termination of employment described at para. 2.4 is irrelevant to the determination of application deadline though it must fall between 1 May 2025 and 30 April 2050 for fulfilling the eligibility of application for subsidy under SSA. For some cases where SP/LSP is paid far after the relevant dates of termination due to dispute on entitlement of SP/LSP and lengthy civil proceedings, the employers are still eligible for application for subsidy under SSA as long as the application is made within 3 months after payment. Notwithstanding above, the relevant date of termination determines which subsidy year and thus the corresponding subsidy ratio should be adopted in the calculation of subsidy to be granted. For details, please refer to Chapter 6.

Chapter 3 Collection of Applications

3.1 Means of application submission

3.1.1 Employers may submit applications via the following channels as published in the Guidance Notes for Employers Making Subsidy Applications (at **Appendix X**):

- TransitionEase Portal
- Email
- Facsimile
- Post or in person to the service centre(s) operated by PA

3.1.2 If an employer sends an application to EBSD directly, EBSD will forward the application to PA for follow-up.

3.2 Submission of applications

3.2.1 For applications made via means other than the TransitionEase Portal, the employer should submit the completed SSA application form (**Appendix X**). All applicants are required to submit their subsidy applications together with a **copy** of the following supporting documents:

(A) Employer details (mandatory only for first-time applicants with submission via the TransitionEase Portal and all applicants with submission via means other than the TranstionEase Portal)

3.2.2 **For the above mentioned applicants**, they are required to provide a copy of the following documents: *[Note to IT Team: This part would need to be reviewed after after the vetting criteria are endorsed.]*

(a) Employer's entity

(i) Employer with business registration

- Latest Business Registration Certificate ("BRC");
- Latest application for Business Registration ("BRA") (for partnership only);
- for sole proprietor

- HKID Card; or
- Passport (if not possessing a HKID card)

- for partnership, each partner's
  - HKID Card; or
  - Passport (if not possessing a HKID card); or
  - Registration document (for partner(s) which is/are body corporate(s))
- for limited company
  - Certificate of Incorporation ("CoI")
  - Certificate of Registration ("CoR")

(ii) Organisations **without CoI** but are incorporated under an ordinance of Hong Kong

- Registration document under that ordinance, such as
  - Society
    - CoR of a Society under the Societies Ordinance (Cap. 151) issued by the Society Office of HK Police Force
  - School / Education centre
    - CoR of School under the Education Ordinance (Cap. 279) issued by the Education Department
  - Trade union
    - CoR of a Trade Union / Trade Union Federation under the Trade Unions Ordinance (Cap. 332) issued by the Registry of Trade Unions
  - Owners' corporation
    - CoR under the Building Management Ordinance (Cap. 344) issued by the Land Registry

(iii) Individual employer without any business registration

- HKID Card; or
- Passport (if not possessing a HKID card)

(b) Designated bank account for receiving subsidy payment

- The bank account should be a **HKD savings or current account in a bank operating in Hong Kong**. Overseas bank account is not

accepted;

- The bank account holder should be the **same** as the employer or business. Another person's / company's bank account is not accepted; and
- The documentary proof should show the account holder's name and the account number. Examples of proof include:
  - bank statement;
  - bank certificate;
  - ATM card; and
  - bank book, etc.

3.2.3 Please see section 5.8 on handling requests for subsidy payment by cheque.

(B) For employers submitting subsidy applications via the TransitionEase Portal

These employers are required to set up an ER Profile on the TransitionEase Portal and appoint a Primary Authorised Person ("PAP") to handle all matters related to making subsidy applications including submission of applications and supplementary documents, updating business registration information, and setting up and updating the ER Profile and account(s) of General Authorised Person(s) ("GAP") on the TransitionEase Portal

PAP information to be provide on first-time online registration and every assignment of Primary PAP

- Employer's letter to appoint PAP with company chop and signed by the sole proprietor or a partner or a director or a person-in-charge of the company / organisation depending on the type of entity of the employer [Template No.: xxx (for first-time online registration; Template No.: xxx (for change of PAP)]

(C) Updating of ER profile (for applicants with previous application(s))

[Note to IT Team: This part would need to be reviewed after after the vetting criteria are endorsed.]

3.2.4 For change of business entity (say from sole proprietorship to partnership) or composition of partners (say addition / removal of partners to / from a partnership), the employer would be treated as a new entity except those

change from individual employer to sole proprietorship and vice versa. A new ER Profile has to be set up by providing the same documents as a first-time applicant listed above. [TBC]

3.2.5 For change of ER profile other than entity type or composition of partners which necessitates the creation of a new ER profile, applicants are required to provide a copy of the related documents for amending the ER Profile in on the TransitionEase Portal: [TBC]

Type of change	Copy of required document
Change of entity from individual employer to sole proprietorship [TBC]	• BRC
Name of employer / business	• BRC • BRA • CoI / CoR (for limited companies) • CoR (for other organisations)
Expiry of business registration of employer / business / partner(s) who is/are body corporate	• Renewed BRC
Name of sole proprietor / individual employer / partner(s)	• HKID card • Passport (if not possessing a HKID card) • CoI or CoR (for partner(s) which is/are body corporate(s))
Number and expiry of the passport of sole proprietor / individual employer / partner(s)	• Renewed passport
Change of bank account (such as bank account name, bank account number) for receiving subsidy payment	• bank statement; • bank certificate; • ATM card; or • bank book, etc. (Note: 1. The bank account should be an HKD savings or

	current account in a bank operating in Hong Kong. 2. The bank account holder should be the same as the employer or business.)
Change of PAP	• Employer's letter to appoint the new PAP (Template No. :xxx) [TBC]
Name of PAP	• Employer's letter to inform the change of name of Primary AP with company chop and authorised signature

3.2.6 For change of PAP submitted via means other than the TransitionEase Portal, VO should disable the user account of the former PAP immediately upon receipt of employer's letter to appoint a new PAP before vetting the documents relating to the new PAP.

3.2.7 If the applicant fails to provide copy of the above documents, the VO should follow up with the applicant according to Chapter 5.

(D) Subsidy application details

3.2.8 For each subsidy application, the applicant is required to provide a copy of the necessary employment, termination and SP/LSP payment proof as listed below:

(a) Employment and termination proof

- The documents should show that the employment information (e.g. name and post title of the employee, commencement and the relevant date of termination of employment, mode of termination, etc.) of the employee as stated on the application form. Examples of the proof are:
  - **employment contract** specifying the name, post title and commencement date of employment of the employee;
  - **MPF scheme enrollment certificate** specifying the name and

commencement date of employment of the employee;

- **Notice of termination of MPF scheme** specifying the name, last date of employment and reason for termination of the employment of the employee;
- **termination notice / letter** issued by employer to the employee specifying the name of employee, date of termination, mode of termination (by notice or PILON), reason of termination and last date of employment of the employee;
- **retirement notice / letter** issued by employer to the employee specifying the name of employee, post title, years of service (commencement date of employment and date of retirement of the employee);
- **reference letter** issued by employer to the employee specifying the name, post title, commencement date of employment and last date of employment of the employee; and
- **notification / letter** submitted by the employee to the employer to terminate the employment specifying the name of employee, date of termination, mode of termination (by notice or PILON), reason of termination and last date of employment of the employee.

(b) Wage[10] record

---

10 "Wages" means all remuneration, earnings, allowances including travelling allowances and attendance allowances, attendance bonus, commission, overtime pay, tips and service charges, however designated or calculated, payable to an employee in respect of work done or work to be done. However, it does not include:

- the value of any accommodation, education, food, fuel, water, light or medical care provided by the employer;
- employer's contribution to any retirement scheme;
- commission, attendance allowance or attendance bonus which is of a gratuitous nature or is payable only at the discretion of the employer;
- non-recurrent travelling allowance or the value of any travelling concession or travelling allowance for actual expenses incurred by the employment;
- any sum payable to the employee to defray special expenses incurred by him by the nature of his employment;
- end of year payment, or annual bonus which is of a gratuitous nature or is payable only at the discretion of the employer;
- gratuity payable on completion or termination of a contract of employment.

Overtime pay should also be included in calculating SP/LSP if:

- it is of a constant character; or
- its monthly average over the past 12 months is not less than 20% of the average monthly wages of the employee during the same period.

- The documents should show the wage basis used for calculating the SP/LSP. Examples of the proof are:
  - salary slip showing the last monthly wages at termination of employment; and
  - payment proof of wage (e.g. bank transaction records, bank statements, etc.);
- If average monthly / daily wages in the 12 months immediately preceding the termination are used for calculating post-transition portion of SP/LSP, the wage records of 12 months immediately preceding the termination; and
- If 18 days' wages chosen out of the last 30 normal working days are used for calculating post-transition portion of SP/LSP, the wage records of the last 30 normal working days indicating the 18 days which wages had been chosen.

(c) Enrolment proof of MPF / employer-funded exempt ORS[11]

- The documents should show that the employee has been enrolled in an MPF scheme or an employer-funded exempt ORS during employment to prove that the employee is affected by the abolition of the MPF offsetting arrangement and thus his employer is entitled to apply for subsidy for post-transition portion of SP/LSP paid to the employee. Examples of the proof are:
  - MPF scheme / ORS enrolment certificate / document
  - last month's MPF / ORS contribution statement

(d) Proof of offsetting items (if applicable)

- The documents should show the item(s) used for offsetting the post-transition portion of SP/LSP and the offset amount. Examples of the offsetting item are:
  - employer-funded (voluntary) MPF scheme benefits
  - contractual gratuities based on employee's years of service
  - employer-funded (specified) ORS benefits
- Examples of the proof are:

11 Please refer to para. 1.1.1 in Chapter 1 for the definition of an employer-funded exempt ORS.

- offsetting statement on SP/LSP from MPF trustee(s) specifying the total amount of SP/LSP entitlement, the amount of SP/LSP paid by the employer and the amount of SP/LSP offset by MPF accrued benefits attributable to employer's contributions
- final statement of ORS from scheme administrator(s) specifying the amount of ORS benefits refunded to the employer
- payment record(s) of contractual gratuities (e.g. termination payment record showing the amount of contractual gratuities paid to the employee)

(e) SP/LSP Payment proof

- **Third-party payment proof is required** unless not available. The following are examples of payment proof:

<u>Third-party payment proof</u>

- bank transaction records (e.g. ATM records)
- bank statements (e.g. salary transfer statement showing the name of the employer and the employee with relevant details)
- copy of cheque issued by the employer to the employee with relevant bank clearing record (e.g. bank book)
- offsetting statement on SP/LSP from MPF trustee(s) specifying the total amount of SP/LSP entitlement, the amount of SP/LSP paid by the employer and the amount of MPF benefits used to offset the SP/LSP entitlement
- final statement of ORS from scheme administrator(s) specifying the total amount of SP/LSP entitlement, the amount of SP/LSP paid by the employer and the amount of ORS benefits refunded to the employer

<u>Non third-party payment proof</u>

- the employee's acknowledgment receipt of payment specifying the calculation of pre-transition portion of SP/LSP (if any), post-transition portion of SP/LSP, the amount of MPF / ORS benefits / contractual gratuities (if any) used to offset the SP/LSP entitlement and the actual amount of SP/LSP paid by the employer to the employee

- termination payment slip showing, amongst others, the SP/LSP amount paid to the employee

3.2.9 Please see section 5.3 for vetting of documents collected from applicants.

3.3 Estimation of subsidy payable at the time of application submission

3.3.1 For online submission, the TransitionEase Portal will calculate the amount of subsidy payable in respect of an application or a batch of applications (30 applications at the maximum) before submission. An estimated figure based on the information provided by the applicant will be displayed in the summary page for the applicant's reference. The estimated figure is calculated based on the latest cumulative net post-transition portion of SP/LSP expenses[12] of the employer (including the approved applications and those in-progress applications) and the subsidy ratio in the relevant subsidy year.

3.3.2 For batch submissions, SSAS will first sort the applications in a batch by relevant subsidy year in accordance with the relevant dates of termination of employment of the concerned employees. Applications falling within the same subsidy year will then be arranged in descending order of the net post-transition portion of SP/LSP paid to the concerned employees and the estimated subsidy amount will then be calculated based on the above sequence to maximise the subsidy amount payable to the applicant.

3.3.3 Actual subsidy payable will be calculated based on the vetted net post-transition portion of SP/LSP of an application and the latest cumulative net

12 The net post-transition portion of SP/LSP refers to the amount of post-transition portion of SP/LSP paid to an employee after any offsetting with allowable items. For example, an employee is entitled to $50,000 post-transition portion of SP/LSP. His employer may offset the post-transition portion of SP/LSP with allowable offsettable item(s) (e.g. ERVC, gratuities based on length of service, etc.). If the employer has offset the post-transition portion of SP/LSP with, say, (i) $5,000 of ERVC and (ii) $10,000 of gratuities and paid the employee $35,000 (i.e. $50,000 − $5,000 − $10,000). The net post-transition portion of SP/LSP of the employee is $35,000. If the employer has not offset the employee's post-transition portion of SP/LSP with any allowable offsetting item and paid the employee $50,000, the net post-transition portion of SP/LSP of the employee for the purpose of calculation of subsidy payable to the employer is $50,000.

post-transition portion of SP/LSP expenses of the applicant at the time of the application is ready for proceeding to payment stage. For batch submission, if the vetted net post-transition portion of SP/LSP [13] of the approved applications is different from the amount input by the applicant at the time of submission, the order of the applications, which would proceed to payment on the same date, will be re-arranged for calculation of the subsidy payable. For details of calculation of subsidy payable in respect of an application or a batch of applications, please refer to Chapter 6.

3.3.4 **For paper form submission involving not more than 30 employees**, PA should input the information to the Back-End System of SSAS directly and for batch applications, SSAS will sort the applications in descending order of the net post-transition portion of SP/LSP paid to individual employees in the same submission according to the subsidy year, similar to a submission via the TransitionEase portal. **For submission involving more than 30 employees**, PA should first sort the applications in descending order of the net post-transition portion of SP/LSP paid to individual employees according to the subsidy year and input the application data into SSAS by batches according to the sorted sequence with a maximum of 30 applications per batch.

3.3.5 For applicants submitting applications via means other than the TransitionEase Portal, it is not necessary to inform them of the estimated subsidy amount in the acknowledgement receipt of their application(s).

3.4 Acknowledgement receipt of application

3.4.1 For applications made via the TransitionEase Portal, an automated message would pop up on the portal **instantly once an application is submitted** to inform the applicant that the application has been submitted successfully and the application number.

3.4.2 For paper form applications submitted by post or in-person to EBSD / PA service centre(s) within the office hours, the receipt date by EBSD / PA

13 The vetted net post-transition portion of SP/LSP refers to the amount of post-transition portion of SP/LSP eligible for subsidy after vetting.

service centre(s) will be taken as the submission date of the application. For those submitted by post or in-person to EBSD / PA service centre(s) after the office hours, the receipt date will be taken as the next working day.

3.4.3 For paper form applications submitted by email or facsimile to EBSD / PA service centre(s), the print date shown on the facsimile or the email receipt date shown in the email will be taken as the submission date, or if it is not a working day, the next working day will be taken as the receipt date.

3.4.4 PA should complete the dual data entry of the applications into SSAS and issue clarification within 4 working days or complete the dual data entry of the applications to SSAS and submit recommendations to AO within 6 working days if no clarification is required after the receipt date of the applications.

3.4.5 Irrespective of the submission channel, SSAS will auto-generate the letter of acknowledgement (letter template at **Appendix X**) for issuance to the applicant by one of the means below:

- **Email** – reminding the applicant to check notification on the TransitionEase Portal if the applicant submitted the application via the TransitionEase Portal (to be sent out automatically **after assignment of VO(s)**). A notification with name(s) of employee(s), the assigned application number(s), name(s) and contact number(s) of responsible VO(s) stated will be stored in the in-box of the applicant's designated page on the TransitionEase Portal for checking and future reference.
- **Post** – same content as the notification above for sending to an applicant submitting application via means other than the TransitionEase Portal (to be printed by SSAS by midnight of the day of completing the data input and mailed by PA **by the next working day**)

3.5 Late applications

3.5.1 As set out in para. 2.8, an employer should submit application not later than 3 months after effecting payment of SP/LSP to the employees. (Please see para. 2.8.2 for the examples on determination of application deadline).

3.5.2 An application received after the aforesaid 3-month deadline is regarded as a late application. For late applications, the VO should issue a clarification letter (letter template at **Appendix X**) to the applicant advising the applicant that late applications are normally not considered unless with justifications and if no justification is received from the applicant within 7 working days from the date of the letter, the application will be deemed withdrawn. Apart from seeking the justification of late application in this clarification letter, VO should also take the opportunity to seek other clarification(s) of the application (if necessary) in the same letter.

3.5.3 If no reply is received after 7 working days from the issue date of clarification request, SSAS would send a reminder to the applicant. If no reply is received after 7 working days from the issue date of the reminder, SSAS will send a final reminder to applicant. The VO should also follow up with the applicant by phone within 2 working days after the issue date of the final reminder. The application will be deemed withdrawn if the applicant still fails to submit written justification in 9 working days after the issuance of final reminder. To reactivate the processing of a late application which was deemed withdrawn, the applicant is required to submit a new application together with the justification for the late submission. Such request will be processed as if it is a fresh application.

3.5.4 In general, late application(s) will be accepted if the applicant has submitted written justification. However, each application should be considered on individual case merits (e.g. duration of lateness involved, reasons provided) while an overall consistency of acceptance should be maintained. The following are some possible reasons:

- HR staff responsible for handling application matters left service thus missing the application deadline
- Prolonged process of acquiring the information / documents required for submitting the application
- Delay in obtaining necessary information / documents for application submission due to prolonged communication process with employee.

3.5.5 For late applications that the VO proposes to deem withdrawn due to applicant's failure to provide any explanation, the VO should seek the approval of AO as normal. Upon obtaining the AO's approval, VO should

issue a notification (reminder at **Appendix X**) of viewing the notifications via the TransitionEase Portal to the applicant by email for submission via the TransitionEase Portal or template at **Appendix X**) of application result to the applicant by post for other submisions, depending on the submission channel of the application. For all applicants, the notification with full details will be stored in the in-box of the applicant's designated page on the TransitionEase Portal for furture reference. For applicants who submitted application via means other than the TransitionEase Portal, all notifications will be available in the in-box once they registered via the TransitionEase Portal.

3.5.6 Late applications with justifications should be processed along the same vetting and approval procedure as normal applications. The process of seeking and processing an applicant's justifications is treated as a clarification with the applicant during case vetting.

Chapter 5 Vetting and Approval

5.1 Purpose and workflow of vetting applications

5.1.1 Before releasing subsidy payable to eligible applications, VOs and AOs should:

- check that the information and documents submitted by applicants are sufficient to support the applicants' eligibility for subsidy under SSA;
- where applicants are eligible for subsidy under SSA, ascertain the amount of SP/LSP payable to an employee in respect of the employment period from the transition date (i.e. 1 May 2025) (post-transition portion of SP/LSP) or date of commencement of employment, whichever is later to the relevant date of termination of employment. Where the applicant has offset the post-transition portion of SP/LSP with allowable offsetting items, ascertain the amount of the net post-transition portion of SP/LSP payable to an employee and that there is payment proof on the applicant having paid the concerned employee; and
- take follow-up actions as appropriate (e.g. make clarifications, collect supplementary information / documents from applicants, record all the clarifications properly and check whether the application data are accurately inputted into SSAS). If clarification with other relevant parties is considered necessary, VO should seek advice from EBSD via the Vetting TL.

5.1.2 To achieve proper checks and balances, PA is required to adopt a **two-tier system** in vetting and approving / refusing an application with proper segregation of duties: (i) applications to be vetted by VOs; and (ii) VO's recommendations (i.e. approval / refusal) to be endorsed by an AO.

5.2 Timeline for vetting and approving an application

5.2.1 **If no clarification is required** for fresh applications received through the TransitionEase Portal, VO shall complete vetting and submit the recommendation to either approve or refuse the application to AO within 4

working days after the receipt of fresh applications.

5.2.2 For applications received through means other than the TransitionEase Portal with no clarification required, PA or VO shall complete dual data input, vetting and submit the recommendation to either approve or refuse the application to AO within 6 working days after the receipt of fresh applications.

5.2.3 **For fresh applications requiring clarifications or additional information**, documents and/or advice from the applicants, LD, other government bureaux / departments, relevant organisations and/or parties, the VO shall complete vetting and issue the clarification request(s) within 2 working days after the receipt of fresh applications through the TransitionEase Portal.

5.2.4 For fresh applications received through means other than the TransitionEase Portal requiring clarifications or additional information, documents and/or advice from applicants and other parties, PA or VO shall complete dual data input and vetting as well as issuing the clarification request(s) within 4 working days after receipt of fresh applications.

5.2.5 For applications which require clarifications, VO shall complete assessing the supplementary information, documents and/or advice within 2 working days after receipt of the supplementary information, documents and/or advice from the applicants and/or relevant parties by (a) submitting an approval or refusal recommendation, as appropriate, to AO if no further clarification from the applicant and/or relevant parties is required, or (b) if further clarification is required, issuing the clarification request(s) as necessary.

5.2.6 If hard copies of supporting / supplementary documents are received, receipt date and time should be recorded on the hard copies. The documents should also be uploaded into SSAS.

5.2.7 AO shall be responsible for completing the approving procedures by examining and granting approval-in-principle (AIP) or refusal-in-principle (ReIP) for fresh application on the recommendation from VO within 2 working days after receipt of the recommendation. If AO disagrees with VO's recommendation, AO shall return the case to VO within the same time frame above. VO shall, within 2 working days after the application has been

returned, complete assessing whether it is necessary to make further clarifications, seek additional information, documents and/or advice from the applicants, LD, other government bureaux / departments, relevant organisations and/or parties by (a) if further clarification is required, issuing the clarification request(s) as necessary, or (b) if no further clarification is required, re-submitting the recommendation to AO with issues raised by AO answered.

5.2.8 Please see section 5.11 for applications withdrawn by the applicant.

5.3 Declaration of officers with conflict of interest

5.3.1 To ensure proper utilisation of public funds and uphold the public interest, all officers should declare non-conflict of interest[14] in SSAS prior to processing an application.

5.3.2 If any officer declares an interest in relation to an application, the officer should refrain from processing that application. The supervising TL should re-assign the application to another officer for processing and record the reason of re-assignment (i.e. the original officer has declared a conflict of interest) in SSAS.

5.3.3 In case of the application submitted by PA or its associated company[15] as defined in section 2(1) of the Companies Ordinance (Cap. 622) (TBC), the application should be forwarded to EBSD via SSAS for conducting the vetting and approving procedures.

---

14 A conflict of interest situation arises where the "private interests" of an officer compete or conflict with the interests of the officer's duties or the Government. "Private interests" include the financial and other interests of the officer himself; his family or other relations; his personal friends; the clubs and associations to which he belongs; any other groups of people with whom he has personal or social ties; or any person to whom he owes a favour or is obligated in any way. There are circumstances in which a tie of kinship or friendship, or some other association or loyalty which does not give rise to a financial interest, can influence the judgment of the officer in discharging his duties, or may reasonably be perceived as having such an influence.

15 Associated company, in relation to a body corporate, means a subsidiary of the body corporate, a holding company of the body corporate, or a subsidiary of such a holding company.

5.4 Checking information and documents submitted by the applicant

5.4.1 To ensure that all information is correctly inputted into SSAS for vetting, PA should arrange two staff to input the application data into SSAS (i.e. **dual input)** for paper form applications after receipt of the application and information and supporting documents. Upon completion of dual input, SSAS will compare all input values done by PA staff and highlight any discrepancy. The second PA staff who completed the dual input should check if there are discrepancies of the inputted data with the data in the application and make rectification accordingly. Upon completion of rectification, SSAS will assign the application to a VO for processing and the VO should ensure information of all mandatory fields of the application are provided by the applicant. The VO should clarify with the applicant for the outstanding information and would be responsible for inputting supplementary information of the mandatory fields provided by the applicant into SSAS (i.e. dual input not required).

5.4.2 For each application, including both paper form and applications submitted via the TransitionEase Portal, the VO should –

- ✓ cross check the information provided in the application with the supporting and supplementary documents submitted by the applicant;
- ✓ follow up with the applicant for any missing / invalid / inconsistent information / document, and where necessary, with other organisation(s) on the relevant information; and
- ✓ update the record in SSAS where necessary after clarification(s) with the applicant and/or other organisations.

<u>Checking employer's particulars</u>

5.4.3 Please refer to section 3.2 for the list of documents to be submitted by applicants (both for first-time or repeated applicants) when making applications.

5.4.4 The name of employer stated in the application should be the entity which entered into a contract of employment with the employee stated in the application. The VO should cross-check the information against the supporting documents submitted by the applicant listed below.

Type of entity	Name of employer	Supporting document (TBC)
Sole proprietorship / individual employer	Name of sole proprietor / individual employer (e.g. CHAN Tai-man)	HKID card / passport
Partnership	Names of **all partners** (e.g. WONG Siu-ling, CHEUNG Siu-Keung, HO Siu-man and XYZ Limited)	BRA and HKID card / passport / registration document of all partners (TBC)
Limited company	Name of limited company (e.g. ABC Limited)	CoI
Other organisation	Name of organisation (e.g. OPQ Society)	Registration / incorporation documents under respective ordinances of Hong Kong

5.4.5 For the points to note for clarification of the name of employer by the VO, please see **Appendix 5.1**.

5.4.6 For information with standard format (e.g. HKID number, BR number, phone number, email address, etc.), it should be checked in order to ensure the information is valid and complete. The VO should also check that a full registered, business and/or correspondence address has been provided.

5.4.7 If the applicant is an office of other Governments in Hong Kong, the VO should check whether the contract of employment between the applicant and the employee is under the jurisdiction of Hong Kong[16] (i.e. whether EO and MPFSO apply etc.).

Checking BRC / registration documents

5.4.8 For applications submitted via the TransitionEase Portal for the first time or applications submitted via other means, applicants (except individual employers who do not operate a business) are required to provide a copy of

16 The contract of employment between the applicant and an overseas employee may not be entered in Hong Kong or may state that it is subject to jurisdiction outside Hong Kong.

BRC / registration documents tallying with their name of business. If the applicant indicated that no valid document could be provided, he is required to explain in writing with reason(s) and provide relevant supporting proof, if any.

5.4.9 In case BRC / registration documents submitted by the applicant has expired, the VO should collect a valid BRC / registration document copy from the applicant for updating the relevant information in SSAS. If the applicant indicates that no valid document could be provided, e.g. due to cessation of business, the applicant should be asked to provide a copy of document which was valid at the end of the employment period of the employee or a written explanation on the reason for being unable to provide such document.

5.4.10 If the applicant has previous application(s) and there are changes in information in BR / registration documents or HKID / passport, the VO should clarify with the applicant and request proof supporting such changes according to section 3.2 and conduct cross-checking against the supporting documents submitted by the applicant.

Checking bank account information and proof

5.4.11 For applications submitted via the TransitionEase Portal for the first time or applications submitted via other means, applicants are required to provide a local Hong Kong dollar savings or current bank account in the applicant name for receiving subsidy payment and the related proof. Details are at para. 3.2.2. For applicant submitting applications via the TransitionEase Portal with previous application(s), he may adopt the same bank account provided before. There is no need for the applicant to submit the bank account proof again. If he chooses to use another bank account, proof for the new account is required.

5.4.12 If an applicant does not provide the bank account information and proof, or an applicant with previous application(s) provides a bank account different from the previous record, the VO should follow up with the applicant to acquire / verify the information and/or the proof. For the applicant who requests for payment by cheque, please see section 5.8 below for the handling procedures.

5.4.13 The VO should ensure that the bank account holder name is the same as the applicant and for a partnership applicant, the company name. For the points

to note for clarification of the bank account holder name by the VO, please see **Appendix 5.1**.

5.4.14 In case of sole proprietorships, if the applicant provides a bank account in an individual's name for receiving subsidy payment, the VO should check that the bank account holder is the owner / sole proprietor of the applicant's business as shown in BRC.

5.4.15 In case of partnerships, if the applicant provides a bank account in an individual's name, the VO should advise the applicant to use a company account in the applicant's name to receive subsidy payment. If the applicant cannot provide a company bank account for whatever reason and requests to receive payment by the personal bank account of one of the partners, besides taking the follow-up action at para. 5.4.11, the VO should request the applicant to submit a letter with company chop and signature(s) of all partner(s) giving authorisation to the specified bank account holder to receive subsidy payment. In case the applicant indicates that there is difficulty to collect the signature(s) of all partner(s), the VO should request the applicant to provide a written declaration on the reason(s) for being unable to provide the signature(s) of all partner(s), that he is the authorised person to receive the payment on behalf of the applicant company, and that the liability of such payment would be laid upon him.

5.4.16 For a sole proprietorship / individual applicant who provides a joint account in which he is one of the account holders, the VO should advise the applicant to provide a bank account in his sole name; and if to the negative, the VO should request the applicant to provide a written declaration on the reason(s) for being unable to provide a bank account in his sole name and that the liability of such payment to be received by the joint account would be laid upon him. For exceptional cases for partnership without company account at para. 5.4.15, the provision of a joint account should be handled similarly.

5.4.17 For a sole proprietorship / partnership / individual applicant who requests for subsidy payment by cheque, please see section 5.8 below for the handling procedures.

<u>Checking the applicant's signature, company chop and date of submission of application</u>

5.4.18 For paper form applications, the VO should –

- ✓ Check whether the applicant's signature is digitally / electronically "signed" since a digitally / electronically "signed" signature should not be considered as a proper signature;
- ✓ check whether the date of signature is reasonable[17];
- ✓ check that the company chop on the application form tallies with the applicant's company name; and
- ✓ contact the applicant for re-submission of the signature page[18] if mistake or incomplete information is found.

Checking employee's particulars

5.4.19 The applicant should provide the date of birth of the employee and the VO should update the record in SSAS as follows:

- If the date of birth of the employee indicated in the employee's HKID card shows only the year and month of birth, the last day of the month of birth[19] would be inputted as the birthday of the employee into SSAS.
- Where the HKID card shows only the year of birth, the last day of the year (i.e. 31 December) would be inputted as the birthday of the employee into SSAS.

5.4.20 The VO should cross-check the name of employee as indicated on the application form and supporting document(s). If the name of employee as shown on the application form and supporting document(s) is different, but clearly referring to the same person, the VO should:

Senario 1	**Senario 2**
Application form: CHEUNG Tsz Yan Aimee	Employment contract: CHEUNG Tsz Yan

17 For example, the signature date on the application form should not be earlier than the date of SP/LSP payment or later than the date of submission of the application form.

18 This is a follow-up action for missing information and will not be considered as late application.

19 The Mandatory Provident Fund Schemes Authority adopts the same practice in handling enrolment with MPF scheme and claims for payment of MPF accrued benefits on grounds of attaining the retirement age of 65 and cessation of MPF mandatory contribution in respect of an employee in the absence of the month / day of birth on the HKID card (reference: https://www.mpfa.org.hk/en/-/media/files/information-centre/legislation-and-regulations/guidelines/current-version/part-iv/iv-4/annex_a1_to_iv_4.pdf).

Wage record: Aimee CHEUNG →make clarification with the applicant unless supporting documents concerned indicates that the employee's HKID number tallies with that on the application form.	SP/LSP payment record: CHEUNG Tsz Yan Aimee →make clarification with the applicant unless supporting document concerned indicates that the employee's HKID number / name tallies with that on the application form

Checking whether the employer had not yet cleared defaulted payment of any mandatory MPF contributions / contributions to employer-funded exempt ORS in accordance with the ORS terms to the employee (TBC)

5.4.21 Employers may only apply for subsidy under SSA in respect of employees whom they have cleared all defaulted MPF mandatory contributions / contributions to employer-funded exempt ORS before making applications. If the applicant indicates in the application that the defaulted MPF mandatory contributions / contributions to employer-funded exempt ORS to the employee remain unpaid, the VO should clarify with the applicant. If the applicant responded that the default contributions have already been cleared, the VO should request the applicant to provide supporting proof.

Checking the employment and termination details of employee

5.4.22 If the applicant indicates that the employee had been employed by another company before the employment with the applicant and the concerned employment period is recognised by the applicant in calculating SP/LSP entitlement[20], the commencement date of employment under a continuous contract should be the commencement date of such employment period recognised by the applicant. Otherwise, the commencement date of employment for calculating SP/LSP entitlement should be the commencement date of employment with the applicant.

20 According to the First Schedule of EO, if a trade, business or undertaking is transferred from one person to another, the period of employment of an employee in the trade, business or undertaking at the time of the transfer shall count as a period of employment with the transferee, and the transfer shall not break the continuity of the period of employment. Please refer to the First Schedule of EO for the minimum requirement of a continuous contract – (https://www.elegislation.gov.hk/hk/cap57?xpid=ID_1438403464614_003)

5.4.23 If the applicant indicates that the employee had been deployed to work for another company for some time during the employment and such deployment period is not recognised by the applicant as employment with the applicant, the commencement date of employment for calculating SP/LSP entitlement should be the date when the employee returned to work for the applicant.

5.4.24 If the supporting documents (e.g. employment contract) submitted by the applicant indicates hours of work of the employee, the VO should check if the employee has fulfilled the minimum requirement of a continuous contract.

5.4.25 Subsidy payable to eligible applicants would be calculated by SSAS according to the subsidy ratio applicable to the subsidy year in which the relevant date of termination of employment of the concerned employee fell (details are at Chapter 2). The VO should check that (i) the relevant date of termination of employment must fall between the transition date of abolition and the last day of the 25-year subsidy period, both dates inclusive, i.e. 1 May 2025 to 30 Apr 2050; and (ii) that the end date of notice served / date up to which the PILON paid to terminate the employment contract shown in document(s) submitted by the applicant tallies with the information as specified in the application.

Checking the employee's wages for calculation of SP/LSP entitlement

5.4.26 Employee's wages for calculation of SP/LSP entitlement should be verified by checking the wage record(s) submitted by the applicant and the amount shown on the proof should be no less than the amount stated by the applicant in the application.

5.4.27 Wage payment suspected to have included non-wage items (e.g. end of year payment which falls outside the definition of "wages" in EO) should be clarified with the applicant.

5.4.28 If the applicant has reduced wages of the employee before the transition date and/or termination of employment and used pre-reduced wage rate to calculate the pre-transition and/or post-transition portion of SP/LSP entitlement (TBC), the VO should –

- ✓ require the applicant to provide a copy of the written consent between the applicant and the employee on adopting the pre-reduced wage rate for calculating SP/LSP at temination of employment or other supporting proof showing such undertaking by the applicant; and
- ✓ check that the amount of pre-reduced wage rate stated by the applicant in the application should be the same as the amount shown in the supporting proof.

Checking the offsetting items used to offset the post-transition portion of SP/LSP

5.4.29 The VO should check that the amount of offsetting items used to offset the post-transition portion of SP/LSP shown in the proof should be the same as the amount stated by the applicant in the application and that the offsetting items are allowable items. In case of a different amount shown on the payment proof, the VO should make clarification with the applicant.

Checking the details of MPF scheme or ORS in which the employee enrolled

5.4.30 The VO should check that whether the applicant had enrolled the employee in an MPF scheme[21] / employer-funded exempt ORS[22]. If the date of enrolling in the scheme is dubious (e.g. the date of enrolment is after the date of termination of employment or payment of SP/LSP) or the applicant could not provide document on the employee's enrolment or making contributions for the employee, he is required to explain in writing and provide supporting

21 Employers are NOT eligible to apply for subsidy under SSA in respect of an employee whom they are not obliged to make mandatory contributions to an MPF scheme (e.g. domestic helpers) or whom they do not make contributions to an employer-funded exempt ORS since they are not affected by the abolition of offsetting arrangement. Except for exempt persons under MPFSO, employers are required to enrol both their full-time and part-time employees aged 18 to 64 who have been employed for a continuous period of 60 days or more in an MPF scheme within the first 60 days of their employment, and enrol their casual employees aged 18 to 64 employed on a day-to-day basis or for a fixed period of less than 60 days within the first 10 days of employment. Meanwhile, employers providing an employer-funded exempt ORS must offer new employees enrolled on 1 December 2000 and thereafter a choice between joining the employer-funded exempt ORS and an MPF scheme no later than 10 days after the employees become eligible. Employees must inform in writing their employer of their choice no later than 30 days after they become eligible, otherwise they are deemed to have chosen the MPF scheme.

22 Including (i) ORS that are granted exemption under MPFSO (Mandatory Provident Fund Schemes Authority's website to check if an ORS has been granted exemption certificate under MPFSO: https://www.mpfa.org.hk/en/info-centre/public-registers/mpf-exempted-orso-schemes); (ii) the provident funds under the Grant Schools Provident Fund Rules, Cap. 279C and the Subsidized Schools Provident Fund Rules, Cap. 279D; and (iii) non-Hong Kong provident, pension, retirement schemes of employees from outside Hong Kong (including imported workers) to which the employer has made contributions and due to which, the employee is exempted from the joining an MPF scheme in Hong Kong.

proof, if any.

5.5 Verifying payment of the post-transition portion of SP/LSP

5.5.1 SSAS will compare –

(i) out-of-pocket SP/LSP expenses of the employer; or
(ii) the SP/LSP amount calculated according to EO based on the information (e.g. employee's wage rate, length of service) provided by the applicant, depending on whether the employer has offset the SP/LSP with any allowable offsetting items (such as ERVC and gratuities); and

adopt the lesser of (i) and (ii) as the SP/LSP amount eligible for subsidy. Please see Chapter 6 for details.

5.5.2 If an employer has paid **more SP/LSP** than the employee's entitlement under EO (e.g. if the employer has not used the monthly wage cap of $22,500 but a higher wage rate of the employee to calculate the employee's SP/LSP), subsidy to the employer would be based on the SP/LSP calculated using the cap of $22,500.

5.5.3 If an employer is suspected to have **underpaid** SP/LSP to an employee, calculation of subsidy would be based on the actual amount of SP/LSP paid by the employer.

5.5.4 If an employee's wages had been reduced **before** the transition date and/or the termination of employment; and SP/LSP is calculated based on the pre-reduced wage rate as agreed with the employer, the amount of subsidy to employers will be calculated according to the SP/LSP amount so calculated.

5.5.5 The amount of the net post-transition portion of SP/LSP paid by the applicant shown in the payment proof should be the same as the amount stated by the applicant in the application [i.e. balance of post-transition portion of the SP/LSP entitlement after netting the allowable offsetting items (if any)]. The VO should also make reference to the amount of post-transition portion of SP/LSP calculated by SSAS during checking. In case of a different amount

shown on the payment proof, the VO should make clarification with the applicant.

5.5.6 The VO should check that the following criteria are fulfilled for a valid payment proof of SP/LSP:

- ✓ Payer's name tallies with the applicant's name in the application.
- ✓ Recipient's name tallies with the employee's name in the application form or recipient(s) concerned for the deceased employee's LSP[23].
- ✓ The payment date(s) are corresponding to the termination of employment involved.

5.5.7 In case the payer's name shown on the payment proof submitted by the applicant is different from the applicant's name, the VO should request the applicant to explain in writing and submit supplementary documents to prove the relationship between the payer stated in the payment proof and the applicant.

5.5.8 The application for subsidy should only be made after full settlement of the post-transition portion of SP/LSP. In case an applicant insists to apply for subsidy before full settlement (e.g. financial difficulty), the applicant should be required to provide justification in writing. PA may handle the application on a case-by-case basis and subsidy should only be released for the part of the post-transition portion of SP/LSP already paid by the applicant.

Handling of settlement sum in claims involving SP/LSP (TBC)

5.5.9 If SP/LSP is one of the items of a claim filed by the employee in court (e.g. the Labour Tribunal) and the claim is eventually settled by a lump sum payment (without breakdown by items of the claim) for all items claimed / approved by the court, the "settlement sum" for the post-transition portion of SP/LSP (if it is a claim item approved by the court) would be calculated based

23 In cases where an employee dies during employment, EO sets out the receipients of the deceased employee's LSP in the following order –

- 1st: the spouse of the deceased employee
- 2nd: children of the deceased employee (if two or more persons apply, LSP payment should be divided equally between them)
- 3rd: parents of the deceased employee (if two or more persons apply, LSP payment should be divided equally between them)
- 4th: the personal representative of the deceased employee

on the percentage of post-transition portion of SP/LSP claimed to the total claim amount in respect of the claim items approved by the court.

Illustration: Assuming that all four claim items in the example below are approved by the court:

Claim item	Claim amount stated in claim form	Settlement sum ("C")
(i) Wages	$15,000	$50,000
(ii) PILON	$15,000	
(iii) Annual leave pay	$10,000	
(iv) SP/LSP	$60,000 [pre-transition portion: $20,000 and post-transition portion ("A"): $40,000]	
Total claim amount ("B")	$100,000	

- Settlement sum of post-transition portion of SP/LSP = C × (A / B)
  - **$50,000 × ($40,000 / $100,000) = $20,000**

5.6 Ascertaining the applicant's eligibility

5.6.1 The VO should check all application information to ascertain the applicant's eligibility for subsidy including –

- ✓ the pre-requisite requirements for an employee to be entitled to SP/LSP in EO as stated in Chapter 2;
- ✓ the documentary proof on actual payment of SP/LSP to the employee; and
- ✓ that the applicant will not or has not received funding or other subsidy from the Government for the SP/LSP paid to the employee, etc.

5.6.2 In case of the following situations, the VO should take necessary follow-up actions, including but not limited to verbal / written clarification and/or request for supplementary documents from the applicant / other organisation(s) –

Situation	Matters of concern
The employee is not a HKID holder[24]	• Whether the employee is covered by EO[25]
The correspondence address or telephone number of the employee is the same as that of the applicant	
The employee is a family member of the applicant	
Post title of the employee is "seafarer" (海員) / "marine" or "maritime" (海事)[26] / "apprentice" (學徒)	
Post title of the employee is commonly used for self-employed person or service provider (e.g. agent, contractor, distributor, outsourced worker)	
Post title suggesting that the employee may be under temporary / part-time / casual employment	• Whether the employee has continuous contract of employment
Wage level lower than the statutory minimum wage (SMW) rate[27]	
A sudden drop of wages paid in one or more months of the 12 months' period preceding termination of	

24 The contract of employment between the applicant and an overseas employee may not be entered in Hong Kong or may state that it is subject to jurisdiction outside Hong Kong. In such case, EO and MPFSO will not apply.

25 EO does not apply to the following employees: (1) a family member who lives in the same dwelling as the employer; (2) an employee as defined in the Contracts for Employment Outside Hong Kong Ordinance; (3) a person serving under a crew agreement under the Merchant Shipping (Seafarers) Ordinance, or on board a ship which is not registered in Hong Kong; and (4) an apprentice whose contract of apprenticeship has been registered under the Apprenticeship Ordinance, except for certain provisions of EO. The following classes of employee are not eligible to SP/LSP as well: (1) the employer is the husband or wife of the employee; (2) any outworker; (3) any person, employed by a government other than the Hong Kong SAR Government, who is a subject or citizen of the state under whose government he is employed; and (4) any person in respect of employment as a domestic servant in, or in connection with, a private household, where the employer is the father, mother, grandfather, grandmother, stepfather, stepmother, son, daughter, grandson, granddaughter, stepson, stepdaughter, brother, sister, half-brother or half-sister of the employee.

26 These post titles are listed in the Merchant Shipping (Seafarers) Ordinance. Please see https://www.mardep.gov.hk/theme/maritime_industry/en/engineering_crew_ocean.html for more post titles commonly used in Maritime Industry.

27 An employee's monthly wages satisfying the minimum statutory requirement of continuous contract should have at least SMW rate ($) x (minimum aggregate working hours of the continuous contract requirement under EO) if he works the minimum number of working hours per month for a continuous contract. A wage level exceptionally low may indicate the possibility of no continuous contract of employment. Please see https://www.labour.gov.hk/eng/erb/smw_cal/smw_cal.html for the prevailing and previous SMW rates.

employment[28]	
The employee is a partner / director / chief executive officer[29] of the applicant	• Whether there exists an employment relationship

5.6.3 If the VO identifies circumstances other than the above which cast doubt on the eligibility of the applicant or suspected abuse / fraud, he should:

- ✓ consult the supervising TL where necessary to make further clarification with the applicant; and
- ✓ investigate the matters in question for ascertaining whether the application is eligible for subsidy, and consider if the case should be reported to EBSD for follow-up in case irregularities such as suspected abuse / fraud cases are detected or reported by the public (please see more details on Chapter 14 Handling of Suspected Abuse / Fraud Cases).

5.6.4 To avoid "double benefit" received by applicants, all applications should be checked against the monitoring list at section 2.6. If the applicant is on the list, SSAS would generate an questionnaire and PA should issue the questionnaire to the applicant to verify whether the post-transition portion of SP/LSP paid to the employee has been / will be covered / subsidised fully or partially by other government funding. SP/LSP expenses which are **fully** covered by other government funding are **not** applicable for subsidy under SSA.

5.7 Reviewing the applicant's application history

5.7.1 The VO should review the application history of the applicant and the applications involving the same employee in SSAS in order to :

28 This may imply a break of continuous employment contract. Yet, in specified circumstances under the First Schedule of EO (such as no-pay leave taken by an employee with employer's agreement), the time may be regarded as continuing in the employment by the employer. Please see First Schedule of EO for details on continuous contract. (https://www.elegislation.gov.hk/hk/cap57?xpid=ID_1438403464614_003).

29 To ascertain whether the employee is a salaried director or holds a post as an employee of the applicant but not a non-executive director/partner of the applicant company without employment relationship.

- screen out duplicate application;
- identify if the current application warrants special attention in handling, including but not limited to the following situations:

Situation	Matters of concern
Earlier application(s) submitted by the same employer in respect of the employee in the present application	• Whether the employee has a continuous contract of employment[30]
Earlier application(s) submitted by other employer applicant(s) in respect of the employee if the employment periods are partly or wholly overlapped with the employment period reported in the present application[31]	
Shortfall application for "worse-off" employee submitted by the employee if the employment period is partly or wholly overlapped with the employment period reported in the present application	
The applicant has not responded to PA's clarification requests made in IA check(s) of earlier application(s)[32]	• Suspected abuse / fraud case

5.7.2 While reviewing the applicant's application history, in case irregularities are detected in previous applications (e.g. overpayment, suspected abuse or fraudulent claims), the VO should report to the supervising TL for investigation / application re-examination. A recommendation should be made to the TL for

30 Where the employee takes up concurrent employment, as long as the employee has fulfilled the minimum aggregate working hours of the continuous contract requirement under each employment, the employment is a continuous contract of employment.

31 If the other involved application(s) is/are under processing, the VO should obtain the documents for cross-checking and conduct verification on continuous contract of employment for all the applications under concern. If the other involved application(s) has/have already been approved and payment made, PA should re-examine the application(s) and para. 5.7.2 applies.

32 In such scenario, SSAS would alert the Examiner conducting the IA check of the applicant's previous application(s) of the emergence of the applicant to re-activate the follow-up on the outstanding information / documents to be furnished by the applicant in relation to his previous application(s). SSAS would also allow re-opening of IA checks if these cases have been closed earlier because the applicant failed to respond and could not be located then.

approval on necessary follow-up actions if required after re-examination (please see Chapter 14 for handling of suspected abuse / fraudulent cases).

5.8 Handling requests to receive subsidy payment by cheque

5.8.1 In general, the subsidy granted will be paid to the bank account of the applicant. If the applicant requests to receive subsidy payment by crossed cheque, the VO / Examiner should require the applicant to make the request in writing with the name of payee, mailing address, name and telephone number of the contact person provided. The VO / Examiner should record such information within 2 working days (TBC) after receipt of the information from the applicant in SSAS.

5.8.2 If for any reason the applicant's bank account is not available or not in use due to reason that is not within the applicant's control (e.g. the applicant cannot open a bank account due to the regulations of local banks), and the applicant requests to receive subsidy payment by cash cheque, the VO / Examiner should require the applicant to make the request in writing and provide supporting proof (if any) (e.g. refusal letter from bank). As a cash cheque will be issued to an individual, the cash cheque arrangement is not applicable to limited companies and other organisations. For sole proprietorship / partnership applicants, the VO / Examiner should follow the procedures stated in para. 5.4.13 to 5.4.15 to verify the identity of the recipient.

5.8.3 The VO / Examiner is required to seek approval on arranging payment by cheque from AO / Examination TL.

5.9 Clarifying Information

5.9.1 To minimise the frequency of contacting the applicant, the VO should study the whole application and make necessary clarifications **in one go** as far as practicable. All clarifications and follow-up actions taken should be recorded in SSAS as soon as possible.

5.9.2 In clarifying basic information which is not for determining the eligibility (e.g.

contact information of the applicant), both verbal / written communication is acceptable. When making clarification over phone, the VO should verify the identity of the answerer by asking questions related to the application. For example, answerer should be required to provide application number, date of application submission and the post title of the employee, etc. No personal data / excess application details should be disclosed until the answerer's identity is confirmed.

5.9.3 As for clarification of information to ascertain eligibility, the VO could contact the applicant by phone, email or by post depending on the significance of the matter to be clarified (letter template at **Appendix 5.X**). For clarification request made in writing, the applicant should be required to provide the requested information / document within 7 working days (TBC) from the date of request. If no reply is received after the specified deadline, a reminder (letter template at **Appendix 5.X**) should be sent to remind the applicant to promptly respond to the outstanding request. If no reply is received after 7 working days from the issue date of the first reminder, a final reminder (letter template at **Appendix 5.X**) should be sent to applicant. The VO should also follow up with the applicant by phone within 2 working days (TBC) after issuing the final reminder. If no reply is received after 9 working days from the issue date of the final reminder,the application will be approved or refused based on case merits, or deemed withdrawn (TBC) if there is insufficient documentary proof from the applicant for further processing of the application. To reactivate the processing of an application which was deemed withdrawn, the applicant is required to submit a request of case re-activation in writing together with the information / documents as previously requested by PA.

5.9.4 If the applicants fail to respond to the clarification request, reminders to the applicants shall be issued as and when necessary in the following manner:

For fresh applications received via the TransitionEase Portal	Reminders will be issued automatically to applicants' inbox on the TransitionEase Portal by SSAS.
For fresh applications received via other means	PA shall generate reminders from SSAS and send to applicants by post / electronic means.

5.9.5 The VO should closely monitor the outstanding replies and progress of outstanding cases. Once the reply is received, the VO should update / upload the information / document obtained into SSAS and resume processing immediately to avoid delay.

5.10 Points to note for handling difficult cases during vetting / examinations of applications

5.10.1 When the VO / Examiner encounters unusual situations or detects irregularities during case processing, the VO / Examiner should seek advice from the supervising TL and alert the AO (for fresh applications only) in the recommendation.

5.10.2 Consultation on exceptional / complicated cases should be made via a nominated officer of PA with EBSD.

5.11 Handling withdrawal request from applicants

5.11.1 In case the applicant makes a verbal request to withdraw its application before the payment request file is sent to the Finance & Payment Team of EBSD for arranging payment, PA should inform the applicant to submit a written request via the TransitionEase Portal or by post / facsimile / e-mail. The VO should, upon receipt of the applicant's verbal withdrawal request, promptly record in SSAS. A letter will be generated by SSAS and PA should send the letter to the applicant to confirm the applicant's withdrawal of the application purusant to his earlier verbal request and the applicant may cancel the withdrawal request within 7 workings days (TBC) if he wishes to do so. If the applicant does not respond, the application could be deemed withdrawn after the expiry of the deadline.

5.12 Making recommendation to the AO

5.12.1 The VO should propose either one of the following recommendations to the

AO for consideration:

- approval of the application with the vetted amount of SP/LSP and the payment method (bank auto-payment / crossed-cheque / cash cheque), or
- refusal of the application with the reason(s), or
- deemed withdrawal of the application with the details on the outstanding information / document from the applicant and follow-up actions taken.

5.12.2 For approval recommendation, the VO should ensure that all relevant elements have been checked / ascertained in order including but not limited to the following:

- ✓ the applicant is eligible for SSA;
- ✓ the employee is eligible for SP/LSP under EO and has been duly paid;
- ✓ the application form (for applications not submitted via the TransitionEase Portal) is signed and in order;
- ✓ all the documents required for application are well received and in order;
- ✓ unclear / dubious information including but not limited to those in section 5.6 has been clarified;
- ✓ no missing data is found;
- ✓ no irregularity is found;
- ✓ bank account for receiving subsidy is in order; and
- ✓ the request of payment by cheque (if applicable) is processed in order.

5.12.3 If there is any overpaid subsidy outstanding from the applicant arising from previous applications, the outstanding sum will be offset by SSAS against the subsidy to be approved for the applicant in the current application.

5.13 Approval of recommendation

5.13.1 An AO is responsible for approving the recommendation of VO after examining the analysis of the VO on the application. Applications should be submitted to the AO for approval once ready, i.e. applications submitted in a batch would not need to be grouped together for approval after vetting to avoid delay in processing the applications.

5.13.2 The AO should review the application and confirm that all necessary

clarifications and follow-up actions have been undertaken appropriately. For deemed withdrawal cases, the AO should also ascertain that the outstanding information / document(s) is/are necessary for application processing.

5.13.3 If the AO does not agree to the VO's recommendation, the AO should return the application to the VO with reason(s) of disagreement for re-vetting / follow-up. After re-vetting / follow-up taken, the VO should report the findings (i.e. whether to upkeep his previous recommendation or put up a revised recommendation) (see para. 5.12.1) to the same AO for re-consideration.

5.13.4 For the applications approved by the AO, the status shown in SSAS will be changed from "in-progress" to "approval-in-principle (AIP)" . At 4:00 pm on every working day (TBC), SSAS will calculate the subsidy for all applications with AIP which are ready for proceeding to payment (see Chapter 6) and prepare a payment request file for forwarding to the Finance & Payment Team of EBSD for arranging payment (see Chapter 8). SSAS will generate a result notification letter / email (see Chapter 9) for issue to the applicant upon payment instruction has been issued to the bank. PA is required to arrange to send the result notification letter to offline applicant by post on the next working day of EBSD giving payment instruction to the bank.

5.13.5 For refused application(s) under batch submission, the refusal notification will be generated by SSAS at the same time as the approval notification of other application(s). If the refused application is not under batch submission, the refusal notification will be generated by SSAS after the refusal of application was endorsed by the AO. PA should arrange to send the notifications to the applicants as stated in section 9.1.

Appendix 5.1

Examples on inconsistencies in information provided by applicant that require clarification[33]

I. Name of employer

1. Name of employer provided by the applicant does not tally with that on applicant's registration / identity document, where

(a) the difference is a minor spelling error / clearly a typo, e.g.

BRC: ABC Bank Limited
Application Form: ABC Vank Limited

Clarification is required.

(b) the difference is crucial, e.g.

BRC: DEF Airways Ltd
Application Form: DEF Airways

Clarification is required because, on some occasions, for one reason or another, a limited company may be operated alongside with an unlimited company with the same name.

(c) the difference comes from abbreviation or symbol, e.g.

- "Hong Kong" vs "HK"
- "And" vs "&"
- "Limited" vs "Ltd."
- "Company" vs "Co."

No clarification is required.

33 The examples are not meant to be exclusive. Case processing officers are required to exercise their professionalism and prudence in examining the information provided by applicants in the application form and the supporting documents.

(d) for NGOs and organisations of similar nature, very often, the "trade name" instead of the official name is filled in as "Name of Employer" on the application form, e.g.

Application Form: AAA Centre
Registration document: The AAA Church, Hong Kong

Clarification is required (i.e. to obtain supporting document / applicant's written confirmation indicating that "AAA Centre" is operated by "The AAA Church, Hong Kong") and the result should then be recorded at "Remarks" in ER profile (TBC).

2. The employer has a Chinese name as per BRC but Employer's Chinese name is not provided on the application form.

If the employer's English name on the application form tallies with BRC, no clarification is needed. PA should input both the Chinese and English employer names into SSAS according to BRC.

II. Bank account

3. Bank account name does not tally with that on applicant's registration / identity document, where

(a) part of the name of the company is abbreviated into initials on bank account proof, e.g.

BRC: Apple Banana Company Limited
Bank account proof: Apple B C L

Clarification is required and the result should then be recorded at "Remarks" in ER profile (TBC). For future applications of the same applicant, based on the information at "Remarks" in ER profile (TBC), PA does not need to clarify the same issue again.

(b) for NGOs and organisations of similar nature, very often, the "trade name" instead of the official name is filled in as "Name of Employer" on the Application Form, e.g.

Application Form: XYZ International School
Bank account proof: THE XYZ INTL SCH ASSOC LTD (The XYZ International School Association Limited)

Same as 3(a) above.

Chapter 6 Calculation of Subsidy Amount

6.1 Principle of deriving the subsidy amount

6.1.1 The subsidy amount approved for an employer in respect of an application under SSA will be calculated by SSAS based on the information provided by the applicant in the application form as supported by documentary proof. Only the amount of the net post-transition portion of SP/LSP (i.e. balance of post-transition portion of SP/LSP after netting the allowable offsetting item(s) (if any)) approved by the Approving Officer will be counted for calculating the subsidy amount. The applicable subsidy ratios in different subsidy years are as set out in Table 6.3.

6.2 Calculation of SP/LSP entitlement

6.2.1 According to EO, the calculation of SP/LSP of an employee who is affected by the abolition of the MPF offsetting arrangement[34] are set out in para. 6.2.2 to 6.2.4.

6.2.2 For employees whose employment commences **before** the transition date (i.e. 1 May 2025) and ends **on or after** the transition date, their SP/LSP will be divided into pre-transition portion and post-transition portion, which the amounts are calculated as in Table 6.1 below:

Table 6.1: Calculation of pre- and post-transition portion of SP/LSP for employees whose employment commences before the transition date and ends on or after the transition date

Monthly-rated employee

34 Employees who are affected by the abolition of the MPF offsetting arrangement refers to those whose employers are obliged to enrol them in an MPF scheme under MPFSO or in an employer-funded exempt ORS by the operation of their employment contracts and make contributions for them.

Pre-transition portion of SP/LSP	Last full month's wages^ immediately preceding the transition date* ***OR*** Average monthly wages in the 12 months^ immediately preceding the transition date*	×	2/3	×	Years of service before the transition date

Monthly-rated employee					
Post-transition portion of SP/LSP	Last full month's wages immediately preceding the termination of employment* ***OR*** Average monthly wages in the 12 months immediately preceding the termination of employment*	×	2/3	×	Years of service starting from the transition date

** The sum should not exceed $22,500.*

Non-monthly rated employee			
Pre-transition portion of SP/LSP	Any 18 days' wages# chosen by the employee out of his last 30 normal working days immediately preceding the transition date& ***OR*** 18 times the average daily wages in the 12 months# immediately preceding the transition date&	×	Years of service before the transition date
Post-transition portion of SP/LSP	Any 18 days' wages chosen by the employee out of his last 30 normal working days immediately preceding the termination of employment& ***OR*** 18 times the average daily	×	Years of service starting from the transition date

	wages in the 12 months immediately preceding the termination of employment[&]

[&] *The sum should not exceed $15,000.*

^ *If a monthly rated employee's employment period preceding the transition date is* ***less than 12 months****, please refer to the following table:*

Employment period preceding the transition date	***Employee's wages for calculation of pre-transition portion of SP/LSP***
Less than 12 months but more than or equals one month	*(a) Last full month's wages immediately preceding the transition date; or* *(b) Average monthly wages for the employment period before the transition date*
Less than one month	*First full month's wages after commencement of employment*

#*If a non-monthly rated employee's employment period preceding the transition date is less than less than 12 months, please refer to the following table:*

Employment period preceding the transition date	***Employee's wages for calculation of pre-transition portion of SP/LSP***
Less than 12 months but more than or equals 30 days	*(a) Any 18 days' wages chosen by the employee out of his last 30 normal working days immediately preceding the transition date; or* *(b) 18 times the average daily wages for the employment period before the transition date*
Less than 30 days	*Any 18 days' wages chosen by the employee out of his first 30 normal working days after the commencement of employment*

6.2.3 For employees whose employment commences **on or after** the transition date, please refer to Table 6.2 below for the calculation of SP/LSP below:

Table 6.2: Calculation of SP/LSP for employees whose employment commences on or after the transition date

SP/LSP of monthly rated employee

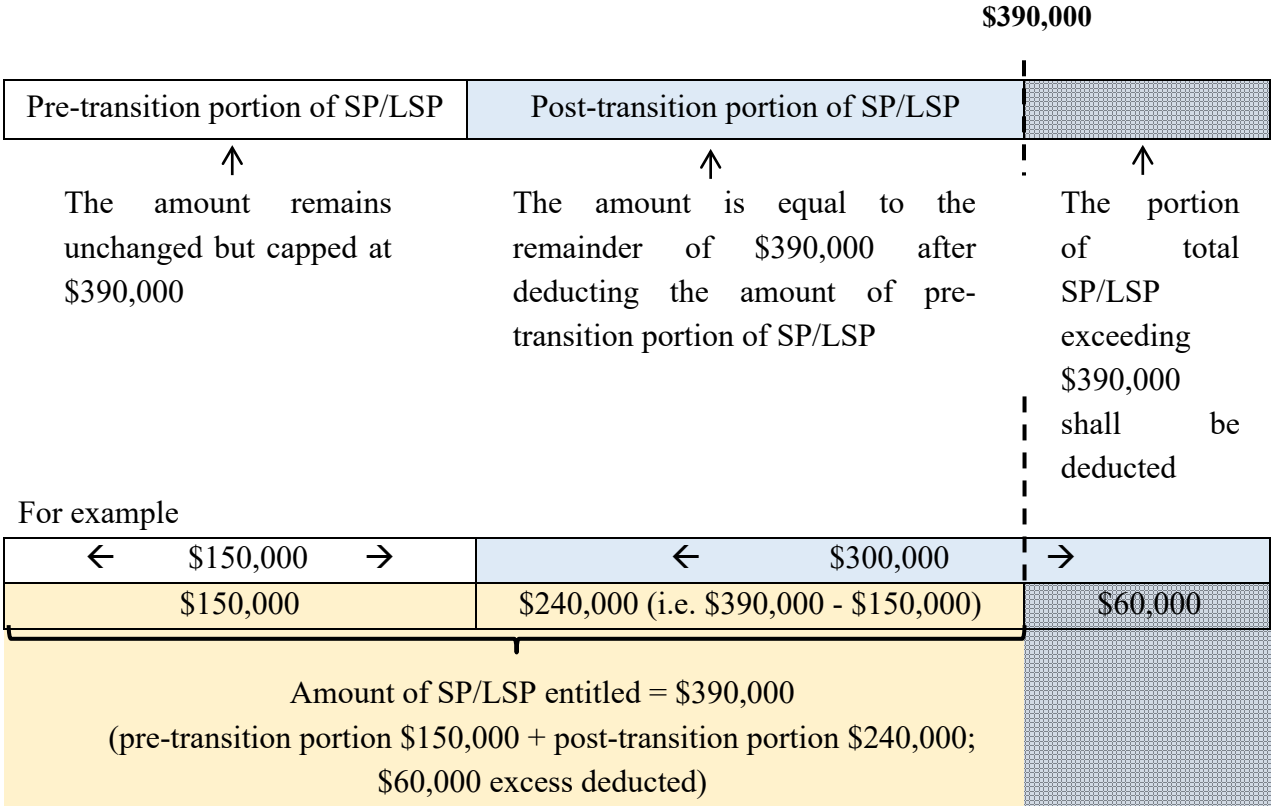
Last full month's wages immediately preceding the termination of employment* ***OR*** Average monthly wages in the 12 months immediately preceding the termination of employment*	×	2/3	×	Years of service
SP/LSP of non-monthly rated employee				
Any 18 days' wages chosen by the employee out of his last 30 normal working days immediately preceding the termination of employment& ***OR*** 18 times the average daily wages in the 12 months immediately preceding the termination of employment&	×	Years of service		

* *The sum should not exceed $22,500.*

& *The sum should not exceed $15,000.*

6.2.4 The maximum amount of SP/LSP payable to an employee under EO is $390,000. For an employee whose employment commences before the transition date and ends on or after the transition date, if the sum of pre- and post-transition portion of SP/LSP exceeds $390,000, the amount in excess will be deducted from the post-transition portion (i.e. the amount of post-transition portion of SP/LSP is equal to the remainder of $390,000 after deducting the amount of pre-transition portion of SP/LSP). Please refer to Diagram 6.1 below:

Diagram 6.1: Deduction of SP/LSP exceeding $390,000



6.3 Calculation of net post-transition portion of SP/LSP eligible for subsidy

6.3.1 Only the post-transition portion of SP/LSP paid to employees in respect of whom the employers are obliged to make ERMC to an MPF scheme under MPFSO, or to make contributions to an employer-funded exempt ORS by operation of the employment contract will be eligible for subsidy under SSA provided that the employers are / will not be fully subsidised by other government funding for the SP/LSP payout. For employees who are covered by the MPF System and/or an employer-funded exempt ORS for **part of their employment period** on or after 1 May 2025 (e.g. employees commencing employment before the age of 18 or continue employment beyond the age of 65), (i) only the SP/LSP pertaining to the years of service covered by the MPF System and/or employer-funded exempt ORS after the transition date (instead of the whole service period after transition date) is eligible for subsidy under SSA; and (ii) the wages level immediately preceding the termination of employment[35] will be used to calculate the amount of post-transition portion of

35 For monthly rated employees, "last full month's wages immediately preceding the termination of employment" or "average wages in the 12 months immediately preceding the termination of employment" can be used. For non-monthly rated employees, "any 18 days' wages chosen out of his last 30 normal

SP/LSP for the whole service period after the transition date. Please refer to Example 4 for details of calculation of these cases.

6.3.2 To determine the amount of the net post-transition portion of SP/LSP for calculating the subsidy, SSAS will compare:

(i) the amount of the net post-transition portion of SP/LSP actually paid to the employee by the applicant as provided in Part x (x) of the application (herein referred as **Amount A**), and

(ii) the amount of the net post-transition portion of SP/LSP as calculated according to EO by SSAS using the information in Part xx (xx)(xx), (xx), (xx), (xx) and (xx) of the application and that obtained from the applicant during clarification(s) (if necessary) after being vetted by the VO (herein referred as **Amount B**).

The lesser amount of Amount A and Amount B will be adopted for calculation of the subsidy amount.

working days immediately preceding the termination of employment" or "18 times the average daily wages in the 12 months immediately preceding the termination of employment" can be used.

6.3.3 Below explained the steps taken by SSAS in determining Amount B:

Step 1: **Calculate the years of service before the transition date (if applicable)** and **the years of service on or after the transition date by the following formula:**

(a) Years of service before the transition date

- Calculate the number of days from **the commencement date of employment** in Part xx (xx)(x) as vetted to the date immediately before **the transition date**[36]

(b) Years of service starting on or after the transition date

- Calculate the number of days from **the transition date or the commencement date of employment (if employment commences after the transition date) to the relevant date of termination**[5] in Part xx (xx) as vetted (please refer to section 2.4 for the definition of "relevant date of termination" under different circumstances)

Step 2: **Calculate pre-transition portion of SP/LSP entitlement (if applicable) by the following formula:**

Monthly-rated employee	Non-monthly rated employee
Employee's last monthly wages immediately preceding the transition date in Part xx (xx) as vetted, capped at $22,500 × **2/3** × **Years of service before the transition date** as determined in Step 1(a)	**Employee's any 18 days' wages chosen out the last 30 normal working days immediately preceding the transition date** in Part xx (xx) as vetted, capped at $15,000 × **Years of service before the transition date** as determined in Step 1(a)

36 Service of an incomplete year should be calculated on a pro rata basis. The exact number of days in the year of termination (i.e. 365 for non-leap year and 366 for leap year) will be used as the denominator.

If the amount of pre-transition portion of SP/LSP calculated by SSAS equals to or is more than $390,000, SSAS will show the amount of pre-transition portion of SP/LSP calculated and indicate that the amount will be capped at $390,000. As only employers with post-transition portion of SP/LSP expenses will be eligible for subsidy under SSA, the VO should recommend to reject the application as the applicant incurs **NO** SP/LSP in respect of the employment period of the employee on or after the transition date.

If the amount of pre-transition portion of SP/LSP is less than $390,000, SSAS will proceed to the calculation for the post-transition portion of SP/LSP in the following steps.

Step 3: **Calculate post-transition portion of SP/LSP entitlement by the following steps:**

I.

Monthly-rated employee	Non-monthly rated employee
Employee's last monthly wages immediately preceding termination of employment in Part xx (xx) as vetted, capped at $22,500 × **2/3** × **Years of service starting on or after the transition date** as determined in Step 1(b)	**Employee's any 18 days' wages chosen out of the last 30 normal working days immediately preceding termination of employment** in Part xx (xx) as vetted, capped at $15,000 × **Years of service starting on or after the transition date** as determined in Step 1(b)

II. **Amount of pre-transition portion of SP/LSP entitlement** calculated in Step 2
plus
Amount of post-transition portion of SP/LSP entitlement calculated in I above

III. If **the total sum in II above** does not exceed $390,000, **the post-transition portion of SP/LSP entitlement** will

equal to
Amount calculated in I above

If **the total sum in II above** exceeds $390,000, **the post-transition portion of SP/LSP entitlement** will be calculated by the following formula:

$390,000
less
Amount of pre-transition portion of SP/LSP entitlement calculated in Step 2

Step 4: **Calculate the amount of the NET post-transition portion of SP/LSP of the employee under EO (i.e. Amount B) by the following formula:**

Amount of post-transition portion of SP/LSP entitlement calculated in Step 3
less
Allowable offsetting item(s) used to offset the post-transition portion of SP/LSP in Part xx (xx) as vetted (if any)

6.4 Calculation of Subsidy Payable

6.4.1 The amount of the net post-transition portion of SP/LSP actually paid to the employee (Amount A) or the net vetted amount of post-transition portion of SP/LSP calculated in accordance with EO (Amount B) (whichever is less) will be adopted for calculation of the subsidy amount to be granted after applying the appropriate subsidy ratio of the relevant subsidy year as set out in Table 6.3 below:

Table 6.3: Subsidy ratios for net post-transition portion of SP/LSP under SSA

Subsidy year[37]		Employer's subsidy per employee	
		First $500,000 of cumulative amount of the net post-transition portion of SP/LSP paid by an employer in a subsidy year (A)	**Beyond the first $500,000 of cumulative amount of the net post-transition portion of SP/LSP paid by an employer in a subsidy year (B)**
1	1 May 2025 – 30 April 2026	50% **or** amount of the net post-transition portion of SP/LSP - **$3,000** (whichever is more)	50%
2	1 May 2026 – 30 April 2027	50% **or** amount of the net post-transition portion of SP/LSP - **$3,000** (whichever is more)	50%
3	1 May 2027 – 30 April 2028	50% **or** amount of the net post-transition portion of SP/LSP - **$3,000** (whichever is more)	50%
4	1 May 2028 – 30 April 2029	45% **or** amount of the net post-transition portion of SP/LSP - **$25,000** (whichever is more)	45%
5	1 May 2029 – 30 April 2030	40% **or** amount of the net post-transition portion of SP/LSP - **$25,000** (whichever is more)	40%
6	1 May 2030 – 30 April 2031	35% **or** amount of the net post-transition portion of SP/LSP - **$25,000** (whichever is more)	35%
7	1 May 2031 – 30 April 2032	30% **or** amount of the net post-transition portion of SP/LSP - **$50,000** (whichever is more)	30%
8	1 May 2032 – 30 April 2033	25% **or** amount of the net post-transition portion of SP/LSP - **$50,000** (whichever is more)	25%
9	1 May 2033 – 30 April 2034	20% **or** amount of the net post-transition portion of SP/LSP -	20%

37 The relevant date of termination of employment of each employee determines which subsidy year, and hence the corresponding subsidy ratio, should be applied in the calculation of subsidy amount.

Subsidy year[37]		Employer's subsidy per employee	
		First $500,000 of cumulative amount of the net post-transition portion of SP/LSP paid by an employer in a subsidy year (A)	**Beyond the first $500,000 of cumulative amount of the net post-transition portion of SP/LSP paid by an employer in a subsidy year (B)**
		$50,000 (whichever is more)	
10	1 May 2034 – 30 April 2035	20%	15%
11	1 May 2035 – 30 April 2036	20%	10%
12	1 May 2036 – 30 April 2037	15%	5%
13	1 May 2037 – 30 April 2038	15%	0%
14-19	1 May 2038 – 30 April 2044	10%	0%
20-25	1 May 2044 – 30 April 2050	5%	0%

6.5 General processing rule of applications

6.5.1 In the first nine years after the abolition, **due to the concurrent operation of the yearly $500,000 threshold and the cap on the employer's share of net post-transition portion of SP/LSP for each employee** (e.g. employer's share is capped at $3,000 per case in the first three years after the abolition), the sequence of applications with different amount of the net post-transition portion of SP/LSP submitted by the same employer in a year could affect the total amount of subsidy received because –

(i) under the "capped amount" arrangement, the employer would receive more subsidy if employer's share of the net post-transition portion of SP/LSP exceeds the cap; and

(ii) for employers with aggregate amount of net post-transition portion of SP/LSP more than $500,000 in a year, submitting applications with larger amount of the net post-transition portion of SP/LSP first could better utilise the "capped amount" and receive more subsidy.

6.5.2 In general, applications (counting on the basis of individual employees) will be processed and approved according to the sequence of submission subject to the applicant's provision of required information and documents on the applications. For applications submitted in a batch involving more than one employee where the employees' relevant date of termination falling in the same subsidy year, for the best interest of the applicant, applications will be arranged in descending order by the net amount of post-transition portion of SP/LSP actually paid to the employees concerned by SSAS and processed according to the same order subject to the applicant's provision of required information and documents. Please refer to the following example at Table 6.4:

Table 6.4: Examples for illustration of the general processing rules

ER's submission of application(s)	Submission date	Relevant date of termination of employment and sequence of submission by the employer	Amount of the net post-transition portion of SP/LSP calculated based on information input by employer ($)	Sequence of applications re-arranged by SSAS	
				Subsidy year 5	Subsidy year 6
#1	2 May 2030	20 Apr 2030 (EE1)	70,000	EE1	
#2	25 May 2030	2 May 2030 (EE2)	60,000		EE2
#3	10 Dec 2030	30 Apr 2030 (EE3)	75,000	EE3	
#4	20 Dec 2030	20 Nov 2029 (EE4)	20,000	EE4	
		25 Nov 2030 (EE5)	60,000		EE9
		20 Nov 2030 (EE6)	65,000		EE6
		28 Nov 2030 (EE7)	30,000		EE5

		28 Nov 2030 (EE8)	20,000		EE7
		20 Nov 2030 (EE9)	90,000		EE8

6.5.3 Assuming the applicant has furnished all the required documents and information within the pledged processing time, Submission #1 to #3, which involve only one employee, will be processed and approved according to sequence of submission.

6.5.4 For the last submission (i.e. Submission #4), it involves six individual employees (i.e. EE4 to EE9) in the same batch. Since the relevant date of termination of EE4 falls within subsidy year 5, EE4's application will be processed and approved following EE3 subject to the applicant's provision of required information and documents for both employees. For applications concerning EE5 to EE9 whose relevant date of termination falls within the same subsidy year (i.e. subsidy year 6), the sequence of these applications will be re-arranged by SSAS in descending order by the amount of the net post-transition portion of SP/LSP (i.e. EE9 → EE6 →EE5 → EE7 →EE8) and be processed and approved in a batch as far as possible subject to the applicant's provision of required information and documents for these applications.

6.5.5 SSAS, at 4pm [TBC] each working day, will automatically check if there are any applications approved in principle ("AIP granted applications") and ready for proceeding to payment. To be ready for proceeding to payment, an AIP granted application must pass the QA check (if selected for checking) and meet either the following condition (a) or (b):

(a) if the 19th or 24th [TBC] working day counting from the receipt date of the application(s) is not yet reached,
   (i) there is/are no other earlier incomplete fresh application(s) in the order of processing sequence of the same applicant;
   (ii) there is/are no other application(s) of the same applicant under review, appeal or IA check; and
   (iii) if the AIP granted application was submitted with other applications in a batch, there is no outstanding application in that batch (i.e. all other applications have either been approved, rejected, withdrawn or deemed withdrawn);

(b) the 19th or 24th [TBC] working day counting from the receipt date of the application(s) is reached.

6.5.6 SSAS will calculate the subsidy for all AIP granted applications which are ready for proceeding to payment based on the amount of the net post-transition portion of SP/LSP actually paid to the employee (Amount A) or the net vetted amount of post-transition portion of SP/LSP calculated in accordance with EO (Amount B) (whichever is less) and in accordance with the sequence of order previously assigned by SSAS at the time of submission. However, for applications submitted in a batch, the sequence may be re-arranged (in descending order) if the net vetted amount of post-transition portion of SP/LSP of any one of the applications is different from the amount input by the applicant.

6.5.7 For applications approved after the 19th or 24th [TBC] working day counting from the receipt date of the application, similar logic on subsidy calculation as stated in para. 6.5.6 above applies. That means, the sequence of applications submitted in a batch may be re-arranged (in descending order) if the net vetted amount of post-transition portion of SP/LSP of any one of the applications in the same batch to be paid on the same day is different from the amount input by the applicant.

6.6 Examples on determination of the subsidy amount through SSAS[38]

6.6.1 Despite that EO has stipulated the method of calculating SP/LSP, some employers may still apply the wrong relevant date of termination (see section 2.4), miscalculate the years of service, adopting a monthly wages above the wage cap of $22,500 and/or adopt other calculation methods resulting in a different amount of SP/LSP entitlement. Examples 1 to 7 below illustrate examples of such cases to facilitate PA's understanding of the possible reasons behind the said difference and how SSAS applies the subsidy ratio to the net vetted amount of post-transition portion of SP/LSP in specific application(s). For verifying the payment of SP/LSP during vetting, please see section 5.5 for

38 All calculations by SSAS are rounded to 2 decimal places in light of para. xxx. The information provided by the applicant in the application form is denoted in blue.

details.

Example 1 – Calculation of the period of employment:

Assumptions:

- The employee is dismissed with 1 month's PILON.
- This is the first application with the relevant date of termination falls in subsidy year 3.
- Information provided in the application form:

(1) Commencement date of employment under a continuous contract	1 May 2020
(2) Date up to which PILON was calculated	10 March 2028 inclusive
(3) Employee's last month's wages immediately preceding the transition date for calculating pre-transition portion of SP/LSP entitlement	$18,000
(4) Employee's last month's wages immediately preceding termination of employment for calculating post-transition portion of SP/LSP entitlement	$21,000
(5) Amount of allowable offsetting item(s) that has/have been used to offset the post-transition portion of SP/LSP	$0

- **Calculation of the amount of the net post-transition portion of SP/LSP entitlement and subsidy payable:**

Example 1(a)

Amount input by the applicant	Calculation by SSAS

• Amount of pre-transition portion of SP/LSP entitlement = $60,000 • **Amount of the net post-transition portion of SP/LSP entitlement:** **$40,082* (Amount A)** * The applicant has wrongly used 365 days in a year for calculating the incomplete year of service[39] (i.e. 1 May 2027 – 10 March 2028) despite that 2028 has 366 days in total.	• Years of service before the transition date: 5 years • Years of service starting from the transition date: (2 + 315/366) years • Amount of pre-transition portion of SP/LSP entitlement: $18,000 × 2/3 × 5 = $60,000 • **Amount of the net post-transition portion of SP/LSP entitlement:** **$21,000 × 2/3 × (2 + 315/366) = $40,049.18 (Amount B)**

As **Amount B** (i.e. $40,049.18) is less than **Amount A** (i.e. $40,082), the subsidy amount for post-transistion portion of SP/LSP will be calculated based on **Amount B**.

Calculation of subsidy payable by SSAS	
Pre-transition portion of SP/LSP entitlement reaches $390,000	No
Total SP/LSP entitlement reaches $390,000	No
Accumulated amount of net post-transition portion of SP/LSP payable to all employees in this subsidy year exceeds $500,000	No
Subsidy year	Year 3
Subsidy ratio	50% or amount of net post-transition portion of SP/LSP - $3,000 (whichever is more)

39 366 days will be used for calculating the incomplete year of service if the relevant date of termination is between 1 May of the year before the leap year and 29 April of leap year, such as 1 May 2027 and 29 April 2028, 1 May 2031 and 29 April 2031, etc.

Employer's subsidy amount according to the subsidy ratio	$40,049.18 × 50% = $20,024.59
"Capped amount" applicable	Yes
Employer's subsidy amount with "capped amount" applied	$40,049.18 − $3,000 = $37,049.18
Amount of subsidy payable	$37,049.18

Example 1(b)

Amount input by the applicant	**Calculation by SSAS**
• Amount of pre-transition portion of SP/LSP entitlement = $60,000 • **Amount of net post-transition portion of SP/LSP entitlement: $38,939.89* (Amount A)** * The applicant has wrongly used the date of termination (i.e. 10 Feb 2028) instead of the relevant date of termination in calculating the SP/LSP entitlement.	• Years of service before the transition date: 5 years • Years of service starting from the transition date: (2 + 315/366) years • Amount of pre-transition portion of SP/LSP entitlement: $18,000 × 2/3 × 5 = $60,000 • **Amount of net post-transition portion of SP/LSP entitlement: $21,000 × 2/3 × (2 + 315/366) = $40,049.18 (Amount B)**

As **Amount A** (i.e. $38,939.89) is less than **Amount B** (i.e. $40,049.18), the subsidy amount for post-transistion portion of SP/LSP will be calculated based on **Amount A**.

Calculation of subsidy payable by SSAS	
Pre-transition portion of SP/LSP entitlement reaches $390,000	No
Total SP/LSP entitlement reaches $390,000	No

Accumulated amount of net post-transition portion of SP/LSP payable to all employees in this subsidy year exceeds $500,000	No
Subsidy year	Year 3
Subsidy ratio	50% or amount of the net post-transition portion of SP/LSP - $3,000 (whichever is more)
Employer's subsidy amount according to the subsidy ratio	$38,939.89 × 50% = $19,469.95
"Capped amount" applicable	Yes
Employer's subsidy amount with "capped amount" applied	$38,939.89 − $3,000 = $35,939.89
Amount of subsidy payable	$35,939.89

Example 2 – The correct wages to be adopted

Assumptions:

- The employee was dismissed with 1-month's notice.
- This is the first application with the relevant date of termination falling in subsidy year 3.
- Information provided in the application form:

(1) Commencement date of employment under a continuous contract	1 May 2020
(2) Date on which the period of notice ended	10 March 2028
(3) Employee's last month's wages immediately preceding the transition date for calculating pre-transition portion of SP/LSP entitlement	$18,000
(4) Employee's last month's wages immediately preceding termination of employment for calculating post-transition portion of SP/LSP entitlement	$24,000
(5) Amount of allowable offsetting item(s) that has/have been used to offset the post-transition portion of SP/LSP	$0

- **Calculation of the amount of the net post-transition portion of SP/LSP entitlement and subsidy payable:**

Amount input by the applicant	**Amount calculated by SSAS**
• Amount of pre-transition portion of SP/LSP entitlement = $60,000 • **Amount of net post-transition portion of SP/LSP entitlement: $45,770.49*(Amount A)** * The applicant does not apply the monthly wage cap of $22,500	• Years of service before the transition date: 5 years • Years of service starting from the transition date: (2 + 315/366) years • Amount of pre-transition portion of SP/LSP entitlement: $18,000 × 2/3 × 5 = $60,000

when calculating SP/LSP entitlement.	• **Amount of net post-transition portion of SP/LSP entitlement: $22,500 × 2/3 × (2 + 315/366) = $42,909.84 (Amount B)**

As **Amount B** (i.e. $42,909.84) is less than **Amount A** (i.e. $45,770.49), the subsidy amount for post-transistion portion of SP/LSP will be calculated based on **Amount B**.

Calculation of subsidy payable by SSAS	
Pre-transition portion of SP/LSP entitlement reaches $390,000	No
Total SP/LSP entitlement reaches $390,000	No
Accumulated amount of net post-transition portion of SP/LSP payable to all employees in this subsidy year exceeds $500,000	No
Subsidy year	Year 3
Subsidy ratio	50% or amount of the net post-transition portion of SP/LSP - $3,000 (whichever is more)
Employer's subsidy amount according to the subsidy ratio	$42,909.84 × 50% = $21,454.92
"Capped amount" applicable	Yes
Employer's subsidy amount with "capped amount" applied	$42,909.84 − $3,000 = $39,909.84
Amount of subsidy payable	$39,909.84

Example 3 – How to apply the cap of $390,000 in total SP/LSP entitlement

Assumptions:

- The employee was dismissed with 1-month's notice.
- This is the first application with the relevant date of termination falling in subsidy year 10.
- Information provided in the application form:

(1) Commencement date of employment under a continuous contract	1 May 2006
(2) Period of notice ended on	30 April 2035
(3) Employee's last month's wages immediately preceding the transition date for calculating pre-transition portion of SP/LSP entitlement	$21,000
(4) Employee's last month's wages immediately preceding termination of employment for calculating post-transition portion of SP/LSP entitlement	$30,000
(5) Amount of allowable offsetting item(s) that has/have been used to offset the post-transition portion of SP/LSP	$0

- **Calculation of the amount of the net post-transition portion of SP/LSP entitlement and subsidy payable:**

Amount input by the applicant	**Amount calculated by SSAS**
• Amount of pre-transition portion of SP/LSP entitlement = $266,000 • **Amount of the net post-transition portion of SP/LSP entitlement:** **$150,000 * (Amount A)** * The applicant does not apply the	• Years of service before the transition date: 19 years • Years of service starting from the transition date:10 years • Amount of pre-transition portion of SP/LSP entitlement: $21,000 × 2/3 × 19 = $266,000

maximum amount of SP/LSP (i.e. $390,000) when calculating SP/LSP entitlement.	• Amount of post-transition portion of SP/LSP entitlement: $22,500 × 2/3 × 10 = $150,000 • The employee's SP/LSP entitlement: $266,000 + $150,000 = $416,000, capped at $390,000 • **Amount of the net post-transition portion of SP/LSP entitlement after deducting the amount in excess of $390,000: $390,000 − $266,000 = $124,000 (Amount B)**

As **Amount B** (i.e. $124,000) is less than **Amount A** (i.e. $150,000), the subsidy amount for post-transition portion of SP/LSP will be calculated based on **Amount B**.

Calculation of subsidy payable by SSAS	
Pre-transition portion of SP/LSP entitlement reaches $390,000	No
Total SP/LSP entitlement reaches $390,000	Yes
Accumulated amount of net post-transition portion of SP/LSP payable to all employees in this subsidy year exceeds $500,000	No
Subsidy year	Year 10
Subsidy ratio	20%
Employer's subsidy amount according to the subsidy ratio	$124,000 × 20% = $24,800
"Capped amount" applicable	No
Amount of subsidy payable	$24,800

Example 4 – Part of the employment period not covered by the MPF System

Example 4(a)

Assuming the employee reached the age of 65 during his employment, the assumptions are as follows:

- The employee was employed on 1 May 2025 and was dismissed with 1-month's notice ending on 30 April 2035.
- The employee reached age of 65 on 1 May 2032.
- This is the first application with the relevant date of termination falling in subsidy year 10.
- Information provided in the application form:

(1) Commencement date of employment under a continuous contract	1 May 2025
(2) Date of employee's 65th birthday	1 May 2032
(3) Date on which the period of notice ended	30 April 2035
(4) Employee's last month's wages immediately preceding termination of employment for calculating post-transition portion of SP/LSP entitlement	$24,000
(5) Amount of allowable offsetting item(s) that has/have been used to offset the post-transition portion of SP/LSP	$0

- Years of service for calculation of post-transition portion of SP/LSP entitlement under EO: **10 years (i.e. 1 May 2025 to 30 April 2035)**

- Calculation of the amount of post-transition portion of SP/LSP entitlement under EO: **$22,500 × 2/3 × 10= $150,000**

  [Note: As the monthly wages of $24,000 exceeds the monthly wage cap for calculating SP/LSP, the wage cap (i.e. $22,500) is adopted to calculate the employee's post-transition portion of SP/LSP.]

- The amount of post-transition portion of SP/LSP entitlement eligible for SSA is calculated using **the years of service during which the employer is obliged to make ERMC** and the last month's wages immediately preceding the

termination of employment as follows:

✧ Years of service eligible for SSA = the years of service before the employee reached the age of 65: **7 years (i.e. 1 May 2025 to 30 April 2032)**

✧ Calculation of the amount of post-transition portion of SP/LSP entitlement eligible for SSA: **$150,000 × 7/10 = $105,000** *[i.e. Post-transition portion of SP/LSP entitlement under EO × years of service eligible for SSA ÷ years of service starting from transition date]*

Calculation of subsidy payable by SSAS	
Pre-transition portion of SP/LSP entitlement reaches $390,000	No
Total SP/LSP entitlement reaches $390,000	No
Accumulated amount of net post-transition portion of SP/LSP payable to all employees in this subsidy year exceeds $500,000	No
Subsidy year	Year 10
Subsidy ratio	20%
Employer's subsidy amount according to the subsidy ratio	$105,000 × 20% = $21,000
"Capped amount" applicable	No
Amount of subsidy payable (i.e. SP/LSP entitlement eligible for SSA × subsidy ratio; or SP/LSP entitlement eligible for SSA − Employer's cap, whichever is greater)	$21,000

<u>Example 4(b)</u>

<u>The employee was employed before he reached the age of 18 and terminated after the age of 18</u>

- The employee was employed on 1 May 2025 and was dismissed with 1-month's notice ending on 30 April 2035.
- The employee reached age of 18 on 1 May 2027.
- This is the first application with the relevant date of termination falling in subsidy year 10.

- Information provided in the application form:

(1) Commencement date of employment under a continuous contract	1 May 2025
(2) Date of employee's 18th birthday	1 May 2027
(3) Date on which the period of notice ended	30 April 2035
(4) Employee's last month's wages immediately preceding termination of employment for calculating post-transition portion of SP/LSP entitlement	$24,000
(5) Amount of allowable offsetting item(s) that has/have been used to offset the post-transition portion of SP/LSP	$0

- Years of service for calculation of post-transition portion of SP/LSP entitlement under EO: **10 years (1 May 2025 to 30 April 2035)**

- Calculation of the amount of post-transition portion of SP/LSP entitlement under EO: **$22,500 × 2/3 × 10 = $150,000**

  [Note: As the monthly wages of $24,000 exceeds the monthly wage cap for calculating SP/LSP, the wage cap (i.e. $22,500) is adopted to calculate the employee's post-transition portion of SP/LSP.]

- The amount of post-transition portion of SP/LSP entitlement eligible for SSA is calculated using the **years of service during which the employer is obliged to make ERMC** and the last month's wages immediately preceding termination as follows:

✧ Years of service eligible for SSA = the years of service after the employee reached the age of 18: **8 years (i.e. 1 May 2027 to 30 April 2035)**

✧ Calculation of the amount of post-transition portion of SP/LSP entitlement eligible for SSA: **$150,000 × 8/10 = $120,000** *[i.e. Post-transition portion of SP/LSP entitlement under EO × years of service eligible for SSA ÷ years of service starting from transition date]*

Calculation of subsidy payable by SSAS

Pre-transition portion of SP/LSP entitlement reaches $390,000	No
Total SP/LSP entitlement reaches $390,000	No
Accumulated amount of net post-transition portion of SP/LSP payable to all employees in this subsidy year exceeds $500,000	No
Subsidy year	Year 10
Subsidy ratio	20%
Employer's subsidy amount according to the subsidy ratio	$120,000 × 20% = $24,000
"Capped amount" applicable	No
Amount of subsidy payable (i.e. SP/LSP entitlement eligible for SSA × subsidy ratio; or SP/LSP entitlement eligible for SSA − Employer's cap, whichever is greater)	$24,000

Example 5 – The net post-transition portion of SP/LSP straddling across the $500,000 threshold

Assumptions:

- The employee was dismissed with 1-month's notice.
- This is the 13th application of the applicant in subsidy year 3. The applicant has already paid net post-transition portion of SP/LSP for 12 employees totaling $480,000 in this year.
- Information provided in the application form:

(1) Commencement date of employment under a continuous contract	1 May 2020
(2) Date on which the period of notice ended	10 March 2028
(3) Employee's last month's wages immediately preceding the transition date for calculating pre-transition portion of SP/LSP entitlement	$18,000
(4) Employee's last month's wages immediately preceding termination of employment for calculating post-transition portion of SP/LSP entitlement	$21,000
(5) Amount of allowable offsetting item(s) that has/have been used to offset the post-transition portion of SP/LSP	$0

- Calculation of the amount of the net post-transition portion of SP/LSP entitlement by SSAS:
  $21,000 × 2/3 × (2 + 315/366) = $40,049.18

- For cases straddling across the $500,000 threshold, the subsidy ratio / subsidy amount payable by an employer is calculated on a pro-rata basis.

Calculation of subsidy payable by SSAS	
Pre-transition portion of SP/LSP entitlement reaches $390,000	No
Total SP/LSP entitlement reaches $390,000	No
Accumulated amount of net post-transition portion of SP/LSP payable to all employees	Yes, the cumulative amount is

in this subsidy year exceeds $500,000	$480,000 excluding this case
Subsidy year	Year 3
Subsidy ratio	Within the $500,000 threshold: 50% or amount of net post-transition portion of SP/LSP - $3,000 (whichever is more) Beyond the $500,000 threshold: 50% of the amount of net post-transition of SP/LSP
Employer's subsidy amount according to the subsidy ratio	For the portion of SP/LSP falling within the $500,000 threshold: $20,000* × 50% = $10,000 For the remaining portion falling beyond the $500,000 threshold: ($40,049.18 − $20,000) × 50% = $10,024.59 * $20,000 is the portion falling within the $500,000 threshold
"Capped amount" applicable	Applicable (on pro rata basis) for the portion falling within the $500,000 threshold

Employer's subsidy amount with "capped amount" applied	For the portion falling within the $500,000 threshold: $20,000 − ($3,000 × $20,000 ÷ $40,049.18) = $20,000 − $1,498.16 = $18,501.84 For the remaining portion falling beyond the $500,000 threshold: $10,024.59
Amount of subsidy	$18,501.84 + $10,024.59 = $28,526.43

- In the above example, assuming an applicant has already paid net post-transition portion of SP/LSP for 12 employees totaling $480,000 in subsidy year 3, when the applicant has to pay $40,049.18 net post-transition portion of SP/LSP to the 13th employee, $20,000 of the net post-transition portion of SP/LSP paid to this employee falls within the $500,000 threshold and the remaining $20,049.18 falls beyond the threshold. The subsidy amount payable to the applicant in respect of the $20,000 falling within the $500,000 threshold will be calculated according to Table 6.3, with the "capped amount" calculated on a pro-rata basis, is $1,498.16 (i.e. $3,000 × $20,000 ÷ $40,049.18) instead of $3,000. As a result, the subsidy amount in repsect of the first $20,000 net post-transition portion of SP/LSP will be $18,501.84 (i.e. $20,000 − $1,498.16). For the remaining $20,049.18 falling beyond the threshold, the applicant's subsidy amount will be calculated according to the subsidy ratio in Table 6.3, i.e. $10,024.59 (= $20,049.18 × 50%).

Example 6 – Batch application with 8 employees whose relevant dates of termination fall within the same subsidy year

Assumptions:

- The employees were dismissed with 1-month's notice.
- This is the first eight applications with the relevant date of termination falling within subsidy year 6.
- Sequence of individual applications input by the applicant with the amount of the net post-transition portion of SP/LSP:

Sequence	Amount of the net post-transition portion of SP/LSP ($)
EE A	40,000
EE B	40,000
EE C	45,000
EE D	50,000
EE E	80,000
EE F	85,000
EE G	90,000
EE H	90,000

- **Calculation of subsidy payable**

1. At submission, the sequence of individual applications is re-arranged by SSAS in descending order of the amount of net post-transition of SP/LSP as below:

Sequence	Amount of the net post-transition portion of SP/LSP ($)
EE H	90,000
EE G	90,000
EE F	85,000
EE E	80,000
EE D	50,000
EE C	45,000
EE B	40,000
EE A	40,000

2. Subsidy ratios applicable are as below:

Subsidy year	Cummulative net vetted amount of post-transition portion of SP/LSP	
	Within first $500,000	**Beyond the first $500,000**
6	35% **or** amount of the net post-transition portion of SP/LSP - $25,000 (whichever is more)	35%

Sequence	Net vetted amount of post-transition portion of SP/LSP ($)	Cummulative net vetted amount of post-transition portion of SP/LSP ($)	Subsidy payable ($)
EE H	90,000	90,000	65,000
EE G	90,000	180,000 (Total amount of EE G & EE H above)	65,000
EE F	85,000	265,000 (Total amount of EE F & two EEs above)	60,000
EE E	80,000	345,000 (Total amount of EE E & three EEs above)	55,000
EE D	50,000	395,000 (Total amount of EE D & four EEs above)	25,000
EE C	45,000	440,000 (Total amount of EE C & five EEs above)	20,000
EE B	40,000	480,000 (Total amount of EE B & six EEs above)	15,000
EE A	40,000	520,000 (Total amount of all eight EEs)	14,500 (i.e. $20,000 − ($25,000 × $20,000 ÷ $40,000)

			+ $20,000 × 35%)

application with amount of aggregate SP/LSP straddling across the $500,000 threshold

- Assuming the applicant has furnished all the required documents and information within the pledged processing time, the above applications will be processed and approved in descending order by the vetted amount of the net post-transition portion of SP/LSP paid to the employees.

Example 7 – Batch application with 8 employees whose relevant dates of termination fall in different subsidy years

Assumptions:

- The employees were dismissed with 1-month's notice.
- The relevant date of termination falls in subsidy years 6 and 7 respectively. Before the submission of this batch application, the cumulative net vetted amount of post-transition portion of SP/LSP expenses of the applicant in subsidy year 6 is $450,000 while that in subsidy year 7 is $150,000.
- The amount of the net post-transition portion of SP/LSP paid to EE F increased from $85,000 to $95,000 after vetting.
- Sequence of individual EE applications input by the applicant with the amount of the net post-transition portion of SP/LSP:

Sequence	Amount of the net post-transition portion of SP/LSP ($)	Relevant date of termination
EE A	40,000	1 Apr 2031
EE B	45,000	31 May 2031
EE C	50,000	1 May 2031
EE D	50,000	28 Apr 2031
EE E	80,000	10 Jun 2031
EE F	85,000	1 Jun 2031
EE G	90,000	1 Jun 2031
EE H	95,000	10 Jun 2031

- **Calculation of subsidy payable**

1. At submission, the sequence of individual applications is re-arranged by SSAS in descending order of the amount of net post-transition portion of SP/LSP as below:

Sequence	Amount of the net post-transition portion of SP/LSP ($)	Relevant date of termination
EE D	50,000	28 Apr 2031
EE A	40,000	1 Apr 2031
EE H	95,000	10 Jun 2031
EE G	90,000	1 Jun 2031
EE F	85,000	1 Jun 2031
EE E	80,000	10 Jun 2031
EE C	50,000	1 May 2031
EE B	45,000	31 May 2031

applications fall in subsidy year 6

applications fall in subsidy year 7

2. Subsidy ratios applicable are as below:

Subsidy year	Cumulative net vetted amount of post-transition SP/LSP	
	Within the first $500,000 in a subsidy year	**Beyond the first $500,000**
6	35% **or** amount of the net post-transition portion of SP/LSP - $25,000 (whichever is more)	35%
7	30% **or** amount of the net post-transition portion of SP/LSP - $50,000 (whichever is more)	30%

Sequence	Net vetted amount of post-transition portion of SP/LSP ($)	Cumulative net vetted amount of post-transition portion of SP/LSP ($)	Subsidy payable ($)
EE D	50,000	500,000	25,000

		(Total amount of EE D and earlier applications of Year 6)	
EE A	40,000 (falling beyond the $500,000 threshold of Year 6)	540,000 (Total amount of EE A, EE D above and earlier application of Year 6)	14,000
EE H	95,000	245,000 (Total amount of EE H and earlier applications of Year 7)	45,000
EE F ↑	95,000*	340,000 (Total amount of EE F, EE H above and earlier applications of Year 7)	45,000
EE G ↓	90,000	430,000 (Total amount of EE G, two EEs above and earlier applications of Year 7)	40,000
EE E	80,000	510,000 (Total amount of EE E, three EEs above and earlier applications of Year 7)	29,250 (i.e. $70,000 − $50,000 × $70,000 ÷ $80,000 + $10,000 × 30%)
EE C	50,000 (falling beyond the $500,000 threshold of Year 7)	560,000 (Total amount of EE C, four EEs above and earlier applications of Year 7)	15,000
EE B	45,000	605,000 (Total amount of EE B, five EEs above and	13,500

	(falling beyond the $500,000 threshold of Year 7)	earlier applications of Year 7)	

applications fall in subsidy year 6

applications fall in subsidy year 7

application with amount of SP/LSP straddling across the $500,000 threshold

* The amount of the net post-transition portion of SP/LSP increased from $85,000 to $95,000 after vetting. The sequence of order is re-arranged by SSAS according to the vetted amount.

- Assuming the applicant has furnished all the required documents and information within the pledged processing time, the above applications will be processed and approved in descending order by the vetted amount of the net post-transition portion of SP/LSP.

6.6.2 There may be cases that the subsidy payable to the applicant has to be revised after payment due to the change of the net vetted amount of post-transition portion of SP/LSP of the application itself, such as after review / appeal / IA check / IR or being affected by a change in the net vetted amount of post-transition portion of SP/LSP of other approved application(s) or a change of the vetting result (i.e. from refusal to approval or vice versa) before it after review / appeal / IA check / IR.

6.6.3 If the affected application was submitted in a batch, re-arrangement of the sequence of applications in the same batch may be required. The applicant's subsidy amount of the affected application and the application(s) approved in the same batch (if any) and thereafter may be affected as well because application(s) originally falling within the $500,000 threshold may become falling beyond the threshold after such revision and vice versa.

6.6.4 The amount of subsidy payable to the applicant after a change of the net vetted amount of post-transition portion of SP/LSP will be re-calculated as follows:

- re-calculate the amount of subsidy payable for the affected application as well as the application(s) in the same batch (if any) which were approved after it based on the latest cumulative net vetted amount of post-transition portion of SP/LSP expenses of the applicant

- compare the amount of subsidy already paid to the applicant with the rectified subsidy amount of all these applications
- the applicant may either have received more or less subsidy than the applicant should be

Examples 8 to 9 below illustrate examples of such cases to facilitate PA's understanding of the re-calculation of subsidy payable.

Example 8 – Increase in vetted amount of the net post-transition portion of SP/LSP after review / appeal / IA check / IR

Assumptions:

- The relevant dates of termination of all employees fall within subsidy year 6.
- The employer applied for a review of Application 4. The net vetted amount of post-transition portion of SP/LSP is revised from $30,000 to $90,000 after review

- **Calculation of subsidy payable**

Subsidy year	Cumulative vetted amount of the net post-transition portion of SP/LSP	
	Within the first $500,000 in a subsidy year	**Beyond the first $500,000**
6	35% **or** amount of the net post-transition portion of SP/LSP - $25,000 (whichever is more)	35%

Application Sequence	Post-transition portion of SP/LSP ($)	Subsidy paid ($)	Revised post-transition portion of SP/LSP ($)	Revised Subsidy payable ($)	Difference in subsidy payable ($)
1	70,000	45,000	No change	No change	0
2	70,000	45,000	No change	No change	0
3	75,000	50,000	No change	No change	0
4	30,000	10,500	90,000	65,000	54,500
5	90,000	65,000	No change	No change	0
6	65,000	40,000	No change	No change	0
7	50,000	25,000	50,000	23,500	-1,500
8	40,000	15,000	40,000 (beyond $500,000 threshold)	14,000	-1,000
9	40,000	14,250	40,000 (beyond $500,000 threshold)	14,000	-250

Total:	530,000	309,750	590,000	361,500	51,750

application with amount of SP/LSP straddling across the $500,000 threshold

- With the amount of the net post-transition portion of SP/LSP of Application 4 revised upwards, an underpayment of $54,500 is found.
- Apart from re-calculating the subsidy payable for Application 4, the subsidy payable for the subsequent applications (i.e. Applications 5-9) are also required to be re-calculated by applying the latest cumulative net vetted amount of post-transition portion of SP/LSP expense of the applicant.
- For Applications 5 and 6, the amount of subsidy payable remains unchanged as they remain in the first $500,000 threshold even after revision of Application 4.
- For Application 7, which the whole sum originally falling within the first $500,000 threshold, only part of the sum remains within the first $500,000 threshold after revision of Application 4.
- For Applications 8-9, which the whole sum / part of the sum originally fell within the first $500,000 threshold, the entire sum now falls beyond the $500,000 threshold after the revision of Application 4. Therefore, the subsidy payable for Applications 7-9 is affected with an overpayment of $1,500, $1,000 and $250 detected respectively.
- After offsetting, a net amount of $51,750 (i.e. $54,500 − $1,500 − $1,000 − $250) will have to be disbursed to the applicant.

Example 9 – Decrease in vetted amount of the net post-transition portion of SP/LSP after review / appeal / IA check / IR

Assumptions:

- The relevant dates of termination of all employees fall within subsidy year 6.
- Applications 4 to 9 were submitted in a batch.
- The IA check found that the amount of the net post-transition portion of SP/LSP of Application 4 should be $30,000 instead of $90,000 as originally vetted.

- **Calculation of subsidy payable**

Subsidy year 6	Cumulative vetted amount of the net post-transition portion of SP/LSP	
	Within the first $500,000 in a subsidy year	**Beyond the first $500,000**
	35% **or** amount of the net post-transition portion of SP/LSP - $25,000 (whichever is more)	35%

Application sequence	Post-transition portion of SP/LSP ($)	Subsidy paid ($)
1	70,000	45,000
2	70,000	45,000
3	75,000	50,000
4	90,000	65,000
5	90,000	65,000
6	65,000	40,000
7	50,000	23,500
8	40,000 (beyond $500,000 threshold)	14,000
9	40,000 (beyond	14,000

Application sequence	Revised post-transition portion of SP/LSP ($)	Revised subsidy payable ($)	Difference in subsidy payable ($)
1	No change	No change	0
2	No change	No change	0
3	No change	No change	0
5↑	90,000	65,000	0
6↑	65,000	40,000	0
7↑	50,000	25,000	1,500
8↑	40,000	15,000	1,000
9↑	40,000	15,000	1,000
4↓	30,000	10,500	-54,500

	$500,000 threshold)				(beyond $500,000 threshold)		
Total:	**590,000**	**361,500**		**Total:**	**530,000**	**310,500**	**-51,000**

application with amount of SP/LSP straddling across the $500,000 threshold

- With the amount of the net post-transition portion of SP/LSP of Application 4 revised downwards, the sequence of applications in the same batch (i.e. Applications 4-9) had to be re-arranged according to the revised amount of the net post-transition portion of SP/LSP in descending order.
- The subsidy payable for Applications 4-9 are also re-calculated by applying the latest cumulative vetted amount of the net post-transition portion of SP/LSP expenses of the applicant.
- For Applications 5 and 6, the amount of subsidy payable remains unchanged as they remain in the first $500,000 threshold even after re-arrangement of sequence.
- For Application 7, which part of sum originally fell beyond the first $500,000 threshold, the entire sum now falls within the first $500,000 threshold after re-arrangement of sequence.
- For Applications 8-9, which the whole sum originally fell beyond the $500,000 threshold, the entire sum now falls within the $500,000 threshold after re-arrangement of sequence.
- Therefore, the subsidy payable to Applications 7-9 is affected with an underpayment of $1,500, $1,000 and $1,000 detected respectively.
- After the re-arrangement, Application 4 becomes the last one in the batch and falls beyond the $500,000 threshold.
- After offsetting, the applicant has to return a net subsidy amount of $51,000 (i.e. $54,500 - $1,500 - $1,000 - $1,000) in respect of this batch of applications.

Chapter 7 Quality Assurance Checks

7.1 Overview

7.1.1 The objectives of quality assurance checks ("QA checks") are to double check the applicant's eligibility for SSA and the amount of SP/LSP eligible for subsidy for fresh applications which are recommended for approval by VOs and endorsed by AOs before subsidy payment is arranged.

7.1.2 QA checks should be conducted by a Vetting TL.

7.1.3 The Vetting TL should declare non-conflict of interest in SSAS prior to conducting the QA checks (see section 5.3 for details).

7.1.4 The Vetting TL who are assigned QA checks should complete the checks **within 2 working days upon assignment**. The Vetting TL should record the result of QA checks and recommend the course of action(s) (if any) in SSAS upon completion of QA checks. SSAS will send a reminder to the Vetting TL at the end of the 2-day period (TBC) if there is no action of the Vetting TL (i.e. the check box of "QA passed" (TBC) in SSAS has not been checked or the application not passing the check has not been returned to the concerned VO for follow-up).

7.2 Coverage of QA checks

7.2.1 SSAS will randomly select on every working day **at least 5%** of the fresh applications endorsed for AIP[40] before the applications are due for sending to EBSD for arrangement of payment. EBSD may adjust the percentage and methodology (or selection rules) for QA checks in consultation with PA in the light of operation experience.

40 Referring to applications endorsed for AIP before the 19th working day or beyond the 23rd working day / before 20th working day or beyond the 24th working day counting from the date of receipt of the applications (if processing time lengthens to 30 working days) (TBC).

7.3 Points to note to conduct QA checks

7.3.1 The responsible Vetting TL should check if the application processing is in order, including –

- whether the information provided and documents submitted by the applicants are **sufficient for approving payment** (see Chapter 3 for details);
- whether the vetted data for calculation of the post-transition portion of SP/LSP eligible for subsidy **match** with the available information and documents; and
- whether **necessary follow-up action(s) has/have been taken appropriately** during vetting (see Chapter 5 for details).

7.3.2 For applications **passing the QA checks**, SSAS will send the applications to EBSD for arranging subsidy payment. (see Chapter 8 and Chapter 9 for details).

7.3.3 For applications which **cannot pass the QA checks**, the concerned Vetting TL should return the applications to the responsible VO direct for follow-up specifying the issue(s) in question and the course of action(s) to be taken. The VO should re-submit the application with Vetting TL's enquiries answered to the AO within 2 working days after the application is returned to him, unless further clarification with the applicants is necessary. The re-submitted applications will not be re-selected for QA checks.

7.3.4 The Vetting TLs who are assigned to conduct the QA checks, should seek advice from the Operations Manager and if necessary, from EBSD in case they encounter any unusual situations or difficulties during the QA checks (please see para. 5.X.X for consultation on exceptional / complicated cases with EBSD).

Chapter 9 Notification of Application Result

9.1 Result notifications

9.1.1 Notifications of application result should be issued in the following manner:

- Send to the applicants' inbox in the TransitionEase Portal for online applications
- Post to applicants for paper form applications

9.1.2 Types of result notification include:

- Result for fresh applications (approval / refusal)
- Withdrawal / deemed withdrawal of applications
- Result for review / appeal on fresh applications (acceptance / refusal of review / appeal request)
- Subsidy adjustment resulting from IA checks / IR[41]
- Result for review / appeal on IA check / IR result (acceptance / refusal of review / appeal request)

9.1.3 Result notifications would be generated and sent to online applicants by SSAS automatically. For paper form applicants, PA should print the notifications from SSAS and send to them by post.

Result notification for fresh applications

9.1.4 For batch submission, if more than one application in the batch is approved / refused on the same day, a consolidated notification covering all the approved / a consolidated notification covering all refused cases of the same batch will be generated by SSAS.

9.1.5 For approved cases with positive subsidy sum (after offsetting, if applicable), a notification (letter template at **Appendix 9.1.1**) should be sent after EBSD giving payment instruction to the bank. For each application, the notification should set out, amongst others –

- the vetted amount of net post-transition portion of SP/LSP;
- the amount of subsidy calculated per the vetted amount of net post-

41 Employer should be notified even if the overpayment / underpayment of subsidy detected in IA check / IR is fully offset by subsidy payable to / outstanding overpayment of the same employer.

transition portion of SP/LSP;

- if offsetting with other applications has been made: the amount of subsidy to be received after offsetting, the application(s) with which offsetting has been made and the amount of overpayment offset;
- the payment date, amount and channel; and
- the contact means of the subject VO.

9.1.6 For approved cases with zero subsidy sum after offsetting with outstanding overpayment in other applications of the same applicant, the notification (letter template at **Appendix 9.2**) would be sent to the applicant after the vetting result has been approved by AO. For each application, the notification should set out, amongst others –

- the vetted amount of net post-transition portion of SP/LSP;
- the amount of subsidy calculated per the vetted amount of net post-transition portion of SP/LSP;
- the application(s) with which offsetting has been made and the amount of overpayment offset; and
- the contact means of the subject VO.

9.1.7 The notification should also inform the applicant that if he is not satisfied with the application result, he **may lodge a review request within 4 weeks** from the date on which the result notification was issued; and if the outcome of the review request results in change of the concerned employee's vetted amount of net post-transition portion of SP/LSP, the Subsidy Application Office will review the applicant's other approved application(s) to see if the subsidy granted in those application(s) should be adjusted consequentially. If overpayment is detected in these other application(s), the applicant will be required to pay back the Government of HKSAR the overpaid amount. On the other hand, if underpayment is detected, the applicant will be paid the underpaid amount.

9.1.8 Subsidy payment will be arranged via auto-bank transfer to the applicants' designated local bank account by default unless the applicants request to receive payment by cheque. The notification for applicants receiving positive subsidy payment by auto-bank transfer and crossed / cash cheque are different (letter templates at **Appendices 9.1.1 and 9.1.2)**.

9.1.9 For refused cases, the notification should set out the reason(s) of refusal[42], the means of filing a review as stated in para. 9.1.7 above and the contact means of the subject VO.

9.1.10 An **email** to remind the applicant to check his inbox for the result notification would be **issued automatically by SSAS by midnight**. For notification **by post**, it should be **issued by PA within the next working day after the day on which EBSD gave the payment instruction to the bank** or **the result of application is marked as "Rejected" for refused cases**.

9.1.11 For approved cases, which the employee's contact means are provided by the applicant, a letter (letter template at **Appendix 9.3**) showing the amount of post-transition portion of SP/LSP paid by the employer as provided by the applicant should also be sent to the employee within the next working day following issue of the result notification to the applicant by email or post. The purpose of doing so is to remind the employee concerned of their statutory SP/LSP entitlement under EO so that they may take remedial action as appropriate.

9.1.12 For refused cases, **no** notification letter needs to be sent to the employee.

Withdrawal / deemed withdrawal notification

9.1.13 For withdrawal of application made by the applicants in writing, the VO / Examiner should immediately change the application status to "withdrawal" and SSAS will automatically stopped the application processing. A confirmation of withdrawal letter (letter template at **Appendix 9.4**) to the applicant will be issued by SSAS automatically to acknowledge receipt of applicant's withdrawal request on the same day.

9.1.14 In case the applicant makes a verbal withdrawal request, the handling officer (namely the VO / Examiner for cases in progress and the AO / Examination TL for cases endorsed) should immediately change the application status to "pending clarification [TBC]" to stop the application processing with a remark indicating the receipt of verbal withdrawal request. An acknowledgement letter with a reply slip attached (letter template at **Appendix 9.5**) will be issued to the

42 Please refer to **Annex 9.x** for the refusal reasons.

applicant. The letter should state –

- the full name of the person (or surname if full name is not available) making the verbal request;
- the date of the verbal request; and
- that the processing of the application has stopped according to the verbal request.

The acknowledgement letter will also request the applicant to confirm the withdrawal of his application in writing by returning the reply slip attached to the letter to the VO / Examiner within 7 working days from the issue of the letter.

9.1.15 For withdrawal request made verbally without any written confirmation from the applicant within 7 working days from the issue of the acknowledgement letter, the VO / Examiner should propose to deem the application withdrawn in **2 working days after the 7-working-day deadline** and seek the approval of the AO / Examination TL. Upon endorsement by the AO / Examination TL, a "Deemed Withdrawn" notification would be generated by SSAS automatically and issued (letter template at **Appendix 9.6**) to the applicant's inbox with an email reminder to the applicant (for online applicants) **by midnight**. For paper form applicants, PA should arrange to send the notification to the applicant by post on **the next working day** of the AO / Examination TL's endorsement.

9.1.16 For verbal withdrawal request confirmed by the applicant in writing, the VO / Examiner should change the application status to "withdrawn" in SSAS **within the next working day upon receipt of the written confirmation.** SSAS will generate the "Case Withdrawn" notification (letter template at **Appendix 9.4**) and send the notification to the applicant's inbox with an email reminder to the applicant (for online applicants) **by midnight** after receipt of the applicant's confirmation. For paper form applicants, PA should arrange to send the notification to the applicant on **the next working day**.

9.1.17 Should the applicant reply in writing to cancel the verbal withdrawal request within 7 working days upon the issue of acknowledgement letter, the VO / Examiner should resume processing of application as if it is a receipt of clarification reply and issue an acknowledgement letter (letter template at **Appendix 9.7**) to the applicant within the next working upon receipt of cancellation of withdrawal request. The letter should acknowledge the receipt

of written cancellation of withdrawal request and inform the applicant that the application processing will continue.

9.1.18 These notifications would be generated and sent to online applicants' inbox with an e-mail reminder to the applicant by SSAS automatically **by midnight** of the day after the result is marked in SSAS. For paper form applicants, PA should print the notifications from SSAS and send to them by post **within the next working day after receiving the cancellation request**.

Result notifications for review / appeal on fresh applications

9.1.19 For review / appeal request accepted (i.e. the vetted net amount of post-transition portion of SP/LSP is adjusted upwards after review / appeal) and positive subsidy sum (after offsetting, if applicable) resulted, a notification (letter template at **Appendix 9.x**) should be sent to the applicant after EBSD giving payment instruction to the bank. For each review / appeal case, the notification should set out, amongst others –

- the result of review / appeal
- the vetted amount of net post-transition portion of SP/LSP before and after review / appeal;
- the amount of subsidy calculated per the vetted amount of net post-transition portion of SP/LSP before and after review / appeal
- the net amount of subsidy granted after review / appeal;
- if offsetting with overpayment in other applications of the applicant has been made: the net amount of subsidies to be paid after offsetting, the other application(s) with which offsetting has been made and the amount of overpayment offset;
- the payment date, amount and channel; and
- the contact means of the subject Examiner.

9.1.20 For review / appeal request accepted (i.e. the vetted net amount of post-transition portion of SP/LSP is adjusted upwards after review / appeal) and zero subsidy sum resulted after offsetting with outstanding overpayment in other applications of the same applicant, the notification (letter template at **Appendix 9.x**) should be sent to the applicant after offsetting. For each review / appeal request, the notification should set out, amongst others –

- the result of review / appeal;
- the vetted amount of net post-transition portion of SP/LSP before and after

review / appeal;

- the amount of subsidy calculated per the vetted amount of net post-transition portion of SP/LSP before and after review / appeal;
- the net amount of subsidy granted after review / appeal;
- the overpayment in other application(s) of the applicant with which offsetting has been made and the amount of overpayment offset; and
- the contact means of the subject Examiner.

9.1.21 For review / appeal cases with overpayment detected (i.e. the vetted net amount of post-transition portion of SP/LSP is adjusted downwards after review / appeal) and the overpayment cannot be fully offset by any subsidies granted in other applications of the same applicant, a recovery letter (letter template at **Appendix 9.x**) should be sent to the applicant together with the General Demand Note ("GDN") (details refer to para. 12.xx). For each application, the notification should set out, amongst others –

- the result of review / appeal;
- the vetted amount of net post-transition portion of SP/LSP before and after review / appeal;
- the amount of subsidy calculated per the vetted amount of net post-transition portion of SP/LSP before and after review / appeal;
- the net amount of overpayment detected in the review / appeal case;
- if offsetting with subsidies granted in other applications has been made: the application(s) with which offsetting has been made and the amount of subsidy payable in the application(s) offset;
- the net amount of subsidy overpaid;
- the payment channel to return the overpaid subsidy; and
- the contact means of the subject Examiner;

9.1.22 For review / appeal cases with overpayment detected (i.e. the vetted net amount of post-transition portion of SP/LSP is adjusted downwards after review / appeal) and zero subsidy sum resulted after offsetting with subsidy payable in other applications of the same applicant, a notification (letter template at **Appendix 9.x**) should be sent to the applicant after offsetting. For each application, the notification should set out, amongst others –

- the result of review / appeal;
- the vetted amount of net post-transition portion of SP/LSP before and after review / appeal;

- the amount of subsidy calculated per the vetted amount of net post-transition portion of SP/LSP before and after review / appeal;
- the net amount of overpayment detected in the review / appeal case;
- the other application(s) of the applicant with which offsetting has been made and the amount of subsidy payable in the application(s) offset; and
- the contact means of the subject Examiner.

9.1.23 The notification for review result (letter template at **Appendix 9.xx**) should also inform the applicant that if the applicant is not satisfied with the review result, he **may lodge an appeal request within 4 weeks** from the date on which the review result notification was issued; and if the outcome of the appeal request , which is final, results in change of the concerned employee's vetted amount of net post-transition portion of SP/LSP, the Subsidy Application Office will review the subsidy granted in the applicant's previously approved application(s) to see if any consequential adjustments to the amount of subsidies granted in those applications are necessary. If overpayment of subsidies is detected, the applicant will be required to pay back the Government of HKSAR the overpaid amount. On the other hand, if underpayment is detected, the applicant will be paid the underpaid amount.

9.1.24 The notification letter for appeal result (letter template at **Appendix 9.xx**) should set out that the decision is final.

9.1.25 For result notifications without GDN attached, they should be issued to the applicant's inbox with an email reminder sent to the applicant (for online applicants) automatically by SSAS by midnight of the day on which EBSD gives the payment instruction to the bank or SSAS completes offsetting (if no payment is involved). For paper form applicants, PA should print and send the result notifications to applicants by post within the next workingday which EBSD gives the paymet instruction to the bank or SSAS completes offsetting (if no payment is involved. For notifications with GDN, it should be sent by post within the next working day upon receipt of GDN from the Finance and Payment Team of EBSD.

9.1.26 In case of subsequent revision to the outstanding amount of subsidy overpaid (resulting from offset by subsidy payable to other applications of the same applicant, approval of review / appeal, subsidy adjustment resulting from IA

checks / IR or acceptance of review / appeal to IA checks / IR result) after issuance of the recovery letter, a revised recovery letter (letter template at **Appendix 9.x**) setting out the offsetting items in the relevant scenario and the revised amount of overpaid subsidy should be sent to the applicant together with the revised GDNafter each revision (Details refer to para. 12.xx).

9.1.27 The revised recovery letter would be generated automatically by SSAS by midnight of the day [TBC] on which SSAS completes offsetting arrangement and the outstanding overpayment is marked to be partially settled. PA should print the revised recovery letter and send the letter together with the revised GDN send the letter **by post** to the applicant within the next working day upon receipt of revised GDN from the Finance and Payment Team of EBSD.

9.1.28 For refused cases, the notification (letter template at **Appendix 9.xx**) should set out the reason(s) of refusal[43] and the contact means of the subject Examiner. For review cases, the means of filing an appeal as stated in para. 9.1.23 should also be set out. The contents of refusal notifications for fresh, review and appeal applications can be found in the table below –

Content of refusal notification			
	Fresh application	Review application	Appeal application
Refusal reason(s)	Yes		
Contact means for enquiry	VO	Examiner	
Means to file a review / appeal	Yes		No

9.1.29 Para. 9.1.8 on payment and para. 9.1.13 to 9.1.18 on withdrawal also apply to the review / appeal of fresh applications.

Notification on subsidy adjustment resulting from IA checks / IR

9.1.30 Para. 9.1.19 to 9.1.29 apply to the adjustment to the vetted net amount of post-transition portion of SP/LSP resulting from IA checks / IR except the following:

- the notification letter for adjustment to the vetted net amount of post-transition portion of SP/LSP resulting from IA checks / IR (letter template at **Appendices 9.xx – 9.xx**) should set out the means of filing a review instead of the means of filing an appeal as mentioned in para. 9.1.23;

43 Please refer to **Annex 9.x** for the refusal reasons.

- **the paragraph** on appeal result as mentioned in para. 9.1.24 is not required;
- **no** notification letter needs to be sent to the applicant for IA checks / IR cases without any adjustments to the vetted net amount of post-transition portion of SP/LSP.

Result notification for review / appeal on IA check / IR result

9.1.31 Para. 9.1.19 to 9.1.29 apply to reviews / appeals on IA checks / IR result (letter template at **Appendices 9.xx – 9.xx**).

9.1.32 For notifications to applicants other than those stated above, please refer to **Appendix xx** - Types of Notification to ERs on Case Processing and Brings-up / Alerts to Processing Officers.

9.2 Reminder on EO requirements relating to SP/LSP

9.2.1 As SSA is to share out employers' net post-transition portion of SP/LSP expenses according to the subsidy ratio through a user-friendly and efficient mechanism, the information and documents collected during application are confined to those absolutely necessary and the processing aims at ascertaining the subsidy amount for eligible employers. During the processing of applications, VO / Examiner may find suspected violation of EO requirements relating to SP/LSP from the information/ documents collected from the applicant[44]. To remind the applicant (and the employee, if employee's contact means are provided) of the legal requirements under EO, for all fresh applications, the result notification letters to the concerned applicant should enclose extracts of EO provisions relating to SP/LSP, so that they may take remedial action deemed necessary. For the employee (if the employee's contact means are provided) of all approved cases, the result notification letters

44 For example, suspected underpayment of SP/LSP can be found if the amount of net post-transition portion of SP/LSP paid to the employee as provided by the applicant (Amount A) is less than the amount of net post-transition portion of SP/LSP as calculated by SSAS using the information vetted by the VO (herein referred as Amount B) (see Chapter 6 for details).

For another example, EO requires SP to be paid not later than two months from the receipt of the notice from the employee for claiming SP and LSP be paid within seven days after the date of termination of employment contract. Suspected late payment of SP/LSP can be found if the applicant indicates in a written submission that SP/LSP was paid later than the day stated above.

should enclose extracts of EO provisions relating to SP/LSP, so that they may take remedial action deemed necessary. The notificiation will only be issued to the employee ONCE when the employer is first granted subsidy for this application in any stages of the application (such as fresh application, review application, appeal application, IA check or IR). This arrangement does not apply to withdrawn cases, and normally notification will not be sent to the employee of these types of cases. Please see **Annex xx** for the extracts of EO provisions relating to SP/LSP to be enclosed in notification letters.

Chapter 10 Review and Appeal

10.1 Overview

10.1.1 If an applicant does not agree to the result of his subsidy application, he may file a request for **review** once against (i) the unsuccessful application, or (ii) the amount of subsidy granted **within 4 weeks from the date of notification letter on the result of the subsidy application (TBC)**.

10.1.2 If an applicant does not agree to the review result, he may further file a request for **appeal** once against the review result **within 4 weeks from the date of notification letter on the result of the review (TBC)**. The result of the appeal request is final.

10.1.3 If EBSD requires PA to review an application to ascertain whether an erroneous subsidy has been made to an applicant or whether the refusal decision is in order, or if PA detects and/or suspects that an erroneous subsidy has been made to an applicant in respect of his application or an application has been wrongly refused, PA shall conduct an internal review of the application without delay. These cases are regarded as IR cases.

10.1.4 In case the applicant disagrees to the IR result, he may file a review request once within 4 weeks (TBC) from the date of IR result notification. The applicant is also allowed to raise appeal once against the review result of IR within 4 weeks (TBC) after the issue date of notification on the review result.

10.1.5 PA shall adopt a two-tier system with proper segregation of duties of the Examiners and Examination TLs in handling the **review and appeal requests / IR cases / review and appeal requests of IR result** as follows:

- An Examiner shall be responsible for reviewing the information of each case, examining the justification put forth by the applicant (if applicable), making necessary clarifications and obtaining additional information and/or documents from the applicants, other government bureaux / departments, relevant organisations or parties, as appropriate, and where necessary, seeking advice from EBSD; and make recommendation to the Examination TL.

- For applicant's review request / IR case, an Examination TL shall be responsible for examining the Examiner's recommendation and approving or rejecting an applicant's review request. If the Examination TL disagrees with the Examiner's recommendation, the Examination TL shall return the case to the Examiner for follow-up as appropriate.

- For applicant's appeal request, an Examination TL shall be responsible for endorsing an Examiner's recommendation before he submits the case to EBSD for final approval.

10.1.6 An appeal request could be processed by an Examiner who processed the review request of the same application. Similarly, the Examination TL who processed the previous review request could be assigned to process the appeal request.

10.2 Submission of review / appeal application and supporting documents by applicants and timeline for processing

10.2.1 The applicant can submit a request for review / appeal via the **TransitionEase Portal or** through means other than the TransitionEase Portal **(e.g. by post, email, facsimile or in person to the Subsidy Application Office**[45]**)**, and should provide the following information:

(a) the application number of subsidy application and name of the relevant employee;
(b) justification for review / appeal together with the supporting documents. For example, if the application is rejected due to insufficient documents (e.g. lack of payment proof), the applicant should submit the relevant payment proof for supporting the review / appeal application.

<u>For review/ appeal applications requiring clarifications or additional information</u>

10.2.2 For review / appeal applications **received through the TransitionEase Portal**,

45 Requests for review / appeal, if received by EBSD, will be re-directed to PA for processing.

the Examiner shall complete examining within 2 working days after receipt of the review / appeal applications by deciding whether it is necessary to make clarifications, seek additional information, documents and/or advice from the applicants, EBSD, other government bureaux / departments, relevant organisations and/or parties; and issuing the clarification request(s) as necessary.

10.2.3 For review/ appeal applications **received through means other than the TransitionEase Portal**, the following tasks should be completed within 4 working days after receipt of review or appeal applications:

- PA shall complete data input; and
- the Examiner shall complete examining by deciding whether it is necessary to make clarifications, seek additional information, documents and/or advice from the applicants or other parties, and issuing the clarification request(s) as necessary.

10.2.4 **After receipt of the supplementary information, documents and/or advice from the applicants and/or relevant parties**[46], the Examiner shall complete assessing the supplementary information, documents and/or advice within 2 working days after receipt of the supplementary information, documents and/or advice from the applicants and/or relevant parties by:

- submitting an approval or refusal recommendation on the review / appeal application, as appropriate, to the Examination TL if no further clarification from the applicant and/or relevant parties is required, or
- if further clarification is required, issuing clarification request as necessary.

<u>For review / appeal applications with no clarification required</u>

10.2.5 For review / appeal applications **received through TransitionEase Portal**, the

46 For supplementary information / documents / advice received via the TransitionEase Portal and supplementary information / documents / advice submitted by email or facsimile to the Subsidy Application Office, the receipt date will be the receipt date recorded by the TransitionEase Portal or the date shown on the facsimile or the receipt date shown on the email received by the Subsidy Application Office, unless it is not a working day; in which case the next working day will be regarded as the receipt date. For supplementary information / documents / advice delivered / submitted to the Subsidy Application Office by post or in-person within the office hours, the receipt date will be the date when the supplementary information / document / advice is received by the Subsidy Application Office. For those delivered to the Subsidy Application Office by post or in-person after the office hours, the receipt date will be counted as the next working day of delivery.

Examiner shall complete examining and submit the recommendation to either approve or refuse the review / appeal application to the Examination TL within 4 working days after receipt of the review / appeal applications.

10.2.6 For review / appeal applications **received through means other than TransitionEase Portal**, the following tasks should be completed within 6 working days after receipt of the review / appeal applications:

- PA shall complete data input; and
- the Examiner shall complete examining and submit the recommendation to either approve or refuse the review/appeal application to the Examination TL.

10.3 Acknowledgement receipt of review / appeal applications

10.3.1 For review / appeal applications made via the TransitionEase Portal, an automated message would be popped up on the portal **instantly once a review / appeal application is submitted** to inform the applicant that the application has been received.

Counting of receipt date

10.3.2 For review / appeal applications submitted **by post or in-person** to EBSD / **t**he Subsidy Application Office **within the office hours**, the receipt date by EBSD / the Subsidy Application Office will be taken as the submission date of the application. For those submitted by post or in-person to EBSD / the Subsidy Application Office **after the office hours**, the receipt date will be taken as the next working day.

10.3.3 For review / appeal applications submitted **by email or facsimile** to EBSD / the Subsidy Application Office, the print date shown on the facsimile or the email receipt date shown in the email will be taken as the submission date, or if it is not a working day, the submission date will be the next working day.

10.3.4 Irrespective of the submission channel, SSAS will auto-generate the letter of acknowledgement (letter template at **Appendix 10.X**) for issuance to the applicant by one of the means below:

- **Email (for online applicants)** – reminding the applicants to check

notification in their in-boxes on the online portal [to be sent out automatically **after assignment of Examiner (TBC)**]. The notification will provide the name(s) of the concerned employee(s), the application number(s), and the name(s) and contact number(s) of responsible Examiner(s) for the applicant's reference.

- **Post (for paper form applications)** – same content as the notification above [to be printed by SSAS by midnight of the following day of completing the data input and assignment of Examiner (TBC)]. PA should arrange to send the acknowledgement letter to the applicant **by the next working day** (TBC)].

10.4 Late application for review / appeal

10.4.1 As set out in para. 10.1.1 and 10.1.2, an applicant should submit an review / appeal application **within 4 weeks from the date of result notification letter**. Any request for review / appeal filed after the deadlines stated in para. 10.1.1 and 10.1.2 is a late application.

10.4.2 Counting of the receipt date of an application for review / appeal submitted via different channels follows the rules stipulated in para. 10.3.2 and 10.3.3.

10.4.3 For late applications, the Examiner should issue a clarification letter (letter template at **Appendix 10.X**) to the applicant advising the applicant that late applications are normally not considered unless with justifications and if no justification is received from the applicant within 7 working days from the date of the letter, the application will be deemed withdrawn. Apart from seeking the justification of late application, the Examiner should also seek other clarification(s) of the application (if necessary) in the same letter. If no reply is received after 7 working days from the issue date of clarification request, a reminder (letter template at **Appendix 10.X**) should be sent to the applicant. If no reply is received after 7 working days from the issue date of the reminder, a final reminder (letter template at **Appendix 10.X**) should be sent to applicant and the Examiner should follow up with the applicant by phone within 2 working days after the issuance of final reminder. If no reply is received after 9 working days from the issue date of the final reminder, the Examiner should recommend deeming the late review / appeal application withdrawn for the

Examination TL's approval. To re-activate the processing of a late application which was deemed withdrawn, the applicant is required to submit a fresh review / appeal application together with the justification for the late submission.

10.4.4 In general, late application(s) will be accepted if the applicant has submitted written justification. However, each application should be accepted on an individual case merits (e.g. duration of lateness involved, reasons provided) while an overall consistency of acceptance should be maintained. Generally, the following are some acceptable reasons:

- HR staff responsible for handling review / appeal application matters left service thus missing the application deadline;
- Prolonged process of acquiring the information / documents required for submitting the review / appeal application; or
- Delay in obtaining necessary information / documents for review / appeal application submission due to prolonged communication process with employee.

10.4.5 For late applications that the Examiner proposes to deem withdrawn due to the applicant's failure to provide any explanation, the Examiner should seek endorsement from the Examination TL before further processing the case. Upon obtaining the Examination TL's endorsement, a notification will be auto-generated for issuance to the applicant (template at **Appendix 10.X**) by email (for online applicant) or by post (for paper form application), depending on the submission channel of the review / appeal application.

10.4.6 Late applications with acceptable justifications should be processed along the same procedures as normal review / appeal applications. The process of seeking and processing an applicant's justifications is treated as a clarification with the applicant during processing of review / appeal applications.

10.5 Processing of review / appeal applications

10.5.1 Declaration of non-conflict of interest by the assigned Examiner and Examination TL should be made in SSAS prior to processing the review / appeal requests (see section 5.3 for details).

10.5.2 All information obtained for processing the review / appeal requests and the result of the review / appeal request should be recorded in SSAS.

10.5.3 When processing a review / appeal request, the Examiners should refer to Chapter 2 on Criteria of Application for determination of the eligibility of subsidy and Chapter 5 on Vetting and Approval about the requirement of vetting procedure for re-examining the subsidy application. In case the Examiner encounters any unusual situations or difficulties during review / appeal processing, they should seek advice from the Examination TL.

10.5.4 Where clarification is required, the Examiner should contact the applicant according to the guidelines stated in section 5.9. The Examiner could contact the applicant by phone, email or by post depending on the significance of the matter to be clarified. If a written clarification request is issued (letter template at Appendix 10.X), the applicant should be required to provide the requested information / document within 7 working days from the date of request. If no reply is received after the specified deadline, a reminder (letter template at Appendix 10.X) should be sent to remind the applicant to promptly respond to the outstanding request. If no reply is received after 7 working days from the issue date of the first reminder, a final reminder (letter template at Appendix 10.X) should be sent to applicant and the Examiner should follow up with the applicant by phone within 2 working days after the issuance of final reminder. If no reply is received after 9 working days from the issue date of the final reminder, the Examiner should recommend within 2 working days whether the review / appeal application should be deemed withdrawn, refused or approved, depending on the sufficiency of information (TBC). To re-activate the processing of review / appeal application which was deemed withdrawn, the applicant is required to submit a new review / appeal application together with the information / documents as requested.

10.5.5 The applicant may withdraw his review / appeal request during the review / appeal processing. For withdrawal of application made by the applicant in writing, the Examiner should immediately change the application status to "withdrawn" and SSAS will automatically stop the application processing. A confirmation letter (letter template at Appendix 10.X) to the applicant will be generated by SSAS automatically to acknowledge receipt of the applicant's

withdrawal request on the same day.

10.5.6 If the applicant makes the withdrawal request verbally, the applicant should be advised to submit the withdrawal request via the TransitionEase Portal or in writing to the Subsidy Application Office by post, email, facsimile or in person. The Examiner should, upon receipt of the applicant's verbal withdrawal request, promptly record in SSAS. A letter (letter template at Appendix 10.X) will be auto-genereated by SSAS for issuance to the applicant to confirm his withdrawal of the review / appeal application pursuant to his earlier verbal request and the applicant may cancel the withdrawal request within 7 working days (TBC) if he wishes to do so. If the applicant does not respond, the application could be deemed withdrawn after the expiry of the deadline.

10.5.7 For withdrawal cases made by verbal request without any written reply from the applicant to confirm the withdrawal within 7 working days from the issue of the notification, the Examiner should recommend to the Examination TL to deem the application withdrawn within 2 working days after the 7-working-day deadline. A result notification auto-generated by SSAS should be issued (letter template at Appendix 10.X) to the applicant within the next working day of the Examiniation TL's approval.

10.6 Result of review / appeal

10.6.1 In case of a decrease in the vetted net amount of post-transition portion SP/LSP (which is used to calculate the subsidy amount) or an applicant is found to be ineligible for subsidy subsequent to review / appeal application, the Examiner will be required to submit its recommendation to the SM&R Team of EBSD for endorsement via his Eamination TL. (Please see para. 5.X.X for consultation on exceptional / complicated cases with EBSD.)

10.6.2 The Examiner should propose either one of the following recommendations of the result of review / appeal applications together with his findings to the Examination TL for consideration –

(a) accepted (i.e. the vetted net amount of post-transition portion of SP/LSP increased after review / appeal);

(b) rejected (i.e. the vetted net amount of post-transition portion of SP/LSP

remains unchanged or decreased after review / appeal); and

(c) deemed withdrawal of review / appeal request (see para. 10.5.4 to 10.5.6).

10.6.3 The Examination TL is responsible for approving the recommendation proposed by the Examiner as stated in para. 10.6.2 and is required to, within 2 working days after receipt of recommendation from the examiner, –

- ✓ review the information / documents collected to ascertain the applicant's eligibility for subsidy or more subsidy;
- ✓ confirm that all necessary clarifications and required follow-up actions (see para. 10.5.2 to 10.5.4) have been taken appropriately;
- ✓ grant approval or refusal of the review / appeal request based on the recommendation of the Examination; and
- ✓ if he disagrees with the Examiner's recommendation, return the case to the responsible Examiner for re-examination.

10.6.4 Where the case is returned to the Examiner, the Examiner should, within 2 working days after the application has been returned from the Examination TL, (a) if further clarification, additional information, documents and/or advice is required from the applicant, LD, other Government bureau / departments, relevant organisations and/or parties, issue the clarification request(s) as necessary, or (b) if no further clarification is required, re-submit the latest findings with recommendation (i.e. to maintain his previous recommendation or otherwise) to the Examination TL with issues raised by the Examination TL answered.

10.6.5 **Review applications** should be approved / rejected as appropriate at the Examination TL's end.

10.6.6 **Appeal applications together with the recommendations** should be further submitted to EBSD by the Examination TL for approval / rejection.

10.6.7 Likewise, if EBSD does not agree to the Examination Team's recommendation, the case would be returned to the Examination TL for follow-up.

10.6.8 For review / appeal request which is accepted after processing, re-calculation of subsidy amount (see Chapter 6 for details) will be performed by SSAS.

10.6.9 Where there is an increase in the vetted net amount of post-transition portion of SP/LSP after review / appeal, prior to the arrangement of further subsidy payment to the applicant in respect of the review / appeal case, SSAS will check whether the applicant has any outstanding overpayment in any of his previous application(s) (please see Chapter 12 for details). A result notification letter will be generated by SSAS (letter template at **Appendix 10.X**), for PA to issue to the applicant (for paper form applications) with the deadline (if it is a review case) for making appeal on the amount granted.

10.6.10 Where there is a decrease in the vetted net amount of post-transition portion of SP/LSP after review / appeal, please see Chapter 12 for details on the recovery of overpayment. A result notification letter will be generated by SSAS (letter template at **Appendix 10.X**) for issuance to the applicant (for paper form applications) to inform him to return the overpayment amount.

10.6.11 Where the review / appeal request is refused due to **no change to the vetted net amount of post-transition portion of SP/LSP after review / appeal, or the result of review / appeal request is deemed withdrawn**, a result notification letter will be generated by SSAS (letter template at **Appendix 10.X**) for PA to issue to the applicant (for paper form applications) to inform him of the result of the review / appeal request.

10.6.12 PA should examine the review / appeal requests with change in the vetted net amount of post-transition portion of SP/LSP after review / appeal. If any common issue for triggering the review / appeal is identified, PA should conduct briefing or to issue guidance to relevant officers, such as the vetting staff for service improvement. PA should provide the information of the briefing(s) conducted, guidance notes issued or any enhanced measure / amended procedure adopted in the monthly performance report to be submitted to EBSD in accordance with Clause 8.1(f) of the Service Specifications.

10.7 Appeal result not accepted by the applicant

10.7.1 In general, a subsidy application should be closed after the completion of appeal request and the **result of appeal is final**.

10.7.2 If the applicant is still not satisfied with the appeal result, PA should explain to the applicant that the appeal result is final. Such cases should be handled with care to avoid grievances of the applicant.

10.7.3 If the applicant shows strong dissatisfaction and there may be potential complaint about the appeal result or PA's performance on handling of his application, PA should inform EBSD as early as possible. Please refer to Chapter 13 for procedures on complaint handling.

10.8 Processing of IR

10.8.1 In case an irregularity / mistake in handling an application is found by EBSD, EBSD will request PA to commence IR to verify the issue(s) in question and ascertain whether any erroneous payment has been made to an applicant in respect of the latter's application. PA may also initiate IR on a completed application if it is suspected that there are irregularities in approving / refusing the application or an erroneous subsidy has been made. The Examination TL should create an IR case in SSAS and assign to an Examiner to follow up within 5 working days (TBC) upon receipt of the IR request from EBSD / PA.

10.8.2 Declaration of non-conflict of interest by the assigned Examiner and Examination TL should be made in SSAS prior to processing the IR cases (see section 5.2 for details).

10.8.3 In case IR is required for an application under IA check, the issue(s) under concern in IR will be handled by the Examiner conducting IA check in one go.

10.9 Timeline for processing IR cases

<u>IR case requiring clarifications or additional information</u>

10.9.1 For IR case requiring clarifications or additional information, the Examiner shall complete examining within 2 working days after receipt of the IR case by deciding whether it is necessary to make clarifications, seek additional information, documents and/or advice from the applicants, EBSD, other government bureaux / departments, relevant organisations and/or parties; and

issuing the clarification request(s) as necessary.

10.9.2 After receipt of the supplementary information, documents and/or advice from the applicants and/or relevant parties[47], PA should complete data input and the Examiner shall complete assessing the supplementary information, documents and/or advice within 2 working days after receipt of the supplementary information, documents and/or advice from the applicants and/or relevant parties by:

- submitting a recommendation on the IR case, to the Examination TL if no further clarification from the applicant and/or relevant parties is required, or
- if further clarification is required, issuing clarification request as necessary.

IR case with no clarification required

10.9.3 If it is decided that no clarification or additional information/ documents need to be obtained for processing the IR case, the Examiner shall complete examining and submit the recommendation to the Examination TL within 4 working days after receipt of the IR case.

10.10 Non-submission of requested documents by the applicant

10.10.1 If the applicant is required to provide information / documents but no reply is received from him after 7 working days from the date of request (TBC) for clarification, the first reminder (letter template at **Appendix 10.X**) should be issued to the applicant.

10.10.2 A final reminder (letter template at **Appendix 10.X**) will be issued if no reply is received after 7 working days from the date of the first reminder (TBC) and

47 For supplementary information / documents / advice received via the TransitionEase Portal and supplementary information / documents / advice submitted by email or facsimile to the Subsidy Application Office, the receipt date will be the receipt date recorded by the TransitionEase Portal or the date shown on the facsimile or the receipt date shown on the email received by the Subsidy Application Office, unless it is not a working day; in which case the next working day will be regarded as the receipt date. For supplementary information / documents / advice delivered / submitted to the Subsidy Application Office by post or in-person within the office hours, the receipt date will be the date when the supplementary information / document / advice is received by the Subsidy Application Office. For those delivered to the Subsidy Application Office by post or in-person after the office hours, the receipt date will be counted as the next working day of delivery.

the Examiner should call the applicant by phone to follow up within 2 working days after the issuance of final reminder and explain the consequences of failing to submit the requested information and/or documents (i.e. the applicant may be required to return the subsidy granted if he does not cooperate in IR). If the applicant cannot be reached by call, the Examiner should attempt to contact the applicant through other available communication means to serve the purpose.

10.10.3 If no reply is received after 9 days from the date of the final reminder (TBC), the Examiner should take follow-up action (e.g. conduct a search with the Business Register / Companies Registry) to verify the existence of the applicant / employer within 2 working days (TBC) and make recommendation to the Examination TL accordingly.

10.11 Results of IR and follow-up actions

10.11.1 In case of a decrease in the vetted net amount of post-transition portion SP/LSP (which is used to calculate the subsidy amount) or an applicant is found to be ineligible for subsidy (including the cases where the applicant fails to respond to requests for provision of information and/or documents for IR after the issuance of final reminder as sted in para. 10.10.3) subsequent to IR, the Examiner will be required to submit its recommendation to the SM&R Team of EBSD for endorsement via his Eamination TL. (Please see para. 5.X.X for consultation on exceptional / complicated cases with EBSD.)

10.11.2 The Examiner should propose either one of the following recommendations of the result of IR with his findings to the Examination TL for consideration –

(a) decrease in the vetted net amount of post-transition of SP/LSP after IR is detected;
(b) increase in the vetted net amount of post-transition of SP/LSP after IR is detected;
(c) suspected abuse / fraud is detected;
(d) the applicant fails to respond / cannot be reached; or
(e) no change to the vetted net amount of post-transition of SP/LSP is necessary.

10.11.3 The Examination TL is responsible for approving the recommendation proposed by the Examiner and is required to –

- ✓ review the information / documents collected to ascertain the eligibility of applications for subsidy or the appropriateness of the subsidy amount;
- ✓ confirm that all necessary clarifications and required follow-up actions have been undertaken appropriately;
- ✓ indicate whether he agrees to the findings reported by the Examiner;
- ✓ report the IR result to EBSD via SSAS; and
- ✓ decide the course of actions, such as notifying the subject Vetting / Examination Team members involved in previous decision(s) if the irregularities do not necessitate a reversion of the previous approval / rejection decision or a change of the amount of vetted post-transition portion of SP/LSP.

10.11.4 The Examination TL should complete processing the case within 2 working days upon receipt of the Examiner's recommendation.

10.11.5 If the Examination TL does not agree to the Examiner's recommendation, the case should be returned to the responsible Examiner for re-examination and the latter should decide if further clarification with the applicant and relevant parties is required and report the latest findings with recommendation (i.e. to maintain his previous recommendation or otherwise) and answers to the Examination TL's queries for the latter's re-consideration. Likewise, if EBSD is not satisfied with the IR result, it may give further direction to the Examination Team on re-examining the case.

10.11.6 For applications which **a decrease in the vetted net amount of post-transition portion of SP/LSP after IR is detected, or the approved application should be refused**, a result notification letter will be generated by SSAS (letter template at **Appendix X**) for issuance to the applicant to inform him (i) the outstaning sum could be offset by the subsidy to be granted to the application(s) pending payment, if any, or (ii) to repay the overpaid subsidy if the outstaning sum could not be offset. For recovery of overpayment, please see Chapter 12 for procedures on the recovery procedures.

10.11.7 For applications which **wrongful refusal / an increase in the vetted net amount of post-transition portion of SP/LSP after IR is detected**, SSAS will

re-calculate the subsidy payable of the applications ceoncerned as well as the subsidy payable for the subsequent applications (see Example 8 of section 6.6) and prepare a payment file for forwarding to the Finance & Payment Team of EBSD for arranging payment (see Chapter 8). SSAS will generate a result notification letter / email (see Chapter 9) for issuance to the applicant upon payment instruction has been issued to the bank.

10.11.8 A letter (letter template at **Appendix X**) will be sent to the applicant to remind the applicant of the requirement of EO with a copy to the employee if the employer has provided the employee's contact means.

10.11.9 If suspected abuse / fraud applications are detected, PA should follow the handling procedures in Chapter 14.

10.11.10 If there is no change to the vetted net amount of post-transition portion of SP/LSP after IR, notification of the IR result to the applicant is not required.

10.11.11 In case the applicant disagrees to the IR result, he may file a review request once **within 4 weeks (TBC) from the date of IR result notification**. The applicant is also allowed to **raise appeal** once against the review result of IR within 4 weeks (TBC) after the issue date of notification on the review result. The appeal result is final. Review / appeal request of IR result should be processed as stated in sections 10.2 to 10.7.

Chapter 11 IA Checks

11.1 Overview

11.1.1 The objective of IA checks is to conduct an in-depth check on applications after all processing work (including review and appeal, if there is any) is completed to guard against abuse / fraud. Applicants may be required to submit further documents and information to substantiate their applications, if appropriate (see para. 11.4.3 below).

11.1.2 IA checks should be conducted by the Examination Teams as pledged in Schedule C[48] of the Tender documents, which are independent from the Vetting / Examination Teams which handled the fresh applications and any reviews / appeals. To achieve proper checks and balances, PA is required to adopt a two-tier system with proper segregation of duties in conducting IA checks: (i) re-examination of the information and documents collected during application processing; (ii) if necessary, collecting new documents and information from the applicants and/or other relevant government bureaux / departments, organisations or parties by an Examiner; and (iii) endorsing the Examiner's recommendations of IA checks (see section 11.6 below) by an Examination TL.

11.2 Coverage of IA checks

11.2.1 PA should conduct IA checks on **at least 1% of applications completed processing[49] in the previous month** and assign the selected applications to Examiners no later than the 7th calendar day of each month. Both approved and rejected applications are subject to IA check. SSAS will select on a monthly basis the completed applications for conducting IA checks according to the pre-defined rules (see section 11.3 below). EBSD may review and adjust the

48 IA check shall be conducted by an Examiner who is not responsible for processing the fresh, review, appeal, internal review of the subject application before (TBC).

49 Including fresh and review applications processed and where there is no review / appeal request received, the respective deadline for review / appeal has already expired, but excluding:
(1) applications submitted by PA or its associated companies; and
(2) all appeals (regardless of the employers),
which will be handled by EBSD.

percentage and selection rules for IA checks from time to time.

11.3 Selection of applications

11.3.1 SSAS will select completed applications for IA checks in accordance with the following criteria:

(a) Watch list:
- Employers involved in suspected fraud / abuse; and
- Dubious employers identified by intelligence received

(b) Cases warranting special attention:
- The refusal / withdrawal rate of the employer's previous applications is unusually high; and
- Exceptional applications (e.g. applications involving payment of SP/LSP in instalments).

(c) Other completed applications randomly selected by SSAS (to make up for 1% of completed applications if not yet filled up by applications selected under items (a) and (b) above).

11.4 Collection of documents and auditing the applications

11.4.1 Examiners and Examination TLs should declare non-conflict of interest in SSAS prior to conducting IA checks. Please see section 5.3 forhandling of officers with conflict of interest.

11.4.2 The Examiner to whom a selected application is assigned should, within 10 working days after first case assignment, complete examining the case by (a) or (b) as follows:

(a) if it is decided that no clarification or additional information / documents need to be obtained from the applicant, LD, other government bureaux / departments, relevant organisations and/or parties, complete assessment as

follows:

(1) where the application is in order (i.e. no irregularity detected), close the case; or

(2) where the application is detected with irregularities, submit recommendations and findings to the Examination TL;

(b) if it is decided that clarification or additional information / documents need to be sought, issue the necessary clarification request (letter template at **Appendix 11.X**).

11.4.3 For cases which require clarification, the Examiner should complete assessing the supplementary information, documents and/or advice within 5 working days after receipt of the supplementary information, documents and/or advice from the applicants and/or relevant parties by:

(a) assessing the adequacy of the supplementary information, and

(b) taking the appropriate actions as described in para. 11.4.2 (a) and (b) above.

11.4.4 The Examiner should re-examine the eligibility of applications for subsidy as follows by:

(a) checking the information and documents already collected by the VOs / Examiners to confirm that –

- the applicant is obliged to make mandatory contributions to an MPF scheme / employer-funded exempt ORS in respect of the employee in the application[50]; and
- the wages level and the length of service for calculation of the post-transition portion of SP/LSP are fully supported by the available documents.

(b) For approved applications, collecting documents (if it has not been done

50 SSA is only applicable to employers affected by the abolition of the offsetting arrangement, i.e. they must be obliged to make mandatory contributions to an MPF scheme or to make contributions to an employer-funded exempt ORS for the employees whom they have paid SP/LSP and sought subsidy for the payment.

before) to check if applicants have inflated the wage level for calculation of post-transition portion of SP/LSP –

- proof of MPF mandatory contributions with the amount of relevant income of the employee in the 12 months immediately preceding the termination;
- proof of employer-funded exempt ORS contributions for the employee in the 12 months immediately preceding the termination (if any);
- if the relevant income is lower than the wages adopted for calculation of the post-transition portion of SP/LSP as stated in the application, seek an explanation from the applicant; and
- other documents / information necessary to ascertain any issue(s) revealed in the IA check which cast(s) doubt on the eligibility of the applicant and/or the amount of the net post-transition portion of SP/LSP of the employee in the application.

11.4.5 If information / documents need to be obtained from the applicant as stated in para. 11.4.2 and 11.4.3 but the applicant provides incomplete or insufficient documents, the Examiner should follow up with the applicant according to the guidelines stated in para. 5.8.1 to 5.8.3. A written clarification request (letter template at **Appendix 11.X**) will be issued by PA to the applicant for collecting information / documents required.

11.4.6 If there is doubt on the authencity of the documents, the Examiner should seek advice from the Examination TL for checking with relevant party (e.g. MPF trustees) to unearth possible abuse / fraud cases or to verify the issue under concern.

11.4.7 After the required documents are collected and no further clarification is needed, the Examiner is required:

- ✓ to carefully examine the documents to ascertain whether the applicant is eligible for applications for subsidy as stated in para. 11.4.4;
- ✓ to cross-check the information collected for IA check with the information previously provided in the application; and
- ✓ to perform the same steps of vetting as stated in Chapter 5 to ascertain that the application is vetted according to guidelines and the application is approved / refused properly.

- ✓ to record all communication / follow-up actions and upload documents collected in paper form into SSAS.

11.4.8 If IA check reveals any changes to the vetted net amount of the post-transition portion of SP/LSP eligible for subsidy and/or suspected abuse / fraud, PA should take follow-up actions as stated in section 11.6 below.

11.5 Non-submission of requested documents

11.5.1 If the applicant is required to provide the requested information / document and no reply is received from the applicant after 7 working days from the date of request as stated in para. 11.4.5 for document(s) or clarification, the first reminder (letter template at **Appendix 11.X**) should be issued to the applicant.

11.5.2 A final reminder (letter template at **Appendix 11.X**) will be issued if no reply is received after 7 working days from the date of the first reminder (TBC) and the Examiner should call the applicant by phone to follow up within 2 working days after the issuance of final reminder and explain the consequences of failing to submit the requested information and/or documents (i.e. the applicant may be required to return the subsidy granted if he does not cooperate in the IA check). If the applicant cannot be reached by call, the Examiner should attempt to contact the applicant through other available communication means to serve the purpose.

11.5.3 If no reply is received after 9 days from the date of the final reminder (TBC), the Examiner should take follow-up action (e.g. conduct a search with the Business Register / Companies Registry) to verify the existence of the applicant / employer within 2 working days (TBC).

11.6 Result of IA check and follow-up actions

11.6.1 For applications which **no irregularities are detected in the IA checks**, the Examiners need not submit the result to the Examination TL for endorsement and could close the case at their end. SSAS will select randomly 5% of these

applications or at least 1 application per month (TBC), whichever is more, for spot check by an Examination TL who should complete the check within 10 working days (TBC) after assignment.

11.6.2 If the Examination TL does not agree to the Examiner's conclusion of no irregularity upon completion of the spot check, the case should be returned to the responsible Examiner for re-examination and the latter should report the latest findings with recommendations (i.e. to maintain his previous conclusion or otherwise) to the Examination TL within 5 working days (TBC) after the case is returned to the responsible Examiner for re-examination. Even if the Examiner maintains the "in order" conclusion, he is still required to submit the case to the Examination TL for endorsement with issues raised by the Examination TL answered.

11.6.3 To alert SSAS to identify possible offset early, the Examiner should consult the Examination TL for seeking EBSD's endorsement once **potential overpayment cases** as listed below are identified after examining review / appeal applications: In case of a decrease in the vetted net amount of post-transition portion SP/LSP (which is used to calculate the subsidy amount) or an applicant is found to be ineligible for subsidy (including the cases where the applicant fails to respond to requests for provision of information and/or documents for IA check after the issuance of final reminder as sted in para. 11.5.3) subsequent to IA check, the Examiner will be required to submit its recommendation to the SM&R Team of EBSD for endorsement via his Examination TL. (Please see para. 5.X.X for consultation on exceptional / complicated cases with EBSD.)

11.6.4 For applications which **irregularities are detected** (e.g. the vetted net post-transition portion of SP/LSP amount after IA checks is found to be different from the original net post-transition portion of SP/LSP amount vetted in the subject application), the Examiners should report the irregularities to the Examination TL. The Examiner should propose either one of the following recommendations to the Examination TL for consideration of appropriate actions –

- though irregularities are detected, no reversion of the approval or rejection decision or no change of the amount of vetted net post-transition portion of SP/LSP is required; or

- the approved application should be refused or the rejected application should be approved; or
- a decrease / increase in the vetted net amount of post-transition portion of SP/LSP is detected in the IA check.

11.6.5 Examiners should also report to the Examination TL cases where the applicants have failed to respond to requests for further information and/or documents and the follow-up actions as stated in para. 11.5.1 to 11.5.3 that have been taken.

11.6.6 The Examination TL is responsible for assessing the recommendation made by the Examiner as stated in para. 11.6.4 within 10 working days upon receipt of recommendation and is required to –

- ✓ review the documents collected to ascertain whether the applicant is eligible for applications for subsidy (please see para. 11.4.3);
- ✓ confirm that all necessary clarifications and required follow-up actions have been undertaken appropriately;
- ✓ confirm that follow-up actions (please see para. 11.5.1 to 11.5.3) have been taken for cases which the applicants have failed to respond to the Examiner's request for clarification or provision of documents;
- ✓ indicate whether he agrees to the recommendation of the Examiner or revert the case to the Examiner for follow-up if he does not agree to the recommendation; and
- ✓ decide the course of actions, such as notifying the subject Vetting / Examination Team members involved in previous decision(s) even if the irregularities do not necessitate a reversion of the previous approval / rejection decision or a change of the amount of vetted net post-transition portion of SP/LSP.

11.6.7 If the Examination TL does not agree with the Examiner's recommendation, the Examination TL should return the case within these 10 working days to the Examiner. The examiner should, within 5 working days after the application has been returned, follow up on the case by (a) or (b) as follows:

(a) if it is decided that clarification or additional information, documents and/or advice from the applicants, LD, other government bureau / departments, relevant organisations and/or parties need to be sought, issue the necessary clarification request(s); or

(b) if it is decided that no clarification is required, re-submit the case (whether to maintain the original recommendation or not) to the Examination TL with the issues raised by the Examination TL answered.

11.6.8 For applications where **there is a decrease in the vetted net amount of post-transition portion of SP/LSP after IA check, or the approval decision should be overturned**, or non-submission of required document as per the Examiner's recommendation according to para. 11.5.3, where the Examination TL agrees to the Examiner's recommendation and the information has been updated upon endorsement from EBSD has been sought, EBSD would be informed via SSAS for recovery of overpayment (see Chapter 12 for details on the recovery arrangement of overpayment).

11.6.9 In case the applicant disagrees to the result of IA check (e.g. the applicant is required to return the overpaid subsidy detected in IA check) and provides further information and/or documents to justify a review, the same Examiner conducting the IA check should follow the procedures as stated in Chapter 10 on review / appeal to the IR result.

11.6.10 For applications **with updated information recorded in SSAS** where **there is an increase in the vetted net amount of post-transition portion of SP/LSP after IA check**, **or for rejected applications which should be approved**, EBSD will be informed via SSAS for arranging further subsidy payment (please see Chapter 8 for details) and EBSD would be informed via SSAS. Prior to arranging further payment to the applicant, SSAS will check whether the applicant has any outstanding overpayment in respect of previous application(s) that should be offset with (please see Chapter 12 for details). A result notification letter will be issued by SSAS (letter template at **Appendix X**) and PA should send the letter to the applicant (for paper form applications) with the deadline for seeking review as stated in Chapter 10.

11.6.11 Same as in processing fresh applications, a letter (letter template at **Appendix 11.X**) will be sent to the applicant to remind the applicant of the requirement of EO with a copy to the employee if the employer has provided the employee's contact means.

11.6.12 If suspected abuse / fraud applications are detected, PA should follow the guidelines in Chapter 14 for the necessary handling. In case the abuse / fraud case is established after the actions taken by the law enforcement agency, recovery of overpayment should be arranged. PA will be informed by EBSD via SSAS for follow-up actions to recover the overpayment (please see Chapter 12 for details on the arrangement).

11.6.13 If an applicant is not satisfied with the IA check result, the applicant may request review for one time. If an applicant is still not satisfied with the review result, the applicant may request appeal of the review result for one time. The appeal result is final.

11.7 Reports on IA findings

11.7.1 The Examination Teams should compile monthly reports summarising the observations made during IA checks and recommending enhancement measures to improve processing of applications. The monthly report should be submitted to the Contract Management Team of EBSD within 10 working days after end of each mnth or within such period as specified by EBSD.

Chapter 13 Counter Services and Handling of Enquiries and Complaints

13.1 Channels for the public to lodge enquiries / complaints

13.1.1 PA should set up service counters in service centre(s), a hotline, a facsimile line, office email account(s) and case processin g officers' (such as VO, Examiner, etc.) email accounts as pledged in the Implementation Plan of Schedule X so that enquiries / complaints of the public can be lodged via these channels.

Counter services

13.1.2 The service counters should offer the following the following services:

- Receiving applications and supplementary documents from applicants;
- Providing assistance to applicants in making applications;
- Handling enquiries and complaints related to SSA; and
- Dissemination of materials to the public including application forms and publicity materials etc.

13.1.3 The service counters should operate during the opening hours of the service centre(s), i.e. **10:00 a.m. to 1:00 p.m. and 2:00 p.m. to 7:00 p.m. from Mondays to Fridays** (excluding public holidays) (hereafter referred to as "service hours"). LD may require PA to change the service hours if necessary.

13.1.4 The **waiting time for the public to be received by staff at the service counter(s) should not exceed 20 minutes**. PA should pay attention to the number of visitors and their respective waiting times to ensure the public can be attended to within 20 minutes.

13.1.5 PA should deploy sufficient number of Customer Services Officer ("CSO") to man the service counters. CSO should endeavour to handle verbal enquiries and complaints made during the service hours on the spot.

13.1.6 CSO receiving the public should have their name badges / plates displayed in English and Chinese and provide their full name and/or post title to the enquirer(s) / complainant(s) if so requested.

13.1.7 CSO should also provide appropriate assistance to ethnic minority enquirers/ complainants speaking a language other than English, Cantonese and Putonghua. Where interpretation service is required, PA may make use of the free telephone interpretation service provided by non-governmental organisations, such as the Centre for Harmony and Enhancement of Ethnic Minority Residents (CHEER)(https://www.hkcs.org/en/services/cheer).

13.1.8 Upon receipt of application forms or case-related documents, CSO should **immediately** time-stamp the documents received and pass them to PA Clerical Staff / VO / Examiner for data input, scanning and uploading documents into SSAS. For cases concerning PA and its associated companies, it should be passed to EBSD for further handling immediately upon receipt, and in any case **no later than the next working day** after the date of receipt. A register of all application forms and case-related documents received and assigned should be kept for record purpose.

Hotline

13.1.9 The service hours of the hotline should be the same as that of the service centre(s). PA should deploy sufficient number of CSO to man the hotline during the service hours and handle enquiries and complaints on the spot. For calls unanswered due to all lines engaged, the callers should be allowed to leave messages in the voice mail box(es), which should be replied **no later than the next working day**.

13.1.10 For calls received outside the service hours, PA should advise the callers through recorded messages to call again during the services hours or lodge their enquiries through the dedicated website or the email of SSA Subsidy Application Office, or to leave a message in the voice mail box(es). PA should handle the messages left in the voice mail box **no later than the next working day**.

Facsimile and email

13.1.11 PA's facsimile line(s) and email accounts should be in operation 24 hours a day and 7 days in a week for receiving written enquiries / complaints.

Other channels

13.1.12 PA should also handle enquiries / complaints received via other channels,

including those via the dedicated website and those referred by LD and other government bureaux / departments (e.g. the Chief Executive's Office, the Labour and Welfare Bureau) and other organisations (e.g. The Ombudsman, the Legislative Council). If PA receives media enquiries, PA should **immediately** notify EBSD and seek for advice where necessary.

13.1.13 For all written enquiries / complaints received by PA, PA clerical staff should perform data entry and create an enquiry / complaint record in SSAS (except for those concerning PA and its associated companies which should be passed to LD for handling). For details about the time frame and responsible officers, please see para. 13.2.5.

13.2 Handling of enquiries by PA

13.2.1 For telephone and counter enquiries, verbal replies on the spot should suffice. Where written replies are requested by the enquirers, the verbal enquiries should be handled as if they were written enquiries.

13.2.2 On **simple verbal enquiry**, the CSO who receives the enquirer should respond according to the information already cleared by EBSD.

13.2.3 For **complicated and case-related verbal enquiry**, the receiving CSO should first explain to the enquirer that the case would be handled by the responsible case officer, then create an enquiry record in SSAS to notify the responsible officer (i.e. VO / Examiner) according to the case status (e.g. fresh application, review, appeal, IA, IR), except for those cases in relation to PA and its associated companies, which should be passed to EBSD VO / Examiner for further handling. For the details of handling different kinds of enquiries, please see para. 13.2.5 below.

13.2.4 Some of the enquiries may contain suggestions such as on PA's delivery of services, depending on the nature and gravity of the suggestions, it may be handled by a simple reply (letter template at **Appendix X**). For suggestions warranting a more detailed reply, PA may consult EBSD in preparing the reply. PA should also report to EBSD any feedback / suggestions on matters falling

under Government's purview or having a significant impact on the processing of employers' applications.

13.2.5 The timeframe and responsible officers for handling respective verbal and written enquiries are set out below:

Type of enquiries		Time frame for handling	Responsible officers
Verbal[51]	General	<u>Face-to-face / telephone enquiries</u> • Verbal replies on the spot <u>Voice messages</u> • Verbal replies to telephone enquiries recorded in the voice mailbox within 1 working day after the receipt of enquiry • Properly recorded (with details of action taken) in SSAS	• PA CSO who receives the enquirer
	Case-related (for applications handled by PA[52])		• Simple enquiries – PA CSO • Complicated – PA CSO to (i) create an enquiry record in SSAS[53] immediately upon receipt; and (ii) pass to PA VO / Examiner for handling
	Case-related (for applications handled by EBSD[54])		• Simple enquiries – PA CSO • Complicated – PA CSO to (i) create an enquiry record in SSAS immediately

51 Verbal enquiries / complaints refer to those received by the PA Customer Service Team through counter or over the phone.

52 PA would process all SSA applications except those related to PA and its associated companies which would be handled by EBSD. While all appeals would be finally decided by EBSD, enquiries on appeals (except applications of PA and its associated companies) would be handled by PA.

53 For enquiries / complaints received by PA Customer Service Team.

54 EBSD would process SSA applications related to PA and its associated companies. EBSD would also conduct IA checks for all cases that have undergone appeals. Enquiries / complaints on these cases / IA checks would be handled by EBSD.

Type of enquiries		Time frame for handling	Responsible officers
		within 1 working day after handling	upon receipt; and (ii) pass to EBSD VO / Examiner for handling
Written[55]	General	• For enquiries to be handled by PA, data input and creation of an enquiry record in SSAS by PA clerical staff within the next working day after receipt date (TBC) [56] and case assignment to responsible officer within the same working day after completion of data input and record creation	• Data input and creation of enquiry record in SSAS – PA Clerical Staff • Draft reply – PA CSO • Approve reply – PA CSO TL
	Case-related (for applications handled by PA)		• Data input and creation of an enquiry record in SSAS – PA Clerical Staff • Reply – PA VO / Examiner

55 Written enquiries refer to those received through the dedicated website, email, post, facsimile, submission in person and referral from LD, other government bureaux / departments and other organisations.

56 For written enquiries / complaints submitted by post or in-person to EBSD / service centre(s) within the office hours, the submission date will be taken as the receipt date. For those submitted by post or in-person to EBSD / service centre(s) after the office hours, the next working day of the submission will be taken as the receipt date. For written enquiries / complaints submitted by email or facsimile to EBSD / service centre(s) or via the dedicated website, the print date shown on the facsimile or the email receipt date shown in the email or the submission date recorded by the dedicated website will be taken as the receipt date. If it is not a working day, the next working day will be taken as the receipt date.

Type of enquiries		Time frame for handling	Responsible officers
	Case-related (for applications handled by EBSD)	• For enquiries to be handled by EBSD, pass the enquiries to EBSD within 1 working day after the receipt date • Written replies to enquirers within 10 calendar days from the date of receipt (the date of receipt should be inclusive in the counting of reply timeframe)[Note 1] [The receipt date should refer to the date on which the enquiries are received in the first instance, no matter whether they are received by PA or any unit within the Government.]	• Data input and creation of an enquiry record in SSAS – EBSD Clerical Staff • Reply – EBSD VO / Examiner

Note 1: For example, if PA received an enquiry referred by LD (which is received by LD on 5 May 2025) on 6 May 2025, the reply should be sent out to the enquirer on or before 14 May 2025 (i.e. the date of receipt by LD is included in the counting of 10 calendar days).

13.2.6 For complicated enquiries requiring advice from the respective TL or EBSD and expected to have a longer processing time, the staff handling the enquiries should seek approval from TL / EBSD in advance[57] and upon approval, issue an interim reply with reasons for extra processing time and/or with case progress included (letter template at **Appendix X**) to the enquirers **within the said 10 calendar days**. PA should strive to issue a substantive reply to the enquirers as soon as possible **and no later than 30 calendar days from the date of receipt**.

13.3 Handling of complaints by PA

13.3.1 Complaints refer to expressions of dissatisfaction by the public. It may touch on areas such as application processing, results of applications[58] and other services delivered by PA such as handling of enquiries and attitude of PA staff.

13.3.2 For verbal complaints, staff of PA should try to resolve them on the spot. Generally, verbal replies for verbal complaints would suffice. Where written replies are requested by the complainants, the verbal complaints should be handled as if they were written complaints.

13.3.3 On **general verbal complaint**, the CSO who receives the complainant, either in the counter or over the phone, should handle it on the spot and in consultation with PA CSO TL as necessary. The same practice should apply to the handling of **simple case-related verbal complaint** received through service counter or hotline.

57 For these complicated enquires requiring advice from EBSD, PA has to submit the draft reply to EBSD within 15 calendar days from the receipt date.

58 Dissatisfaction / disagreement with application result should be handled through reviews / appeals (see Chapter 10). While appeal results are final, some applicants may still lodge complaints and request for re-examination after knowing the appeal results.

13.3.4 For **complicated case-related verbal complaint**, the receiving CSO should first explain to the complainant the need to pass the case to the responsible case officer for further handling, then create a complaint record in SSAS to notify the responsible officer (i.e. VO / Examiner) according to the case status (e.g. fresh, review, appeal, IA, IR), except for those cases related to PA and its associated companies, which should be passed to EBSD VO / Examiner. All written replies to complainants are required to be approved by EBSD before issue. For details of handling different kinds of complaints, please see para. 13.3.5.

13.3.5 The time frame and responsible officer(s) for dealing with various kinds of verbal / written complaints are set out below:

<table>
<tr><th colspan="2">Type of complaint</th><th>Time frame of handling</th><th>Responsible officers</th></tr>
<tr><td rowspan="2">Verbal</td><td>General</td><td rowspan="2"><u>Face-to-face and telephone complaints</u>
• Verbal replies on the spot

<u>Voice messages</u>
• Verbal replies to telephone complaint recorded in the voice mailbox within 1 working day after the receipt of complaint
• Properly recorded (with details of</td><td>• PA CSO who receives the complainant to (i) create a complaint record in SSAS; and (ii) record the details of handling in SSAS (in consultation with PA CSO TL as necessary)</td></tr>
<tr><td>Case-related (for applications handled by PA)</td><td>• PA CSO to (i) create a complaint record in SSAS immediately upon receipt; and (ii) pass to the subject PA VO / Examiner</td></tr>
</table>

Type of complaint		Time frame of handling	Responsible officers
		action taken) in SSAS within the next working day after handling	• PA VO / Examiner to handle (in consultation with PA Vetting / Examination TL as necessary)
	Case-related (for applications handled by LD)		• PA CSO to (i) create a complaint record in SSAS immediately upon receipt; and (ii) pass to EBSD's subject VO / Examiner • EBSD VO / Examiner to handle (in consultation with EBSD Vetting / Examination TL as necessary)
Written[5]	General	• For written complaints to be handled by PA, data input and creation of a complaint record in SSAS by PA Clerical Staff within 1 working day after receipt date (TBC) • For written	• Data input and creation of a complaint record in SSAS – PA Clerical Staff • Draft reply – PA CSO • Endorse reply – PA CSO TL • Approve reply – LD Examination TL

Type of complaint		Time frame of handling	Responsible officers
	Case-related (for applications handled by PA[2])	complaints to be handled by EBSD, pass the written complaints to EBSD within 1 working day after receipt date • For draft written replies requiring EBSD's approval, submit the draft replies to EBSD within 8 calendar days from the receipt date[59] • Written replies to complainants within 10 calendar days from the date of receipt (the date of receipt should be included in the counting of reply timeframe)[Note 1] (i.e. the receipt date should refer to the date on which the complaints are received in the first instance, no matter	• Data input and creation of a complaint record in SSAS – PA Clerical Staff • Draft reply – PA VO / Examiner • Endorse reply – PA Vetting / Examination TL • Approve reply – LD Examination TL
	Case-related (for applications handled by LD)		• Data input and creation of a complaint record in SSAS – EBSD clerical staff • Draft reply - EBSD VO / Examiner • Approve reply – EBSD Vetting / Examination TL

59 For complaints with interim reply issued, PA can submit the draft reply to EBSD within 15 calendar days from the receipt date.

Type of complaint		Time frame of handling	Responsible officers
		whether they are received by PA or any unit within the Government.)	

13.3.6 For **complicated complaints** requiring longer processing time (say involving in-depth investigation), the staff handling the complaints should follow the same practice of handling complicated enquiries (i.e. issuing an interim reply within 10 calendar days from date of receipt of complaint and a substantive reply within 30 calendar days) as set out at para. 13.2.5 above.

13.3.7 If a complainant remains dissatisfied upon PA's reply and further pursues the complaint, PA should seek advice from EBSD on the further handling of the complaint.

13.3.8 For **complaints involving allegations against PA's staff,** the staff under complaint should not contact the complainant. The complaint should be handled by his supervisor.

13.3.9 For **anonymous complaints**, depending on the nature and gravity of the allegations made, PA should consider if an investigation could be conducted based on the available information. **Where criminal allegations are made or implied**, PA should handle the case in accordance with Chapter 14.

13.3.10 For **sensitive complaints** which are likely to **attract media attention or cause public concern** about the processing of SSA, PA should alert EBSD as soon as possible after receipt of the complaints. PA should keep EBSD posted of the progress and outcome of investigation. For other complaints, PA should notify EBSD of the complaints received and handled by PA through a regular

return (return template at **Appendix X**).

13.3.11 **PA should handle complaints promptly and prudently** by ensuring that complaints are acknowledged and replied within the specified timelines, putting in place proper segregation of duty in handling complaints, monitoring closely the progress of handling, properly recording essential information, keeping documents properly and submitting returns / investigation report to EBSD timely, etc.

13.3.12 PA should cooperate with LD in the investigation of any complaints, including but not limited to, providing LD and/or its authorised person(s) with access to all persons involved. PA should provide an investigation report setting out, including but not limited to, the cause and sequence of events of the complaint, the follow-up and remedial actions taken/to be taken, and the measures to avoid recurrence of the complaint, within 7 days upon LD's request or within such period as specified by LD. PA should produce information and documents in relation to a complaint to LD and/or its authorised person(s) 7 days upon LD's request or within such period as specified by LD.

13.4 Points to note on handling enquiries / complaints

Manners in handling enquiries / complaints

13.4.1 PA should reply in either Chinese (e.g. Cantonese / Putonghua and Traditional / Simplified Chinese) or English, depending on the language used by the enquirer / complainant concerned.

13.4.2 PA should reply through the channel which the enquiry / complaint was received, unless another channel for reply is specified by the enquirer / complainant.

13.4.3 When issuing substantive replies to written enquiries / complaints, PA should copy the replies to EBSD and the concerned parties which made the referrals (if applicable). PA should also keep statistics on the number and types of enquiries / complaints received (see section 15.6 for details on statistical returns to be provided by PA) as well as copies of all correspondences on

written enquiries / complaints (see section 17.3 for details on records management).

13.4.4 If an enquirer / a complainant uses foul or abusive language, or is aggressive or threatening to PA's staff during telephone call / interview, staff of PA should politely advise the enquirer / complainant that, if this behaviour continues, the call or interview will be terminated. If the call or interview is terminated, proper documentation should be made after the incident.

Enquiries / complaints involving matters outside SSA

13.4.5 In case PA receives enquiries / complaints involving matters outside SSA:

- For written enquiries / complaints touching **partly on SSA** and partly on other matters such as employment related ordinances / other labour issues, PA should notify EBSD of the enquiries / complaints **as soon as possible and in any case no later than the next working day** after the date of receipt. EBSD will advise PA on the handling.
- If the written enquiries / complaints are **totally outside the scope of SSA**, they should be referred to EBSD **as soon as possible and in any case no later than the next working day** after the date of receipt.
- For verbal enquiries **outside the scope of SSA but within LD's purview**, PA should explain to the public that PA is dedicated to handle matters related to SSA applications, hence the public may call LD's telephone hotline 27171771[60], send email to enquiry@labour.gov.hk or send facsimile to 2544 3271 for advice.

13.4.6 For **enquiries on policies about SSA or complaints against staff of EBSD**, they would be handled by EBSD. PA should refer the enquiries / complaints to EBSD **immediately**, and, in any case no later than the next working day after receipt date for further handling.

13.5 Cooperation with 1823

13.5.1 1823 [61] handles enquiries, compliments and suggestions for government

60 Shortcut for connection to operators: 1→2→0(廣東話); 2→2→0(普通話); 3→2→0 (English)

61 The website of 1823 is https:/www.1823.gov.hk/en.

departments. LD's telephone hotline 2717 1771, which is handled by 1823, is dedicated for handling general enquiries on labour legislation and services of LD. That said, all written and more complicated verbal enquiries, complaints, and suggestions received by 1823 are referred to the relevant bureau / department in a standard format (i.e. a covering email and a zipped folder of files containing the case details) for handling.

13.5.2 All enquiries and suggestions relating to SSA lodged via 1823 are assigned to PA for direct handling, while complaints will first be referred to EBSD for scrutiny. EBSD would refer the complaints to PA for handling as appropriate.

13.5.3 PA should acknowledge receipt of all referrals from 1823 **as soon as possible and in any case no later than the next working day** after the date of referral from 1823. The other timelines should follow those mentioned in the preceding paragraphs of this Chapter. PA should keep 1823 posted of the actions taken at different stages, e.g. the dates of issuing interim reply and substantive reply.

13.5.4 When PA issues written replies to the public direct, caution should be exercised not to attach any internal correspondence between 1823 and EBSD / PA, but the email subject from 1823 can be quoted in the written replies.

13.5.5 For referrals from 1823 without the contact means of the public provided, PA can send the written reply to 1823 for onward transmission to the public.

Chapter 14 Handling of Suspected Abuse / Fraud Cases

14.1 Overview

14.1.1 During processing of applications, PA may come across suspected abuse / fraud cases. The concerned employees, members of the public or anonymous persons may also report suspected abuse / fraud cases to PA or LD. To safeguard public funds, PA should handle such cases by following the procedures below.

14.1.2 If the applicant willfully or knowingly makes a false statement, misrepresentation or concealment of any information in order to obtain government subsidies by deception, the applicant, in addition to being disqualified for claim of government subsidies, may subject himself to prosecution.

14.1.3 Below are some examples of abuse / fraud cases if no reasonable justification could be provided by the applicant:

- Fraudulent alterations or forgery of supporting documents (e.g. payment proof of SP/LSP, employment proof, termination proof, enrolment proof of MPF / employer-funded exempt ORS, etc.)
- Provision of false information or deliberate omission of information concerning the SP/LSP eligibility of the employee (e.g. length of employment of the employee being less than 2 years for SP / 5 years for LSP, the employee not employed under continuous contract, the employee being a family member who lives in the same dwelling with the employer, etc.)
- Fraudulent or inflation of claims (e.g. the amount of wages for calculating SP/LSP as provided in the application form being greater than that supported by relevant proof, the claimed length of service being longer than that supported by relevant proof, etc.)

14.2 Procedures

14.2.1 If there is a suspected abuse / fraud case, the VO / Examiner should report the case to TL immediately and carry out investigation promptly as directed by TL. This includes re-examining the relevant information of the application, seeking explanation or collecting further information / documents from the applicant,

employee (where applicable), informer (where applicable) and other relevant parties, etc. Upon completion of investigation, the VO / Examiner should seek endorsement from TL on the findings. PA should keep a central register of the suspected abuses / fraud cases reported by VOs / Examiners. PA should send the register to EBSD upon each update to keep EBSD posted. If the findings reveal a suspected criminal case, PA should provide EBSD with the case details for EBSD's consideration. If the suspected case is perceived to be of gravity, PA shall alert EBSD at an early stage.

14.2.2 Upon receipt of the case details from PA, if EBSD considers that further information is required, PA should assist in seeking information / documents from relevant parties as directed.

14.2.3 If EBSD eventually refers the case to the law enforcement agencies, PA would be informed.

14.2.4 Upon EBSD's referral to the law enforcement agencies, PA is required to render assistance to their investigation wherever required[62]. These may include giving written statement(s) on the case, acting as a prosecution witness in the criminal proceedings, etc. PA should inform EBSD of any such requests made to staff of PA.

14.2.5 If the suspected abuse / fraud case is established, recovery of subsidies granted (if any) should be arranged (please see para. xxxx for the procedures).

14.3 Other points to note

14.3.1 Complete and organised records of the suspected abuses / fraud cases should be kept.

14.3.2 PA should be mindful of not disclosing to the applicant and the employee (if the employee is not the informer) that an investigation is being conducted and whether the case has been referred to law enforcement agencies.

62 It should be noted that in certain circumstances, failure to disclose information which might be of material assistance in securing the prosecution or conviction of an offender is itself a criminal offence under the Criminal Procedure Ordinance (Cap. 221).

14.3.3 When a new application is received, SSAS will check automatically whether the applicant has been involved in any suspected abuse / fraud case. If so, SSAS will alert the subject VO who should handle the new application with extra care and report the case to his TL for advice if any further suspected abuse / fraud is detected.

Chapter 15 Monitoring Performance of PA

(Internal note from SM&RT: Tender & Contract Management Team's comment is pending)

15.1 Overview

15.1.1 In accordance with the procurement regulations of the Government and the terms of the Service Contract, EBSD would monitor the performance of PA regularly to ensure the services delivered by PA comply with the terms and conditions of the Service Contract and the guidelines / manuals / instructions / directions issued by EBSD.

15.1.2 EBSD will monitor the performance of PA through:

(i) Compliance checks (see section 15.2 below)

(ii) On-site inspections and interviews with staff of PA and/ or its sub-contractor(s)/ agent(s) (see section 15.3 below)

(iii) Management meetings (see section 15.4 below)

(iv) Performance standard assessment (see section 15.5 below)

(v) Complaint investigation and handling of incidents (see section 15.6 below)

(vi) Reports / returns submitted by PA (see section 15.7 below)

15.1.3 In the event that PA fails to (a) comply with the requirements as laid down in the Service Contract and/or guidelines / manuals / instructions issued by EBSD; (b) carry out the services as pledged in the Technical Schedule; or (c) meet any of the pre-set performance standards; EBSD may at its own discretion require PA to:

- provide explanations on the non-compliance and/or unsatisfactory performance to EBSD within the prescribed time frame; and
- rectify the non-compliance and/or unsatisfactory performance to the satisfaction of the Government Representative.

15.1.4 Depending on the circumstances and subject to the explanations provided by PA, EBSD may, where appropriate:

(i) issue reminders, warning letters and/or default notices to PA (TBC);

(ii) deduct the set-up fee and/or the monthly service fees (TBC);

(iii) deduct / withhold the retention money (i.e. 5% of the total monthly service fees accrued over the preceding 12-month period in an

Implementation Year and if the Implementation Year is shorter than 12 months, such shorter period) (TBC);

(iv) claim against PA for the liquidated damages (TBC); or

(v) terminate the Service Contract with PA (TBC).

15.1.5 The non-compliance and/or unsatisfactory performance may be taken into account when evaluating PA's performance in future tenders.

15.1.6 Apart from the ensuing paragraphs, details of the monitoring measures taken by EBSD are set out in the Information Notes separately provided to PA (TBC).

15.2 Compliance Checks

15.2.1 Each month, EBSD will conduct **compliance checks on at least 1% of all types of completed applications** including fresh, review and appeal applications (whether approved or not) as well as applications with IA checks completed in the previous month. The applications to be selected by SSAS will comprise:

(A) 25%: fresh applications

- Approved applications
- Rejected applications
- Applications deemed withdrawn

(B) 25%: review / appeal applications

(C) 25%: applications with IA checks completed

- With overpayment detected
- With underpayment detected
- Exceptional applications (e.g. applications involving payment instalments)
- If quota still remains, randomly selected cases with no irregularities found to fill up the quota

(D) 25%: Random selection

15.2.2 Upon EBSD's request, PA should provide full information about the selected applications (including but not limited to case information, case progress reports and other relevant documents and records) within 7 working days upon the request of EBSD or within such period as specified by EBSD.

15.2.3 PA should arrange the staff responsible for handling the selected applications for interviews upon EBSD's request.

15.2.4 EBSD will base on the available documents and information in SSAS and in the corresponding physical case files (if there are any) to conduct the compliance check to determine whether the applications selected are in order, i.e. the applications are processed in accordance with all the requirements under the Service Contract and/or guidelines / manuals / instructions issued by EBSD. Clarifications with PA may be made during EBSD conducts the compliance check. On completion of the compliance checks, PA will be notified of the irregularities detected.

15.2.5 Upon receipt of the notification of irregularities detected from EBSD, PA should provide explanation in writing to EBSD and take any remedial action(s) as appropriate within 14 days from the issue date of notification (TBC). PA should provide justifications and documentary proof, if any, along with the written explanation.

15.2.6 Depending on the operational experience and the results of the compliance checks, EBSD may adjust the percentage of applications to be selected for compliance checks.

15.3 On-site inspections

15.3.1 EBSD will conduct **on-site inspections** regularly to ensure the delivery of services is in accordance with the requirements of the Service Contract and/or guidelines / manuals / instructions issued by EBSD. There may be surprise inspections.

15.3.2 During the inspection, officers of EBSD will inspect without limitation:

(i) the environment and facilities of the service centre(s);
(ii) the data / records of selected applications, complaints and enquiries;
(iii) the register of files and physical files of applications; and
(iv) other records (such as case assignment records, the waiting time record, the attendance / workforce records of the staff responsible for delivering the services, measures adopted to protect the personal data obtained during the application processing and records of training provided to the staff, etc.).

15.3.3 To have a better understanding of the daily operation of PA, officers of EBSD may interview operational staff of PA during the inspection.

15.3.4 On completion of the inspection, PA will be notified of the irregularities detected. Upon receipt of the notification of irregularities detected from EBSD, PA should provide explanation in writing to EBSD and take any remedial action(s) as appropriate within 14 days from the issue date of notification (TBC). PA should provide justifications and documentary proof, if any, along with the written explanation.

15.4 Management meetings

15.4.1 EBSD will have regular management meetings with PA to review its performance and the implementation of the SSA in respect of employer applications. The frequency of the management meetings throughout the Contract Period will be:

Period	Frequency
TBC	TBC
TBC	TBC

15.4.2 If necessary, additional management meetings will be arranged in consultation with PA.

15.4.3 The management meetings should be attended by all the Key Personnel (TBC).

15.4.4 PA should provide update and share experience on the application processing and provision of other services in particular at the initial stage of

implementation with a view to identifying enhancement measures as appropriate. PA is required to prepare the minutes of the meetings.

15.5 Performance standard assessment

15.5.1 EBSD will conduct assessments on the following two performance standards **every 6 months starting from the Implementation Date**:

(i) at least 90% of the completed applications / cases are handled in accordance with the time frame as stipulated in Clause 7.1 of the Service Specifications, with documentary proof to be provided by PA as necessary; and

(ii) at least 80% of the applications / cases selected for compliance checks by EBSD are found to be in order.

15.5.2 In case of PA **failing** to meet any of the above performance standards, PA should **submit a letter of explanation within 14 calendar days (TBC)** upon request of EBSD or any time as specified by EBSD. Under no circumstances will late submission of explanation by PA be entertained. EBSD will inform PA of the result upon conclusion of the review, and the decision of EBSD should be final.

15.5.3 When deciding the eligibility of PA for the retention money for the Implementation Period specified in Clause 7.1 of the Service Specifications, EBSD will, among others, take into account the explanations provided under para. 15.5.2.

15.6 Complaint investigation and handling of incidents

15.6.1 PA should handle complaints and incidents in the manner as stipulated in Clauses 4.12 and 10.1 of the Service Specifications.

15.6.2 PA should provide an investigation report setting out, including but not limited to, the cause and sequence of events of the complaint/incidents, the follow-up and remedial actions taken / to be taken, and the measures to avoid recurrence of the complaint or to improve handling of similar incidents, within 7 calendar days upon request of EBSD or within such period as specified by EBSD. PA

should produce information and documents in relation to a complaint / incident to EBSD and/or the persons authorised by the Government within 7 calendar days upon request by EBSD or any time as specified by the Government.

15.6.3 Subject to the investigation results, further comments may be given by EBSD. In cases of serious non-compliance / irregularities, a written reminder may be issued to PA to remind it of the required service standards and, in appropriate cases, the remedial actions to be taken.

15.7 Reports / returns submitted by PA

Submission of reports / returns to EBSD

15.7.1 The following returns should be submitted to EBSD:

- Weekly reports
  - A summary of the complaint cases and progress as well as overpayment of subsidy detected should be submitted to EBSD **within 2 working days after end of each week** or within a period as specified by EBSD.

- Monthly reports
  - A "Monthly Report for the Services Provided" in Clause 6.7 of the Special Conditions of Contract **within 5 working days after the end of each month** or within a period as specified by EBSD.
  - A monthly return for the services provided should be submitted **within 2 working days after end of each month** or within a period as specified by EBSD. The monthly return should include all enquiries, fresh applications, review / appeal applications, IR cases, review / appeal of IR and IA check result completed in the previous month.
  - A report on the results, together with recommendations for improvement as appropriate, of completed IA checks should be submitted **within 10 working days after end of each month** or within a period as specified by EBSD.
  - A maintenance and support report of all the IT and OA equipment should be submitted **within 10 working days after end of each month** or within such period as specified by EBSD.

- Quarterly reports
  - A quarterly manpower report covering the number, mode of employment and positions of the manpower engaged should be submitted **within 5 working days after end of each quarter** or within such period as specified by EBSD.

- Annual performance reports
  - A performance report covering a 12-month period of the Implementation Period, or a period as specified by EBSD, should be submitted **within 1 month after the end of each 12-months period** (or a period determined by EBSD). The report on the service performance should cover the information including the status and statistics of various aspects of the Service Contract and the execution of the Accommodation and Facilities Plan, Human Resources and Manpower Management Plan, Quality Assurance Plan, Risk Management and Contingency Plan, Transition Plan and the Innovative Suggestions as pledged in the Technical Schedule. PA should provide documentary evidence to support the reports if requested by EBSD. **EBSD's approval of the performance reports is one of the conditions to be fulfilled before PA is eligible for the retention money (TBC).**

15.7.2 Subject to the operational experience, EBSD may make revisions and/or include other reports and statistics to the above lists as and if necessary.

Other documents to be submitted by PA

15.7.3 PA should report to EBSD on the views and feedback collected and propose refinements to the processing of employer applications **within 1 month** upon completion of the **public engagement activities**.

15.7.4 Upon completion of the security risk assessment and audit (SRAA) exercise by an independent third party to be conducted at least every 12 months during the Implementation Period, PA should submit the relevant **SRAA report** to EBSD within 10 working days (TBC) upon request by EBSD or within a period as specified by EBSD.

15.7.5 PA should inform EBSD in writing if there is a **change of the Key Personnel** as stipulated in Clause 5.5 of the Specification Specifications. PA should also

provide the details of the replacement / relief staff **within 14 calendar days** from the date of the change. PA should inform EBSD in writing any prolonged absence for more than 14 calendar days, removal, departure, incapacity or death of any Key Personnel within 7 calendar days upon occurrence of such incident as stipulated in Clause 5.6 of the Specification Specifications. PA should deploy a replacement within 14 calendar days or any other date as specified by EBSD upon occurrence of such incident.

15.7.6 If PA intends to **engage sub-contractor(s)** (including the Related Party) to implement part of the Services subject to the conditions stipulated in Clause 4.14 of the Service Specifications. PA should seek EBSD's **prior approval** by submitting a written request providing detailed information of the proposed sub-contractor(s) and the services to be sub-contracted, together with a certified copy of the sub-contract or the execution of a sub-contractor's undertaking by the proposed sub-contractor to EBSD.

15.7.7 PA should within 2 weeks after the commencement of the Service Contract (TBC) draw up and submit a staff code of conduct to EBSD, including among others probity issues, a statement explicitly prohibiting its sub-contractor (if any), or any person employed by it to provide the services from soliciting or accepting any form of advantages in discharging his/ her duties under the Contract.

15.7.8 PA should submit to EBSD **within 14 calendar days** before the Commencement Date of the Service **one copy of each of the public liability and employees' compensation insurance policies** together with the receipt for payment of the current premium, and provide **copies of the premium receipts of the renewed insurance policies** (including public liability and employees' compensation insurance policies) **within 30 calendar days** after the policies are renewed or the due date for payment of premium, whichever is earlier.

15.7.9 PA should have a feasible contingency plan to specify strategies for the continuation of services and ensure that it can be activated at all times should PA encounter difficulties in providing any of the services or in meeting sudden upsurge of service demands and manpower resources. EBSD shall be informed

as soon as possible when the contingency plan is activated and the alternative mode of service is delivered.

15.7.10 The lists of returns, reports and documents mentioned in this chapter are not exhaustive. PA should refer to the relevant clauses / information in the Service Contract and guidelines / manuals / instructions issued by EBSD.

15.8 Arrangement during the transitional period

15.8.1 If there will be a case that upon expiry / termination of the Service Contract and subsequent agreement is entered into with another contractor, PA should take all reasonable steps and cooperate fully with EBSD, the succeeding contractor and other entities deemed appropriate by EBSD to ensure smooth transfer of the services. PA should also follow the transition plan as pledged in its Transition Plan in Technical Schedule accepted by the Government to ensure smooth handover of the services to the succeeding contractor without disruption to the delivery of the existing services. PA should hand over the updated details of the services to the succeeding contractor:

(i) at least **2 months** before expiry or termination of the Contract Period, arrange for the succeeding contractor:
- experience sharing / training on the operation of SSAS; and
- experience sharing / training on the daily operation.

(ii) at least **1 month** before expiry or termination of the Contract Period:
- notify applicants about the change of the address(es) of the service centre(s) upon request of the Government;
- take out necessary procedures for transferring the existing email domain and essential functional email accounts (e.g. general enquiry account) to the succeeding contractor;
- take out necessary procedures for transferring the existing telephone number(s), including hotline number(s) and all the existing telephone number(s) made known to the applicants / public, and facsimile line(s) to the succeeding contractor (if possible); and
- hand over outstanding public engagement activities.

(iii) at least **2 weeks** before expiry or termination of the Contract Period:

- processing of outstanding applications including fresh, review, appeal, IR cases, review / appeal applications of IA check / IR result;
- processing of outstanding cases including QA checks, IA checks, arrangement of payment and recovery of overpaid subsidy, etc.;
- handling of outstanding enquiries and complaints; and
- transfer of all records and physical files which should be created under the Service Contract. The physical files should be arranged in proper order and according to advice given by EBSD and should be easily retrievable. PA shall certify to EBSD that no hard copies or soft copies or duplicates of any of the records and physical files have been retained after expiry or termination of the Contract Period.

Chapter 17 Other Issues

17.1 Usage of the name and logo of SSA (TBC)

17.1.1 During the contract period, PA may display the name and logo of SSA (TBC) at its service centre(s), correspondences with the public, publicity materials or matters relating to the implementation of SSA. PA must not use the name or logo of SSA (TBC) for other purposes without the permission of EBSD.

17.2 Handling of personal data

17.2.1 Personal data refers to that defined in section 2(1) of the Personal Data (Privacy) Ordinance[63] (Cap. 486) ("the Ordinance"). Personal data include but not limited to the name, HKID and passport number of applicants / employees, addresses, telephone numbers, employment and termination details of employees, etc. PA should ensure its employees (and its sub-contractor's, if any) comply with the requirements of the Ordinance and Clause X of the Special Conditions of Contract (at **Appendix 17.X**) in handling of personal data.

Points to note

17.2.2 For physical records which contain personal data, they should be stored properly in locked cabinet accessible only to authorised staff.

17.2.3 PA should not display any electronic or physical records containing personal data in areas accessible to the public.

17.2.4 When contacting an applicant by phone for seeking further information, clarification or replying to application-related enquiries, the identity of the applicant should be confirmed before any personal data are disclosed.

17.2.5 To guard against loss or leakage or unauthorised disclosure of personal data, PA shall not take away from the service centre(s) and back-end office(s), or

63 According to section 2(1) of the Ordinance, **personal data** means any data —
(a) relating directly or indirectly to a living individual;
(b) from which it is practicable for the identity of the individual to be directly or indirectly ascertained; and
(c) in a form in which access to or processing of the data is practicable.

transfer any personal data of applicants / employees to other locations by any means such as USB storage device or in hard copies unless with the prior permission of EBSD.

17.2.6 **PA shall notify EBSD as soon as possible after it becomes aware of any loss or leakage of personal data.**

17.3 Physical records management

17.3.1 If information and documents are received in physical form, PA shall file them in physical files, and input/ scan them into SSAS.

17.3.2 The physical files should be arranged in proper order and should be easily retrievable. All physical files should be kept under lock and key to guard against unauthorised access, use, disclosure, removal, deterioration, loss or destruction. Where considered suitable, PA may define access rights to different types of the records according to the duties of the staff concerned.

17.3.3 PA should maintain physical file register(s) and update the register(s) from time to time to cater for any change to the physical files. PA should assist LD in record disposal and the Key Personnel shall oversee the implementation of the records management for the implementation of SSA.

17.3.4 PA should keep all the enquiries / complaints which are received in physical form (including by facsimile, post and in-person). The enquiries / complaints (received in physical form) should be collectively filed in the physical file for enquiries or complaints, as the case may be.

17.3.5 PA cannot dispose of any electronic or physical records without the prior written approval from EBSD. The physical records kept by PA may be transferred to EBSD upon the latter's instruction.

17.3.6 PA should –

- ✓ create physical files according to the file classification as specified by EBSD; and
- ✓ maintain an updated register of physical files created for inspection by

EBSD.

17.4 Code on Access to Information

17.4.1 The Government's Code on Access to Information ("the Code")[64] defines the scope of information that will be provided, sets out how the information will be made available, and lays down procedures governing its prompt release to the public.

17.4.2 The Code allows provision of information **on request** unless there are specific reasons for not doing so.

17.4.3 Requests for information may be made orally or in writing. For the Application Form for making a request under the Code or other information on the Code, please see https://www.labour.gov.hk/eng/code/content.htm.

17.4.4 For the below-mentioned **simple oral or written requests raised by an applicant,** they can be dealt with promptly at PA's end **upon verification of the identity of the applicant**:

- ✓ request for a copy of the application form or supporting documents which the applicant has submitted before;
- ✓ progress or result of the applicant's application(s); or
- ✓ request for a copy of notification letter / e-mail issued to the applicant before.

17.4.5 **For oral or written requests other than those mentioned in para. 17.4.4 above** (e.g. from members of the public, mass media, research institutions for policy matters relating to SSA, statistics of SSA, case processing guidelines, etc.), PA should refer the request to EBSD for follow-up **no later than the next working day** upon receipt of the request.

17.5 Managing and utilising information technology ("IT") system

64 The Code can be accessed at http://www.access.gov.hk.

17.5.1 PA shall comply with the terms and conditions of the service contract and the regulations, policies, guidelines, manuals and instructions related to IT promulgated by the Government when managing and utilising the IT and office automation ("OA") equipment to support the business operations of SSA.

17.5.2 SSAS should only be used in the designated location(s) with prior approval of the Government. PA should be responsible for the daily operation of SSAS, and handling of enquiries, complaints and requests of the applicants and the public in relation to the use of the TransitionEase Portal for employer application submission, uploading supporting documents, etc. In addition, PA should assume the role of SSAS administrator for tasks upon LD's instructions, such as handling PA's user accounts maintenance, training, inventory management, documentation review and update and other housekeeping of the IT and OA equipment, etc.

17.5.3 Upon LD's requests, the PA should provide assistance to LD outside the normal office hours as deemed necessary or in case of emergency, such as assisting in the recovery of the IT System.

17.5.4 PA should cooperate and assist the Government in conducting periodic drills of SSAS, such as disaster recovery drill, and security incident handling drill.

17.5.5 PA should arrange Key Personnel and Operations Staff (including manpower to be provided by its sub-contractor(s), if any) to assist LD in conducting user acceptance tests for SSAS and function enhancements during the Implementation Period.

17.5.6 PA should be responsible for the procurement and maintenance of and support for all equipment used in the service centre(s) and back office(s), including but not limited to servers, workstations, network equipment, printers, scanners, information technology and office automation equipment, telephones, utilities and other office equipment that PA has provided in relation to the delivery of the services. In addition, PA should submit the monthly maintenance and support report of all the IT and OA equipment **within 10 working days after the end of each month or within such period as specified by LD**.

17.5.7 PA should apply the latest operating system patches and security patches /

hotfixes as recommended by product vendors or requested by LD to all IT equipment after testing and evaluation of the patches. PA should assist in the regular health check of SSAS and take necessary follow-up action upon request of the Government.

17.5.8 PA should engage an independent third party agreed by LD to perform a security risk assessment and audit (SRAA) at least every 12 months. PA should provide the SRAA report to LD and take follow-up actions as accepted by LD in respect of the recommendations in the SRAA report.

17.5.9 PA shall maintain sufficient staff resources with proper governance structure for the utilisation, maintenance and support of the IT and OA equipment for the operation of SSA according to the terms and conditions of the service contract.

17.5.10 PA shall report in details to EBSD information security incidents and other cases that affect business operation and render assistance to EBSD in the follow-up actions.

17.5.11 PA shall follow and implement the latest Government IT security requirements in the use and maintenance of IT and OA equipment, including:

- maintain application activities including user account change logs, etc.;
- govern access rights to data and files, etc.;
- assign proper user accounts and authority levels to different type of users;
- enforce password and other related policies; and
- ensure proper disposal of computing equipment and storage media with prior written approval from LD and the disposal records.

17.5.12 PA shall review the operation, practices, technologies and mode of service delivery of the IT and OA equipment regularly and suggest improvements.

17.6 Staff's compliance with legislation in Hong Kong when rendering services in implementation of SSA

17.6.1 Staff of PA should observe relevant anti-discrimination law in Hong Kong. PA should provide suitable guidance to its staff to raise their awareness on the Sex Discrimination Ordinance (Cap. 480), the Disability Discrimination Ordinance

(Cap. 487), the Family Status Discrimination Ordinance (Cap. 527) and the Race Discrimination Ordinance (Cap. 602).

17.6.2 PA shall remind its staff to observe anti-corruption law in Hong Kong, particularly in the course of dealing with applicants. If there is suspected corruption, such as an applicant attempting to bribe a staff of PA regarding an application, PA should notify EBSD immediately and report the suspected case to the Independent Commission Against Corruption.

17.7 Staff training matters

17.7.1 PA should provide adequate training to its staff in the following areas to equip them for discharging their duties properly –

(i) the operation procedures of SSA;

(ii) the functions of SSAS;

(iii) the provisions relating to SP/LSP in EO; and

(iv) other legislation relating to the administration of SSA.

17.7.2 PA should provide EBSD with a copy of the training materials mentioned in para. 17.7.1 within 14 days (TBC) after their creation / revision.

17.8 Handling of incidents

17.8.1 PA should establish a mechanism and act in accordance with the Risk Management and Contingency Plan of the Technical Schedule (to the extent accepted by the Government) in the handling of incidents. Incidents refer to happenings including but not limited to, those incidents requiring reporting to the authorities (such as the Hong Kong Police Force, Fire Services Department and Office of the Privacy Commissioner for Personal Data), those possibly attracting media attention or causing public concern, those possibly causing serious negative impact on the implementation of **SSA,** those disrupting the operation of service centre(s), such as utilities breakdown and fire outbreaks. Appropriate training and drills should be conducted regularly and recorded.

17.8.2 PA should establish an investigation and reporting mechanism concerning such

incidents, and maintain proper and adequate records. PA should report incidents to EBSD as soon as possible. Depending on the severity or sensitivity of the incidents, EBSD may request PA to submit an investigation report within a specified period.

17.8.3 EBSD may conduct investigations into the incidents as necessary, and PA should facilitate and assist in such investigations.

17.9 Continuation of services

17.9.1 PA should have a feasible contingency plan to specify strategies for the continuation of service and ensure that the contingency plan can be activated at all times should PA encounter difficulties in providing any of the services or in meeting a sudden upsurge of service demands and manpower needs.

17.9.2 LD should be informed as soon as possible when the contingency plan is activated and the alternative mode of service is delivered. Any back-up services provided must meet all requirements of the **terms of the service contract** and **the** Accommodation and Facilities Plan and/or Human Resources and Manpower Management Plan (or as proposed by **PA** in any of Execution Plans) (to the extent accepted by the Government).

17.10 Transition-out arrangement

17.10.1 Upon expiry or termination of the contract and where subsequent contract is entered into with another contractor, PA should take all steps in the manner below and as pledged in the Transition Plan in Technical Schedule (to the extent accepted by the Government) and cooperate fully with EBSD, the succeeding contractor and any other entities as deemed appropriate by EBSD to ensure proper transfer of the services to the succeeding contractor or EBSD (if appropriate). PA should hand over the updated details of the services to the succeeding contractor and EBSD (if appropriate).

17.10.2 PA should take actions, including but not limited to:

(a) at least 2 months before the expiry or termination of the contract period, arrange for the succeeding contractor,
   (i) experience sharing / training on the operations with SSAS; and
   (ii) experience sharing / training on the daily operation.

(b) at least 1 month before expiry or termination of the contract period,
   (i) notify applicants of the change of the address(es) of the service centre(s) upon EBSD's request;
   (ii) take out necessary procedures for transferring the existing email domain and essential functional email accounts (e.g. general enquiry account) to the succeeding contractor;
   (iv) take out necessary procedures for transferring the existing telephone number(s), including hotline number(s) and all the existing telephone number(s) made known to the applicants/public, and facsimile line(s) to the succeeding contractor (if possible); and
   (v) hand over outstanding public engagement activities.

(c) at least 2 weeks before expiry or termination of the contract period, hand over matters relating to:

   (iv) processing of outstanding applications including without limitation fresh applications, review / appeal applications, IR cases, review / appeal applications of IA check / IR result;
   (v) processing of outstanding cases including without limitation QA checks, IA checks, arrangement of payment and recovery of overpaid subsidy, etc.;
   (vi) handling of outstanding enquiries and complaints; and
   (vii) transfer of all records and physical files which should be created under the contract. The physical files should be arranged in proper order and should be easily retrievable. PA should certify to EBSD that no hard copies or soft copies or duplicates of any of the records and physical files have been retained after expiry or termination of the contract period.